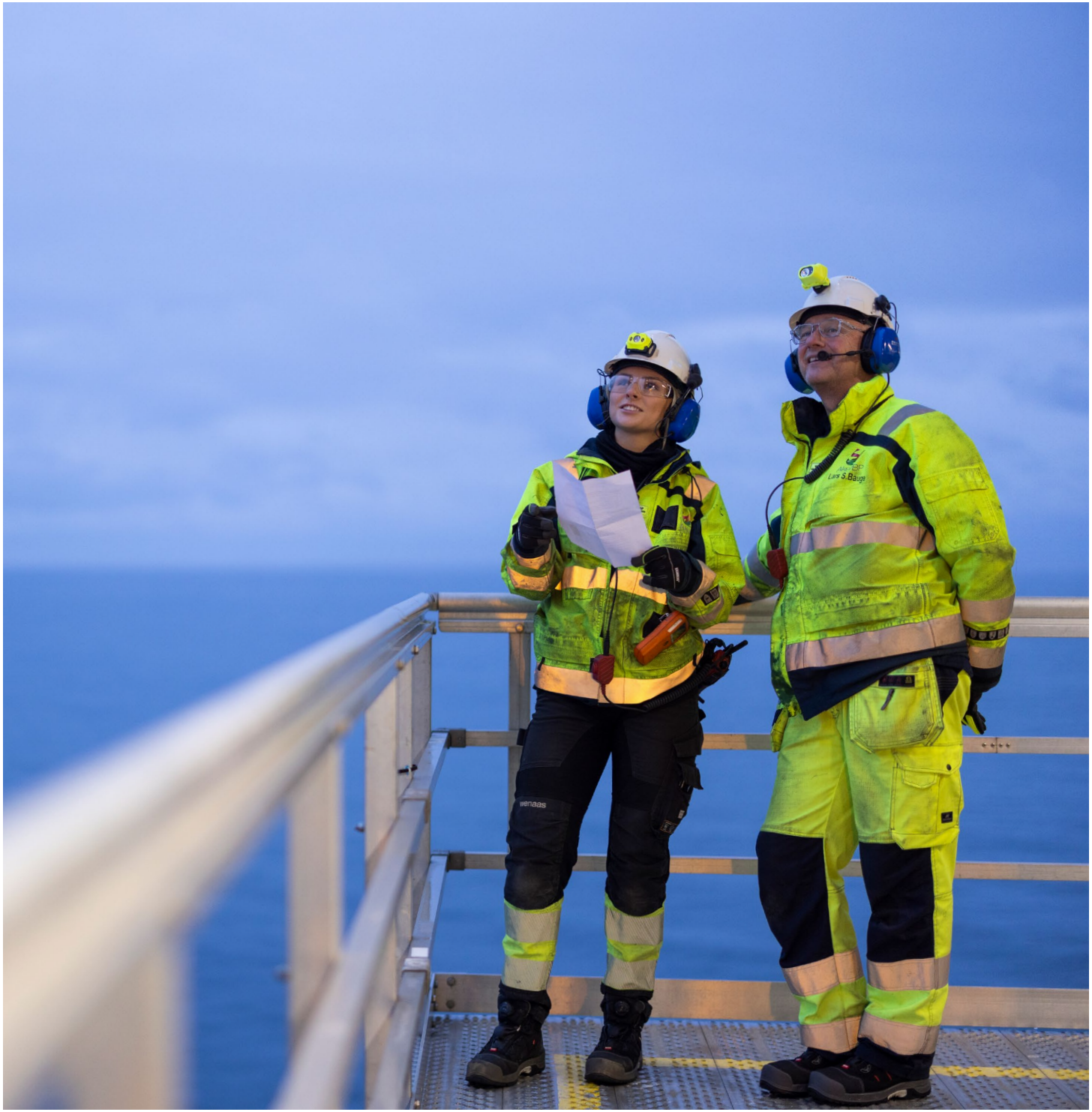
Annual report

2024



AkerBP

Sustainability statement

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1 General

Aker BP is a pure-play oil and gas company. Our operations relate to upstream activities, including exploration, development, production and decommissioning, as illustrated in figure 3. In 2024, we produced 439 mboepd and advanced our major development projects, including Yggdrasil and Valhall PWP-Fenris. As a reliable energy supplier to Europe, we are committed to ensuring consistent oil and gas deliveries for decades to come through our ongoing development projects. Throughout this sustainability statement, we outline our value chain and describe our collaborative approach with our own workforce, suppliers and partners to achieve our strategic goals.

1.1 REPORTING PRACTICES

Aker BP's sustainability statement for the 2024 fiscal year (1 January 2024 through 31 December 2024) is prepared in accordance with the Norwegian Accounting Act and the related European Sustainability Reporting Standards (ESRS), which entered into force for the 2024 reporting year. The report also includes the required reporting under the EU Taxonomy Regulation, which became mandatory for the 2023 fiscal year.

The scope of consolidation for the sustainability statement is the same as the financial statements. It includes both Aker BP-operated activities and non-operated activities (e.g., Johan Sverdrup). However, certain ESRSs have specific requirements regarding reporting boundaries. The S1 (own workforce) standard limits reporting to personnel employed or contracted by Aker BP. The E1 (climate change), E2 (pollution) and E4 (biodiversity and ecosystems) standards have additional reporting requirements for licenses operated by Aker BP ('operational control'). The company typically has more detailed data available for operated licenses, whereas reporting on non-operated activities relies more heavily on estimates.

The sustainability statement covers the company's material upstream and downstream value chains. The company has, however, applied the transitional provisions related to value chain metrics, which, under certain conditions, exempt the company from reporting data points from the value chain. Aker BP has reported metrics related to the value chain for E1, as well as for resource inflows under E5. For all other topics, value chain metrics were not available at the time of submitting this report due to an incomplete understanding of value chain-related IROs and insufficient data maturity of suppliers. During 2025, Aker BP aims to work in cooperation with selected suppliers to further map our value chain for potential impacts, risks and opportunities related to these topics, and gather value chain-related data where possible.

This report has been reviewed by an internal review committee consisting of senior managers from relevant disciplines and business units. It has also been reviewed by the audit and risk committee (ARC), which assists and facilitates the board of directors' (BoD) responsibilities within integrity of reporting, the reporting process, internal controls, company risks, corporate governance, compliance and auditing, prior to review and approval by the BoD. PwC has provided limited assurance on this report in line with legal requirements. PwC is the company's external auditor and is considered to be independent.

1.1.1 Sources of estimation and outcome uncertainty

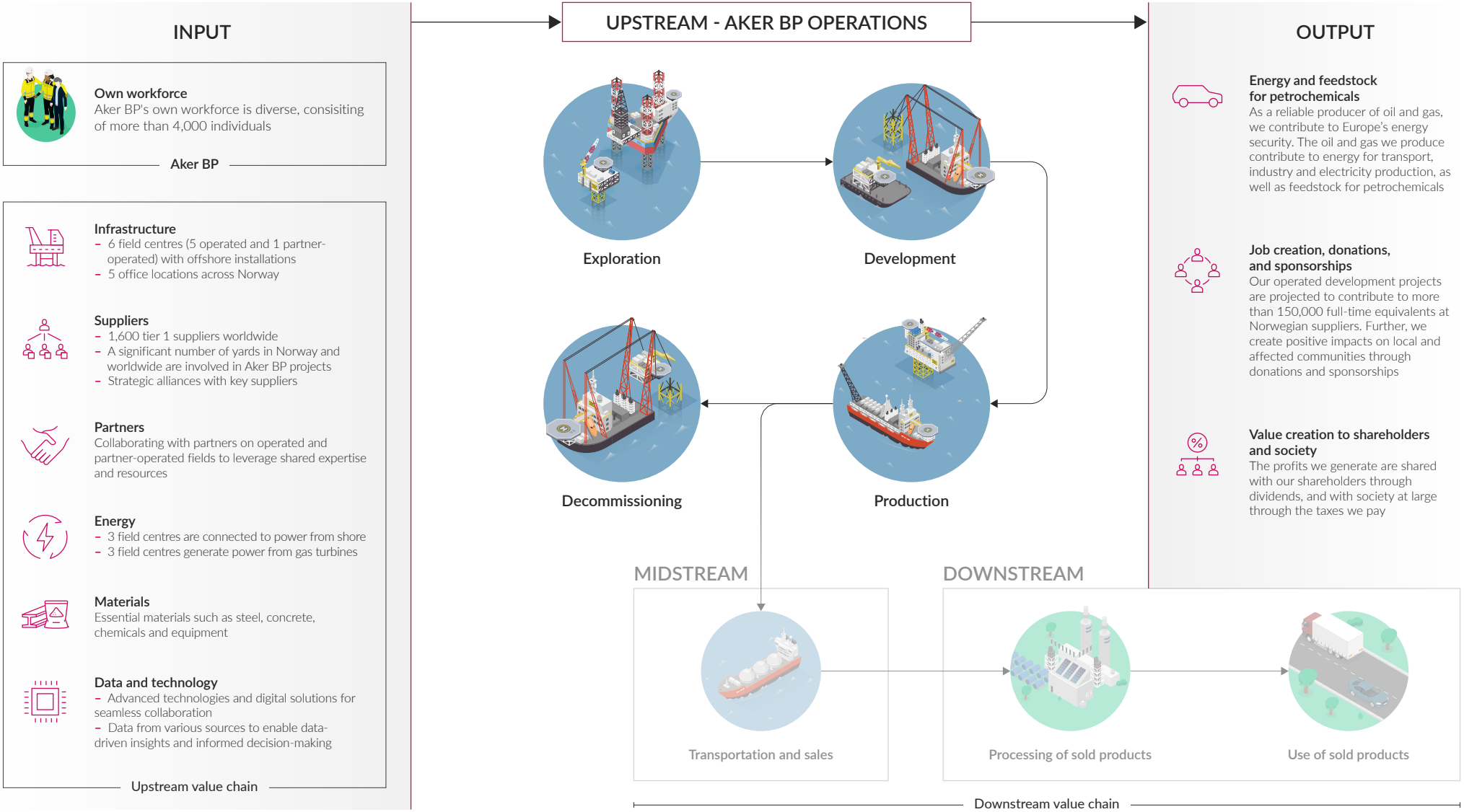
The metrics are based on actual data whenever possible. However, some figures were not available and have therefore been estimated. Metrics with high level of measurement uncertainty are related to non-operated assets in the environment section of the report, as well as metrics related to our value chain. Estimations are based on the best available techniques, but indicate that the disclosed figures are generally subject to a certain level of measurement uncertainty. We are working to better understand and measure this data to improve accuracy where deemed possible.

Forward-looking statements in this report reflect current views about future events and are, by their nature, subject to significant uncertainties because they relate to events and depend on circumstances that may or may not occur in the future and may not be within Aker BP's control.

1.1.2 Comparable figures

For the reporting year 2023, Aker BP prepared a sustainability report in accordance with GRI 11: Oil and Gas Sector 2021. To the extent metrics reported under GRI in the 2023 report were the same as required under ESRS in this report, comparable figures have been included. For other metrics, the company has generally applied the related transitional provision and thus not presented comparative information.

Figure 3: **Our activities**



1.2 OUR SUSTAINABILITY STRATEGY AND APPROACH

1.2.1 Sustainability in our corporate strategy

1.2.1.1 Sustainability and strategic priorities

Aker BP's vision is to be the exploration and production (E&P) company of the future. This vision is founded on our strategic belief that the world needs affordable, sustainable and reliable energy, and that oil and gas will remain a crucial part of the energy mix for decades to come. Aker BP intends to contribute to the energy transition and energy security through our role as a responsible provider of low-cost oil and gas, produced with industry-leading scope 1 and 2 greenhouse gas (GHG) emission intensity. We only operate within one ESRS sector, which is the fossil fuel sector.

As a pure-play E&P company, we will contribute to the energy transition by

- Maximising value creation for shareholders and society while producing the energy the world needs
- Minimising emissions and achieving equity share scope 1 and 2 GHG emission neutrality from 2030
- Sharing technology and knowledge

Sustainability is an integrated part of Aker BP's strategy. Strategy development in Aker BP follows an annual cycle, where the first half of each calendar year is dedicated to strategy development at both the corporate level and per asset. The process begins with a deep-dive into the company's external context and internal environment. It includes an evaluation of the sustainability-related matters and considerations around key impacts, risks and opportunities (IROs) that are most relevant and impactful for the company and its stakeholders. This step is followed by defining the target state. Strategic priorities and actions are then identified to bridge the gap between the current state and the defined targets. The update of the sustainability strategy is embedded in the company's annual strategy update and is sanctioned by the executive management team (EMT) and the BoD. The strategic priorities establish the foundation for a set of initiatives, including specific initiatives addressing sustainability, with corresponding key performance indicators (KPIs) for the following year.

Six strategic priorities, which are illustrated in figure 4, have been identified to describe our goals and priorities for the 2022-2027 period. Our priorities and goals related to sustainability reflect the core elements and challenges of our strategy, which is to remain a focused oil and gas producer with a continued growth ambition. Sustainability, being an integrated part of our business, has shaped three of the six strategic priorities, which explicitly address sustainability topics: operating safely and effectively, decarbonising our business and aiming to create the most attractive place to work.

The fact box on the next page shows an overview of our KPIs for 2024, where three of eight directly address key sustainability aspects such as safety, GHG emission intensity and people and organisation.

Our strategic priorities, goals and KPIs represent the broad aspects of sustainability such a safety, climate, environment, people, social responsibility and governance.

Figure 4: **Our strategic priorities**

Our vision: The E&P company of the future

Operate safely and efficiently	– Zero serious incidents – Production efficiency above 95% – Production cost below 7 USD/boe
Decarbonise our business	– Equity share scope 1 and 2 GHG emission intensity below 4 kg CO_2e/boe – Reduce operational control scope 1 and 2 GHG emissions by 50% by 2030 – Achieve equity share scope 1 and 2 GHG emission neutrality from 2030
Deliver growth on quality, cost and time	– Grow production to above 525 mboepd from projects with low break-even price – Deliver projects on quality, cost and time
Establish the next wave of profitable growth options	– Discover 250 mmboe by 2027 – Grow the resource potential with new technology – Execute value-driven M&A
Lead the transformation of E&P	– Digitalisation – Alliances – Future Operations
Create the most attractive place to work	– #OneTeam – No. 1 employer in the industry – >90% pulse survey score

1.2.1.2 Sustainability and performance management process

A dedicated performance management system is used throughout the company to report and monitor progress on the initiatives, corresponding KPIs and project execution for the key field development projects. Delivery on the company initiatives and KPIs feeds into the Aker BP bonus programme and a monetary reward is calculated based on performance. The bonus scheme is defined as variable remuneration and utilises seven of eight equally weighted KPIs, along with initiative achievements and delivery on time, cost and quality through execution of key field development projects, as a basis. The KPI for people and organisation is solely based on employee feedback and does not factor into the bonus potential to avoid biased feedback. Approximately 22 percent of the bonus potential is dependent on sustainability-related initiatives and targets. The bonus is paid to all permanent employees, including management, and is calculated with the same share of bonus potential for all employees. The organisational development and compensation committee is responsible for ensuring remuneration arrangements support the strategy. We refer to the remuneration report for further information regarding the bonus scheme.

Key performance indicators:

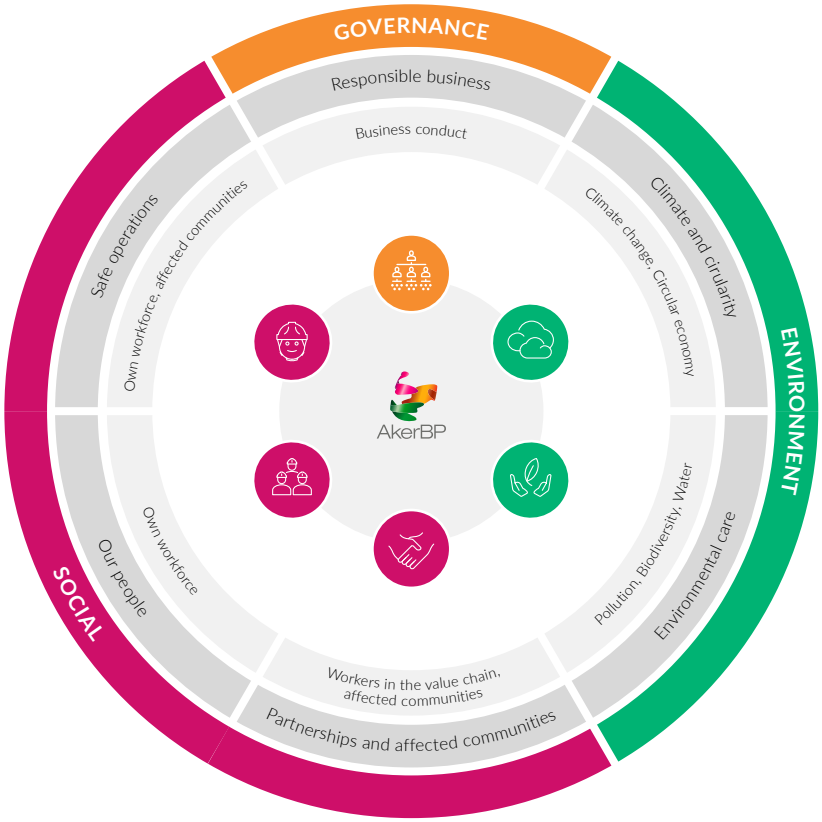
- **Safety** (serious incidents/1 mill. work hours)
- **Net production from operated assets** (mboepd)
- **Adjusted production cost** (USD/boe)
- **Net reserve additions** (mmboe)
- **Value creation** (change in risked NPV)
- **Relative shareholder return**
- **Equity share scope 1 GHG intensity** (kg CO_2e/boe)
- **People and organistation KPIs**
  - Build identity
  - Shape organisation
  - Develop people
  - Gender balance

1.2.2 Our sustainability framework

Our company acknowledges the United Nations Sustainable Development Goals (SDGs), which have shaped our sustainability framework. This framework is part of our business management system, aimed at securing value, trust and predictability for our operations.

The framework includes environmental, social and governance (ESG) domains as illustrated in figure 5. These domains are divided into topics that cover the material IROs identified in our double materiality assessment (DMA) and are represented by various policies. They are further embedded and integrated in all layers of our business, including our corporate strategy.

Figure 5: **Sustainability framework**



1.3 GOVERNANCE

1.3.1 Board of directors

The BoD oversees the company's overall management, including supervision of the day-to-day management. A key responsibility is sanctioning the corporate strategy and overseeing Aker BP's ESG performance. This includes overseeing the company's material IROs and related policies, actions, metrics and targets. Additionally, the BoD ensures that the company has sound internal control and risk assessment in place. The BoD's responsibilities are further detailed in rules and procedure for the BoD of Aker BP, which is a governing document approved by the BoD.

1.3.2 Subcommittees

The BoD has three subcommittees, all with functions related to sustainability matters. The audit and risk committee (ARC) assists management in evaluating the risk management and effectiveness of internal controls. The organisational development and compensation committee (ODCC) is responsible for ensuring that the remuneration arrangements support the company's strategy, including the integral aspect of sustainability matters. Additionally, the safety and environmental assurance committee (SEAC) works closely with management to identify and address issues related to safety, cyber security and the environment, thereby ensuring the company operates in a responsible and sustainable manner.

1.3.3 Executive management team

The chief executive officer (CEO) is responsible for the day-to-day management of the company's activities. He oversees the management of the IROs and related policies, actions, metrics and targets. The responsibility for monitoring the IROs, executing related action plans and measuring performance, is delegated to the applicable business units, which are managed by members of the executive management team (EMT).

1.3.4 Internal audit and compliance department

Aker BP has an internal audit and compliance department. The head of the department reports to the BoD through ARC and to the CEO.

The 'three lines of assurance' model has been established as Aker BP's assurance framework. The compliance function, as a second line of assurance, comprises an independent team that governs processes, requirements and governing documents at a corporate level. The internal audit (IA) function, as a third line, provides effective independent assurance and oversight of the integrity of the internal control framework for all operations. IA evaluates whether the business management system operates effectively to respond to significant risks that could affect Aker BP's values, objectives and strategic priorities. Internal audit reports are provided directly to the EMT and presented to the BoD through committees such as the audit and risk committee.

Table 2: **Composition and diversity of the administrative management and supervisory bodies** [1)]

	Members	Executive members	Employee-elected members	Women	Independent board members[2)]
Board of directors (BoD)	13	0	5	46%	50%
Executive management team (EMT)	16	16	N/A	31%	N/A
Audit and risk committee (ARC)	4	0	0	75%	75%
Organisational development and compensation committee (ODCC)	3	0	1	67%	50%
Safety and evironmental assurance committee (SEAC)	11	5	0	27%	N/A

1) The figures reflect the composition as of year end.

2) These numbers are derived from shareholders elected members.

1.3.5 Overall responsibility for managing impacts, risks and opportunities

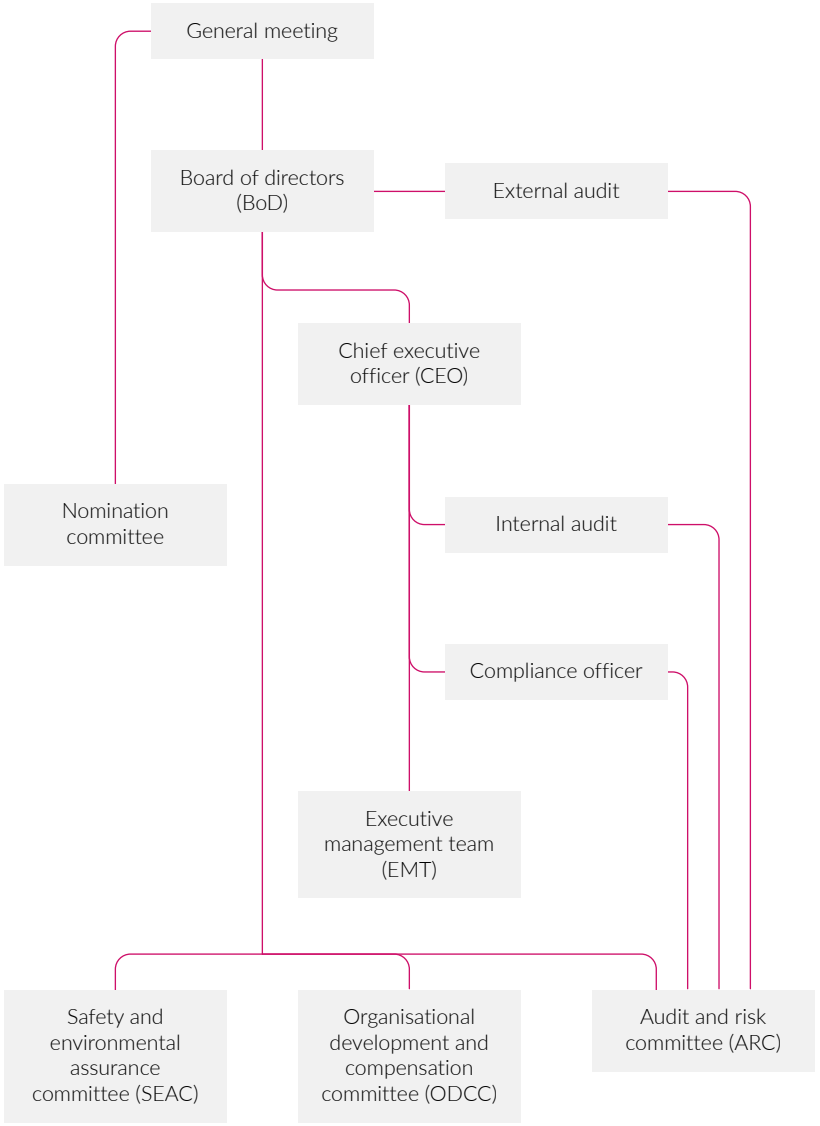
The responsibility for IROs is reflected in the applicable terms of reference for the BoD, ARC and EMT. In particular, the ARC mandate has been updated to reflect the significantly increased responsibility around sustainability reporting, including reported IROs.

Performance against targets and KPIs is published quarterly. The ODCC oversees the setting of targets and monitoring of progress related to KPIs linked to the incentive schemes for EMT remuneration. The full list of IROs is presented to the ARC and EMT twice a year, and to the BoD once a year. Additionally, selected key risks and opportunities are reported to the BoD, ARC and EMT, as detailed in section 1.4. The IROs are an integral part of the annual strategy process and are considered in major business decisions.

Members of the BoD, ARC and EMT have relevant competence in managing sustainability-related IROs. For instance, the chair of the BoD and the ODCC has broad expertise in handling legal risk from his experience as a corporate attorney. Another member of the BoD and the ARC has extensive experience with climate impact through her role as CEO of Aker Carbon Capture. The CFO has an in-depth understanding of financial risks, while the SVP people and safety has expertise in both social-related topics and environmental issues. The sustainability-related competence is considered to be at an appropriate level in Aker BP's administrative, management and supervisory bodies. See Board of directors and executive management team, page 06 for more information about the competence and background of members of the BoD and EMT.

To further address the increased responsibility around sustainability reporting, including the management of IROs, the BoD, ARC and EMT are enhancing their competence in environmental, social and governance matters relevant to the company. Throughout 2024, management provided multiple updates to the ARC regarding the company's progress towards CSRD compliance. The external auditor PwC supported this process by providing relevant insights to the ARC and management on interpretation of reporting requirements, as well as the development of industry practices in the area.

Figure 6: **Organisational chart**



1.3.6 Internal controls over sustainability reporting

Aker BP is exposed to risks related to inconsistent or incomplete reporting on sustainability topics, including the risk of greenwashing. Additionally, there are risks associated with the accuracy of data inputs and the high degree of manual processes involved in aggregating data from multiple systems into the sustainability statement.

Although the control environment in Aker BP is generally deemed to be at a sufficient level, risk assessment and related internal controls over sustainability reporting are generally not at the same maturity level as financial reporting. Regarding CSRD compliance, Aker BP's focus has been on understanding and consistently applying disclosure requirements across our assets and value chain and aligning this understanding with industry peers. We have mapped data points to understand the underlying systems and calculations leading to numerical reporting figures, and we have performed additional quality assurance applying a risk-based approach.

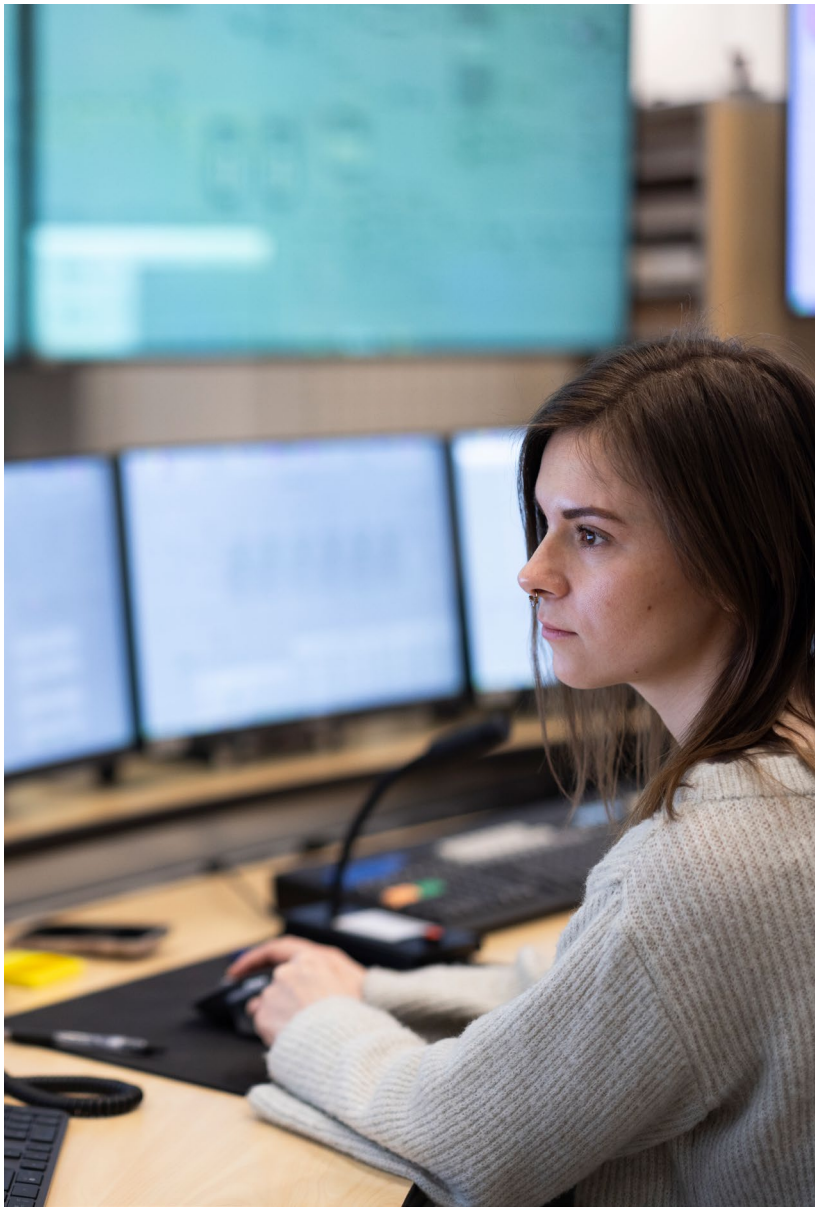
We have implemented internal controls for certain KPIs, mainly related to metrics under the most significant sustainability topics based on the DMA process. Going forward, we plan to perform more structured risk assessments in relation to sustainability reporting, as well as expanding our internal control design and related operational effectiveness to a larger part of the reported data points.

Reference is also made to section 1.1 on reporting practices and the review process of the sustainability statements undertaken at various levels in the organisation.

1.4 IMPACT, RISK AND OPPORTUNITY MANAGEMENT

All business-critical activities involve IRO management to achieve our strategy, goals and sustainability ambitions. Additionally, IRO management supports resilience and adaptation to changing circumstances and uncertainty. The management of IROs follows the company's risk management process and is therefore further described as risk management. Communication of important risks and opportunities across the value chain and assets is ensured by our enterprise risk management process, which forms the basis for regular risk reviews of the company's prioritised risks by the EMT at least bi-monthly. The day-to-day risk management and risk ownership is integrated in the line responsibility according to company organisational principles, as close as possible to the task execution. The overall framework is managed by the people and safety business unit, while the resulting IRO picture is monitored by the EMT in the mentioned risk reviews. Key risks from the EMT reviews are reported to the BoD. Additionally, risk review sessions are held in the audit and risk committee three to four times per year, with overall accountability lying with the BoD, who receives updates from all ARC meetings.

Risk management in Aker BP follows the principles in ISO 31000. IROs are identified, evaluated and mapped into our shared company risk matrix, including impact categories for personnel, environment (including climate), financial, reputation, project cost and schedule consequences.



As part of our risk management process and methodology, we balance potentially conflicting goals by applying a consistent and transparent approach to analysing, evaluating and addressing our risks. We use a shared risk matrix to assess the severity (impact), consequences (risks and opportunity) and related likelihood, considering both negative and positive outcomes. We also consider the potential balance between different categories, such as safety, environment, reputation, finance and compliance, as well as the dependencies between IROs.

We strive to achieve the best possible solution by involving relevant stakeholders and experts in the risk decision-making process. We also monitor and review the effectiveness and efficiency of the risk mitigation measures, adjusting them as needed based on changing circumstances and the context in which we operate.

We recognise that sustainability is an integral part of our decision-making processes and is therefore also integrated in our risk management process. We consider the environmental, social and governance aspects of our IROs and how they may affect our long-term value creation and stakeholder expectations.

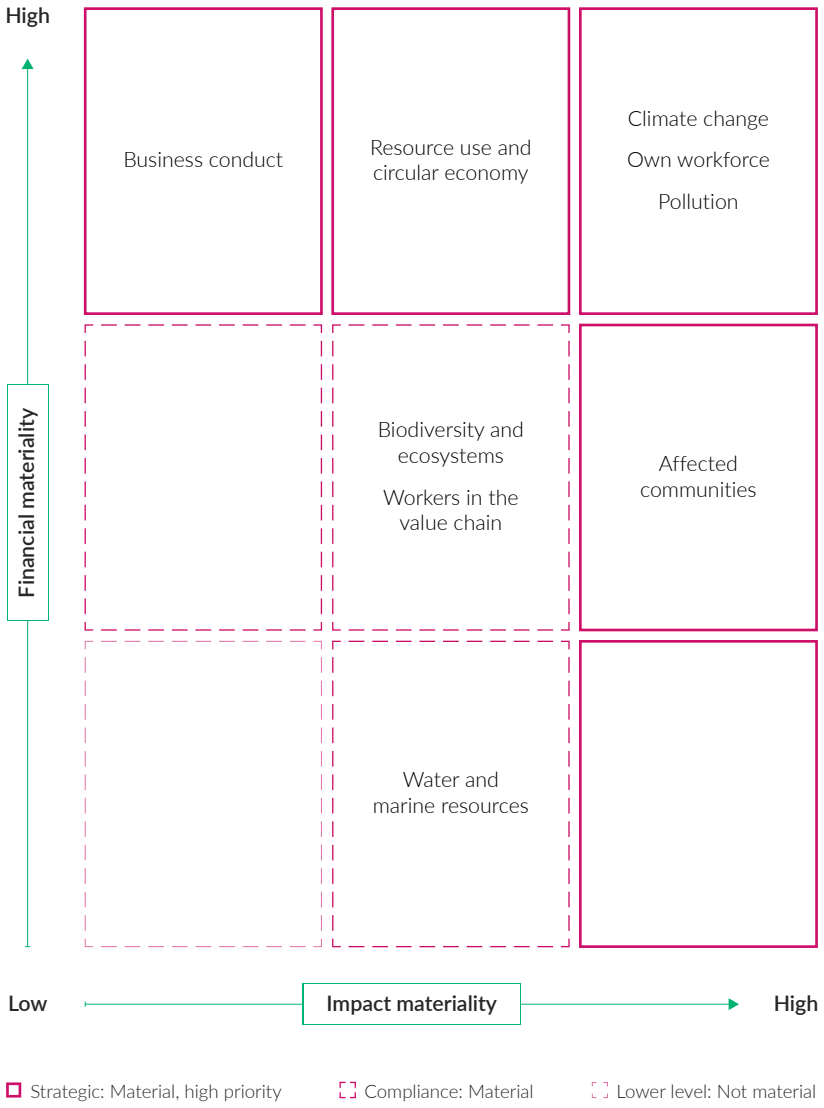
1.5 DOUBLE MATERIALITY ASSESSMENT

In 2023, we conducted our first double materiality assessment based on the EU's Corporate Sustainability Reporting Directive (CSRD) and the European Sustainability Reporting Standards (ESRS). In 2024, we revised the assessment based on new information, implementation guidance and the draft oil and gas sector standard from the European Financial Reporting Advisory Group (EFRAG).

The assessment included a mapping of IROs, their dependencies and connection to Aker BP's own operations and its value chain. The assessment followed a four-step process described in figure 9. A description of how the identified IROs are integrated in Aker BP's management process is also included in more detail in this section.

Activities, business relationships and geographies are considered when evaluating potential IROs. When evaluating materiality in our own operations, we have focused on oil and gas production as this is the activity with the highest potential for material impact. The material topics in the upstream value chain mainly focus on development projects, given the significant construction activities on several sites around the world. We are working closely with our suppliers and business partners to improve our understanding of our value chain and will update the double materiality assessment as new and relevant information becomes available. In addition, we have impacts throughout our downstream value chain related to the use of petroleum products.

Figure 7: **Our material topics**



1.5.1 Stakeholder engagement

Our stakeholders are those affected by or impacting Aker BP's activities and business relationships – whether in our role as an energy provider, employer, customer or as a business that helps stimulate local and national economies through jobs, investments and taxes paid. Maintaining an open and proactive dialogue with key stakeholders helps us identify risks, opportunities and actual or potential impacts of our activities.

We engage with stakeholders through various channels, both internally and externally. An example is the impact assessment required for all delivered PDOs, which ensures that over 40 key stakeholders receive the impact assessment reports during public consultation processes. This allows stakeholders to present their views, highlight relevant issues and provide input for necessary adjustments. To maintain transparency, we publish impact assessments on our website. Our whistleblowing channel is another avenue for stakeholders to report their concerns. Additional examples of stakeholder engagement are detailed throughout the report.

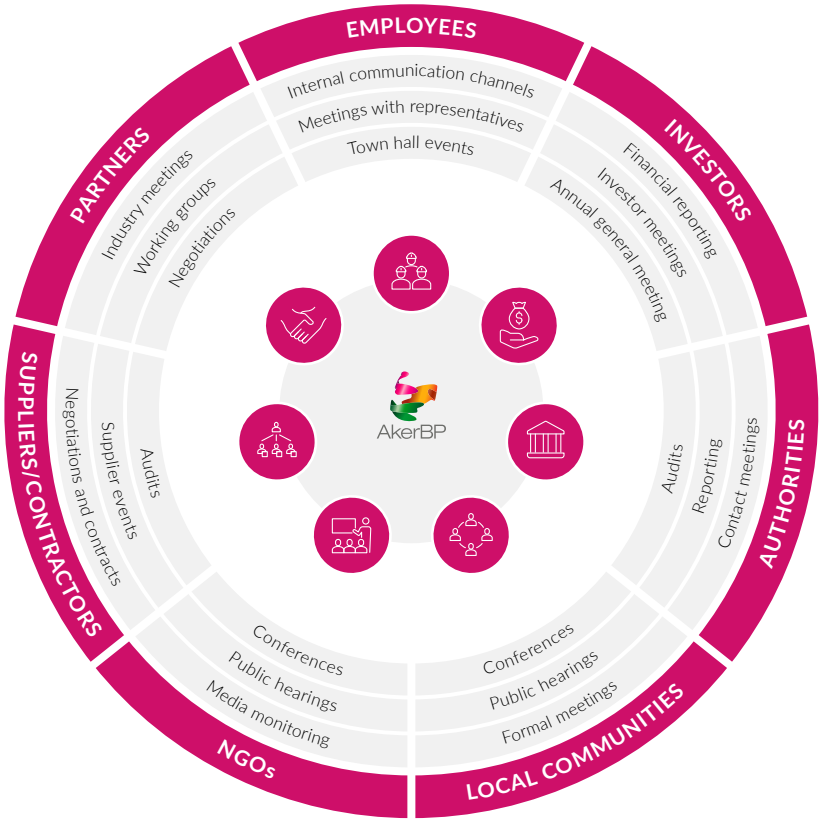
We include our stakeholders' perspectives and priorities in our double materiality assessment. In 2024, this has been achieved through in-depth interviews and workshops with internal management and subject matter experts, who also play a crucial role in stakeholder dialogue. The 2024 process was based on interviews performed in the previous year which involved the following key stakeholders:

- Owners
- Key suppliers
- Customers
- Non-governmental organisations (NGOs)
- Authorities

By engaging with key stakeholders through relationships and dialogue, we incorporate their perspectives and priorities into our double materiality assessment. This process can potentially influence related policies, actions, metrics and targets, and ultimately our overall strategy and business model.

The ARC and EMT are kept informed about the views and interests of affected stakeholders through various channels, including the approval process of the double materiality assessment and presentation of cases reported through our integrity channel.

Figure 8: **Key stakeholders**



1.5.2 Methodology

We apply a systematic approach to identify the material IROs for Aker BP and the associated sustainability matters to be reported on.

The double materiality assessment covers both impact and financial materiality:

- Impacts from our activities on the environment and society (inside-out perspective)
- Financial risks and opportunities that sustainability issues pose to our business model and performance (outside-in perspective). Financial risks include reputational risk as well as dependencies on natural, human and social resources

The process includes the overall steps shown in figure 9.

Special attention is given to the dependencies between impacts and their potential counterparts in the risks and opportunity categories.

The IRO assessments (severity x likelihood) are similar to risk assessments (consequence x probability) and use company scales similar to the company matrix as per the enterprise risk management process. These assessments are documented in the same tool (risks and opportunities) where they are prioritised and handled together with other company risks. The materiality of the different sustainability topics is evaluated from an impact perspective, a financial perspective or both.

1.5.3 Topic specific processes related to the DMA

This section details the additional requirements related to the double materiality assessment as specified in the topic-specific chapters. It includes specific methods and considerations for the DMA of those topics, in addition to the overall process previously described.

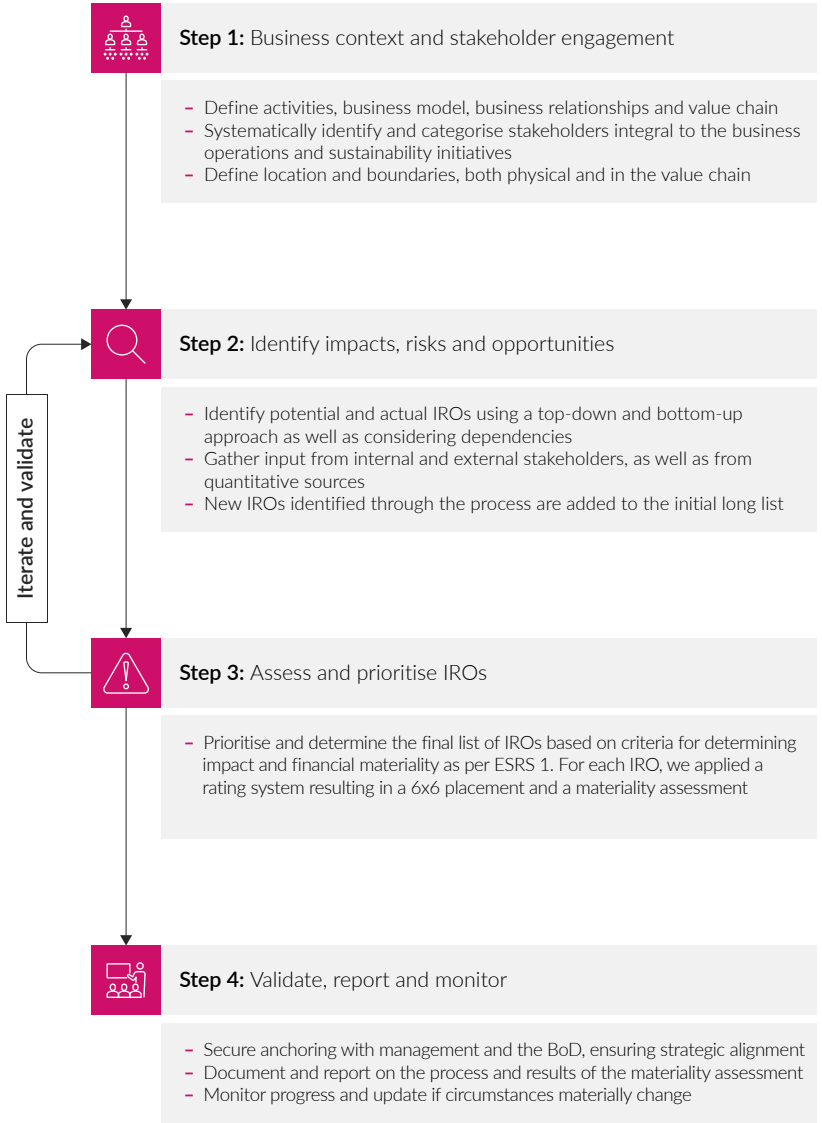
1.5.3.1 E1 - Climate change

We identify and manage risks and opportunities across business units and throughout the asset value chain in Aker BP, including climate-related risks and opportunities. Risks are defined in short- (up to three years), medium- (three to 10 years) and long-term (10 to 25 years) perspectives.

Our short-term risks are related to positioning ourselves in the transition towards a low-carbon economy and complying with the emerging obligations for emission reporting and monitoring. This encompasses the addition of Yggdrasil and Valhall PWP-Fenris to our portfolio.

Our medium-term horizon is shaped by achieving our climate-related targets for 2030 as described in section 2.4. Continued implementation of our approach to decarbonisation (avoid – reduce – neutralise) is a key medium-term risk mitigation lever for Aker BP. Except for the decommissioning of Ula and the addition of Yggdrasil and Valhall PWP-Fenris, the portfolio in 2030 is assumed to be similar to today.

Figure 9: **Double materiality assessment**



Our long-term horizon reflects the achievement of our climate-related targets towards 2050, described in section 2.4, in a market still dependent on oil and gas. Supply of electrical power from shore to offshore installations and the transition to zero-emission fuels are long-term strategies for our business. The portfolio in 2050 will be different from today, with Grieg Aasen, Skarv and Alvheim presumably decommissioned by then.

Climate-related impacts are identified and assessed continuously through monitoring of scope 1 GHG emissions and energy use for all assets in our portfolio. The combination of regular monitoring of GHG emissions and the annual reporting of scope 1, 2 and 3 emissions gives a comprehensive understanding of the impact of our total GHG emissions and energy use. Through our DMA, we have evaluated both direct and indirect sources of GHG emissions and their potential impact on climate change.

IROs are identified both as a result of our internal activity set, as well as from various sources such as regulators, industry initiatives, NGOs, public perception and investors. Physical risks are assessed in relation to anticipated changes in weather patterns, potentially affecting the structural integrity of our assets. Climate-related risks and opportunities follow the risk management process described in section 1.4.

To assess and manage climate-related risks, we use scenario analysis, sensitivity testing and an internal carbon price, in addition to reducing our own emissions. We base these scenario analyses on our internal scope 1 emission forecasts towards 2050, which give us an estimate of potential impacts on the climate in the coming years. Aker BP considers its strategy, emission reduction pathway and portfolio to be resilient to the projected oil and gas prices, as well as carbon prices under the various IEA scenarios. For information regarding how Aker BP assesses climate-related risks using scenario analysis, please see section 2.6 in the climate change chapter.

1.5.3.2 E2 – Pollution

As all Aker BP's own operations are located on the Norwegian continental shelf (NCS), all activities leading to actual or potential pollution by emissions to air, discharges to sea, as well as the use and discharge of substances of concern or very high concern, are strictly regulated by Norwegian law and discharge permits.

Aker BP's enterprise risk management system supports resilience and adaptation to changing circumstances and uncertainty. Our risk-based approach to prevention, reduction and remediation of pollution is triggered by our activities, regulatory requirements, as well as stakeholder expectations.

Thorough planning and execution of our operational, project and drilling activities include identification and management of environmental IROs at all relevant levels of the organisation. Environmental assessments including pollution-related impacts, risks and opportunities are conducted prior to exploration drilling as well as in relation to new projects and field developments. Aker BP acquires information about the ecosystems in areas where we have activity and maps out the potential impact of our activities. This information is used to decide when and how we conduct the activities. All petroleum-related activities on the NCS are subject to authority approval through an environmental permit consultation process. Stakeholders, local communities and interested parties are entitled to address environmental issues and provide recommendations to the authorities on our planned activities at a public hearing. This consultation process is of value for ensuring co-existence between industrial activities in the area.

For producing fields within own operations, regular environmental evaluations ensure identification of key environmental IROs and related actions. Hence, the identified material pollution-related impacts and risks, as provided in section 3 Pollution, are the result of thorough and continuous screening of sites and activities at producing fields, fields under development, projects and exploration drilling.

1.5.3.3 E3 – Water and marine resources

Aker BP's own operations are located on the NCS. We do not withdraw water from areas in water-stressed regions and none of our own operations are in water-stressed environments. The use of natural resources, such as water, is assessed as part of the DMA process. Water is not considered a material topic for Aker BP in our own operations. Activities in our upstream and downstream value chain could possibly be located in water-stressed areas or in areas where water withdrawal could prove to be a material topic.

1.5.3.4 E4 – Biodiversity and ecosystems

The methodology to identify material IROs and dependencies related to biodiversity, and assessment criteria applied, are guided by the TNFD's recommendations. In our own operations, the actual and potential impacts on biodiversity are assessed using data from our due diligence processes, environmental monitoring and site surveys, with involvement of relevant stakeholders and consultations with affected communities, where necessary. Based on the preliminary screening of Aker BP's value chain activities, it is assumed that the production and distribution of materials in the upstream value chain, as well as construction activities to support project developments, may have significant impacts on biodiversity and pose biodiversity-related risks to Aker BP. Over the next few years, we will continue mapping our value chain with the ambition of collecting location-specific data. Material biodiversity IROs are summarised in the biodiversity and ecosystems chapter.

Dependencies on ecosystem services at Aker BP's own site locations include assimilation of pollutants from operational discharges (e.g., dilution and microbial breakdown of oil and chemicals), which might be temporarily disrupted, especially at the seabed, in the event of a severe accident such as a well blowout. Another important ecosystem service that Aker BP relies on is global climate regulation provided by nature, which is linked to our physical climate-related risks, as described in section 2 Climate change. Dependencies on biodiversity in the value chain will be assessed as we progress with value chain mapping over the coming years.

Assessment of the transition, physical and systemic risks related to biodiversity is presented in table 27 in the biodiversity and ecosystems chapter.

Production assets in Aker BP's own operations are located outside biodiversity-sensitive areas. In 2024, Aker BP as a partner engaged in two exploration drilling operations in biodiversity-sensitive areas, also known as SVOs[1]. These operations were thoroughly risk-assessed in terms of potential impacts and planned to avoid any disruptive activities while ensuring adequate oversight. Further information on the activities and the implemented mitigation measures is provided in section 5 Biodiversity and ecosystems.

Two onshore sites in Aker BP's own operations, which supply power to our offshore production installations, are located near biodiversity-sensitive areas and are further described in section 5 Biodiversity and ecosystems.

1.5.3.5 E5 – Resource use and circular economy

Assets and activities in Aker BP's own operations are screened to identify material IROs in relation to circular economy as a part of internal processes to map and analyse external environment aspects and risks. The methodologies and assumptions used in the analysis are guided by industry standards and best practices, such as NORSOK S-003:2017 Environmental care and Offshore Norge's guidelines for best available techniques assessments. The material impacts associated with major projects, such as the decommissioning of oil and gas installations, are evaluated in impact assessments that are available for public consultations with the affected stakeholders.

The value chain considerations are based on a preliminary screening, which will be further developed as we continue mapping the value chain and deepening our understanding of resource and material flows beyond our own operations.

Material IROs related to resource use and circular economy are summarised in section 6 Resource use and circular economy.

1.5.3.6 G1 – Business conduct

When identifying material IROs related to business conduct, considering the risk context of the oil and gas sector we operate in, our work follows our risk methodology. We assess an IRO's potential operational, financial, legal and reputational risks for Aker BP based on its likelihood of occurrence. Different IROs necessitate evaluating different criteria, but factors such as location and sector-specific considerations are always taken into account. Aker BP mainly operates in Norway, and generally, we consider the risks related to activities in the Nordic countries to be lower regarding business conduct, with correspondingly higher risks associated with activities in countries that have a lower score on the Corruption Perception Index (CPI). Sector-specific IROs relevant to the oil and gas sector, such as health and safety, anti-discrimination, digitalisation and access to grievance mechanisms, are also assessed in each case.

1.5.4 Impacts, risks and opportunities

table 3 summarises Aker BP's material IROs identified in the double materiality assessment and forms the basis for the content of this report. All material IROs have been reviewed by the BoD, ARC and EMT.

1.5.4.1 Changes

Considering the updated DMA, there have been revisions to the evaluation of material topics, sub-topics, sub-sub-topics and IROs from last year. The most significant changes are as follows:

- Water and marine resources were not considered material in our 2023 materiality assessment. However, due to the ramp up of construction activity abroad during 2024, we believe that water consumption can be material in parts of our upstream value chain, though not in our own operations
- Several IROs have been rephrased, some have been added and others have been removed. This has led to some changes in material sub-topics and sub-sub-topics
- Cyber attacks can disrupt our operations, reduce our performance and prevent us from providing energy to Europe. Consequently, we have decided to include this as an entity-specific IRO and have added 'cyber security' as a sub-topic under Governance

1.5.4.2 Identified material impacts, risks and opportunities

It is challenging to measure the current and future financial effects of our material risks and opportunities on our financial position, performance and cash flows. For instance, it is difficult to isolate the negative impact on oil and gas prices caused by a faster energy transition from other factors affecting the prices. Additionally, measuring the financial effect of reputational damage caused by environmental events is complex, whether it involves major incidents such as blowouts or acute water pollution for other reasons. The same applies to reputational damage that affects our ability to attract and retain our workforce.

In table 3, we have identified those risks and opportunities that are deemed to have current financial effect on our financial position, performance and cash flows in 2024. The remaining risks and opportunities are deemed to have no or insignificant financial effect. The same assessment is expected to apply for the reporting year 2025. In note 3 to the 2024 financial statements, we reference specific sensitivity tests that show the accounting effect of certain changes, such as fluctuations in commodity prices, reserves and borrowing costs. For the applicable risks and opportunities, these sensitivity tests provide an indication of their related financial effects to the extent they will occur.

1) SVOs (in Norwegian 'Særlig verdifulle og sårbare områder') are particularly valuable and vulnerable areas for biodiversity that have been identified and managed in the Norwegian management plan for marine areas. The SVO status does not automatically impose restrictions on industrial activity. In 2024, the SVO areas were extended to cover approximately 55 percent of the Norwegian marine areas, compared to the previous 42 percent.

Table 3: **Material topics and related impacts, risks and opportunities**

Topic and sub-topics	Impacts[1]	Risks	Opportunities
Environment			
Climate change – Climate change adaptation – Climate change mitigation – Energy	– GHG emissions in own operations (-) – GHG emissions in upstream value chain (-) – GHG emissions from downstream value chain (-) – Energy use in own operations (-)	– Risk of lower oil and gas prices due to decreased demand for oil and gas and faster energy transition[2] – Risk of increased production costs and reduced growth prospects due to changes to regulatory framework – Risk of increased cost of capital and reduced talent attraction due to negative perception from society and stakeholders[2] – Risk of operational limitations and disruptions due to acute extreme weather offshore and chronic changes in weather patterns[2]	– Opportunity for additional and diversified source of income and improved reputation through carbon capture and storage (CCS) investments – Opportunity for favourable financial terms through industry-leading scope 1 and 2 GHG emission intensity – Opportunity for high productivity through more robust assets adapting to meet climate change
Pollution – Pollution of air – Pollution of water – Substances of concern – Substances of very high concern – Microplastics	– NO_x, SO_x and nmVOC emissions to air (-) – Discharge of produced water including pollutants, substances of concern, very high concern and microplastics (-) – Use and discharge of drilling and well chemicals (-)	– Risk of financial penalty and reputation damage due to acute pollution of water – Risk of temporary stop in production and costs related to clean-up of pollution due to acute spills to water – Risk of loss of license to operate and major financial impact due to blowout	– *No material opportunities identified*
Water and marine resources – Water	– Water consumption from value chain (-)	– *No material risks identified*	– *No material opportunities identified*
Biodiversity and ecosystems – Direct impact drivers of biodiversity loss – Impacts on the extent and condition of ecosystems	– Potential negative impacts on biodiversity due to accidental discharges from offshore operations (-) – Potential negative impacts on biodiversity related to the construction of oil and gas infrastructure and sourcing materials in the value chain (-) – Potential negative impacts on biodiversity due to contribution to climate change (-)	– Reputational risk due to potential expanding operations in environmentally sensitive areas – Risk of increased operational cost due to stricter regulations on biodiversity conservation and ecosystems restoration – Risk of financial penalties and damage to reputation due to major accidental spills	– *No material opportunities identified*
Resource use and circular economy – Resource inflows, including resource use – Resource outflows related to products and services – Waste	– Generation and treatment of waste, including drilling waste (-) – Waste throughout the upstream value chain (-) – Large resource inflows for constructing new wells and infrastructure, transport and energy generation (-) – Large resource outflows associated with decommissioning oil and gas installations (-)	– Risk of increased operational cost and financial penalties due to increasingly strict waste handling regulations – Risk of increased costs due to dependency on high quality resources and materials to adhere to safety and security standards – Risk of increased decommissioning costs due to increased complexity of disposal and processing of resources	– Opportunity for reduced costs and positive reputation through increasing level of re-use and resource use efficiency – Opportunity for reduced cost and increased resilience through increased circularity and new business models related to equipment and resources

1) (+) symbolises a positive impact whereas (-) symbolises a negative impact.

2) These risks and opportunities are deemed to have current financial effect, but as described in section 1.5.4.2 it is not possible to provide a reliable estimate of this effect.

Topic and sub-topics	Impacts[1]	Risks	Opportunities
Social			
Own workforce – Occupational health and safety – Equal treatment and opportunities	– Potential negative impacts on own workforce caused by inadequate working conditions (-) – Gender inequality offshore and onshore (-) – Training and skills development (+) – Potential incidents of harassment in the workplace (-) – Potential health and safety impacts (major accidents, minor incidents and work-related illness) (-)	– Risk of lower productivity and capacity to execute planned activities due to dissatisfaction with working conditions among own workforce – Risk of losing out on skilled workers due to poor reputation caused by failure to deliver on diversity and inclusion in the workplace – Risk of financial penalties and damage to reputation due to adverse health and safety impacts	– Opportunity for increased productivity through training and skills development of own workforce – Opportunity for positive reputation and effect on talent attraction and retention through focus on gender equality and diversity
Workers in the value chain – Working conditions – Other work-related rights	– Potential impacts from poor working conditions related to construction, logistics, industrial manufacturing in high-risk countries (-) – Potential health and safety impacts on workers in the value chain (-) – Potential human rights violations in the value chain (child, forced or compulsory labour) (-) – Potential incidents of violence and harassment in the value chain (-) – Potential to use leverage to contribute to improving working conditions in high-risk countries (+)	– Risk of reputation damage due to poor working conditions, human rights violations and/or violence or harassment in the value chain	– *No material opportunities identified*
Affected communities Communities' economic, social and cultural rights	– Positive impact through investment and job creation in local communities (+) – Positive impact through donations and sponsorships (+)	– Risk of reputation damage due to negative media coverage in affected communities caused by poor stakeholder engagement and failure to demonstrate the positive impact on affected communities – Risk of sanctions, financial penalties and reputation damage due to negative impact on people living in affected communities	– Opportunity for enhanced collaboration with local communities, access to skilled local workforce and positive reputation through the support of local communities[2]
Governance			
Business conduct – Corporate culture – Protection of whistleblowers – Political engagement and lobbying activities – Management of relationships with suppliers – Corruption and bribery – Cyber security (entity-specific subtopic)	– Potential impacts from not sufficiently protecting whistleblowers and creating a culture where concerns are not raised (-) – Potential harm caused by unethical and non-transparent behaviour (-) – Use leverage and dialogue to improve suppliers' social and environmental performance (+) – Potential impacts from corruption in dealing with business partners (-) – Providing secure and reliable energy to Europe (+)	– Risk of sanctions, damaged relationship with authorities, and reputation damage due to poor handling and protection of whistleblowers in Aker BP and among alliance partners – Risk of loss of business partnerships and missed opportunities for favourable relationships due to poor business conduct in the value chain – Risk of financial impact and reputation damage due to insufficient ESG screening of suppliers – Risk of financial penalties, damaged relationships and reputation due to corruption and bribery in own operations and/or supply chain – Risk of business disruption and reduced performance due to cyber attacks on critical IT structures caused by increased geopolitical instability	– Opportunity for influence and efficient preparation for regulatory developments through political engagement[2] – Opportunity for more resilient supply of products through long term relationships with suppliers[2]

1) (+) symbolises a positive impact whereas (-) symbolises a negative impact.

2) These risks and opportunities are deemed to have current financial effect, but as described in section 1.5.4.2 it is not possible to provide a reliable estimate of this effect.

Actual and potential negative effects of oil and gas operations have shaped the way operations have been performed on the NCS for several years. Reducing the impacts of our operations has always been a focus area for Aker BP and will continue to be so in the future. Aspects across the ESG spectrum are closely monitored by the Norwegian Government in stages of our projects, from development to production to decommissioning. Before starting new projects, Aker BP is required to submit an impact assessment which seeks to identify and minimise potential negative effects on the environment, and actual impacts are regularly monitored by the Norwegian Environment Agency.

Health and safety have been a major focus for several years and will always be Aker BP's highest priority. Minimising risks of injuries and accidents is embedded into our way of working. We also seek to perform our business in an ethical manner and hold our suppliers to the same high standards as we adhere to ourselves. Thus, our business model, value chain, strategy and decision-making have been shaped by ESG-related topics and material IROs. Enhanced focus on the environmental and social impacts in our value chain, gained through sustainability reporting in the coming years, could impact our business model, value chain, strategy and decision-making. Further information on the current and future effects of IROs on our strategy and business model is included in the various topical chapters.

The material impacts identified are inherent to the E&P value chain and are not unique to Aker BP's specific business model or strategy. The impacts presented across all topics are thus connected to our business model and strategy but will be broadly similar for most E&P companies on the NCS. Our goal is to minimise all negative social and environmental impacts. However, many of the impacts presented in this report cannot feasibly be removed and will therefore to a certain degree always be present in oil and gas production.

Resilience planning is an essential part of our annual strategy work, encompassing thorough analyses of our portfolio to address the potential impact of short-term unexpected drops in oil and gas prices. This process prepares Aker BP to handle uncertainties and enables better prioritisation of mitigating actions to maintain a robust balance sheet. Additionally, we perform portfolio sensitivity analyses to evaluate the long-term effects of fluctuations in commodity prices, foreign exchange and carbon costs. To prepare for handling disruptive events, we undertake business continuity planning as necessary. This involves implementing preventive measures, establishing redundancies and arranging alternative delivery methods to minimise the potential operational impact of such events. Aker BP's process for business continuity planning is based on recognised principles for preparedness and response as recommended by the Norwegian Directorate for Civil Protection.

We have conducted resilience analyses on our material IROs related to climate change and biodiversity. Further information on these analyses can be found in the climate change chapter and the biodiversity and ecosystems chapter. However, we have not performed resilience analyses on IROs related to other topics.

1.5.4.3 Topics not reported on

Consumers and end-users

Aker BP is a pure-play upstream oil and gas company that primarily engages in the production of crude oil and gas, which are subsequently sold and shipped to refineries for use as raw materials in a variety of different products. Aker BP acknowledges that oil and gas are ingredients in products that may contribute to negative impacts on consumers and end-users, such as plastic products or fuel. However, the raw materials produced by Aker BP are not sold to individuals for personal use. Further, Aker BP does not exert control over the final product, the ultimate composition of these products or determine the final consumer or end-user. Consequently, we have not identified any material impacts, risks or opportunities attributed to this topic, as the impact is fundamentally shaped by the nature of the final product. Hence, consumers and end-users are deemed not material to Aker BP. Note, however, that emissions resulting from the use of our products are included in downstream emissions and are reported in the climate change chapter.

Not material sub-sub topics

Some of the sub-topics or sub-sub-topics defined in ESRS are deemed not material even though the related topic is material. These topics will not be further described in the report.

1.6 SUSTAINABILITY DUE DILIGENCE

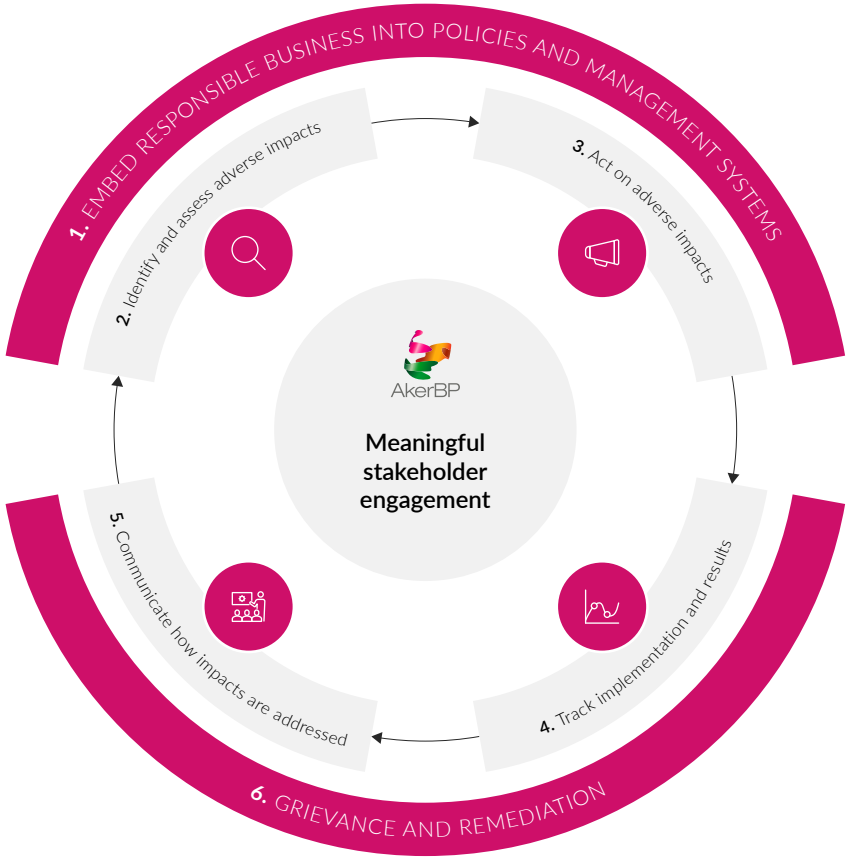
It is our responsibility to have systems and procedures in place to identify actual or potential adverse impacts and to take measures to cease, prevent and mitigate such impacts where we are involved. Our sustainability due diligence process is based on the OECD's due diligence guidance for responsible business. This risk-based process aims to avoid and address adverse impacts associated with our business, supply chain and other business relationships.

We strive to integrate the sustainability due diligence process into relevant business processes, such as risk assessments, environmental impact assessments, supplier pre-qualification and due diligence processes, M&A processes and HSSEQ assessments. Before a new project or new business relationship is initiated, we intend to evaluate associated sustainability risks and implement mitigating measures where necessary. For more information about the core elements of our due diligence, see table 4.

Table 4: **Sustainability due diligence**

Core elements of due diligence	Sections in the sustainability statement	Page
Embedding due diligence in governance, strategy and business model	1.2.1 Sustainability in our corporate strategy 1.3 Governance 1.4 Impact, risk and opportunity management 1.5.4 Impacts, risks and opportunities	37 39 41 46
Engaging with affected stakeholders in all key steps of the due diligence	1.2.1 Sustainability in our corporate strategy 1.3 Governance 1.4 Impact, risk and opportunity management 1.5 Double materiality assessment 7.1.1 Policies and procedures 8.1 Policies and procedures 9.1 Policies and procedures	37 39 41 42 109 119 124
Identifying and assessing adverse impacts	1.5 Double materiality assessment	42
Taking actions to address those adverse impacts	Covered in relevant chapters	
Tracing the effectiveness of these efforts and communicating	Covered in relevant chapters	

Figure 10: **Our due diligence process**





Environment

Climate change →

Pollution →

Water and marine resources →

Biodiversity and ecosystems →

Resource use and circular economy →

ENVIRONMENTAL MANAGEMENT AND COMPLIANCE

Environmental compliance and safeguarding the environment are key priorities for Aker BP. Aker BP's environmental management system is an integral part of the company's sustainability framework and management system. The system covers all our own operations at all locations. Our environmental management system is not certified according to ISO 14001; however, it follows the guiding principles in ISO 14001 and is regularly audited to promote compliance with the standard. Aker BP's external environment policy describes our commitment to safeguarding and avoiding harm to the environment.

In 2024, we performed environmental risk analyses and evaluated appropriate actions when planning exploration and development drilling. We also updated these analyses for assets where changes in activity levels could affect environmental performance. We continuously identify actual and potential environmental impacts and risks, including stakeholders and experts in the evaluation process. Annual health, safety, security, environment and quality (HSSEQ) programmes are in place for both exploration and production drilling, as well as production activities. These plans include environmental objectives, activities and focus areas for each year.

We continuously review and assess the degree to which environmental expectations are met. Environmental performance is followed up and included in our environmental accounting system, NEMS, which follows the guiding principles in ISO 14001.

Aker BP uses the annual submission of reports to authorities, audits performed by regulatory agencies and self-assessments to ensure environmental compliance. The compliance checks in the self-assessment process consider both environmental aspects and regulatory requirements. The audits verify the effectiveness of our environmental management system and are part of our continuous improvement efforts to ensure compliance. Over time, these audits cover all our own operations at all locations.

Discharges to sea from our own operations and exploration activities are governed by our discharge permits issued by the Norwegian Environment Agency. We report on the compliance status for our discharges and emissions to the authorities, for both operating fields and exploration drilling, on an annual basis. Annual reports, along with feedback on these annual reports from the Norwegian Environment Agency, also provide input for continuous improvement of our environmental performance.

Internal and external audits are subject to compliance evaluation against external environmental permits and legislation.



2 Climate change

Climate change is a material topic for Aker BP as we are a consumer and supplier of energy, which leads to greenhouse gas (GHG) emissions both in our own operations and in our upstream and downstream value chain. GHG emissions contribute to global climate change, which affects the environment and society. Climate change poses both risks and opportunities for Aker BP, and we strive to reduce climate-related risks and materialise climate-related opportunities. Material climate-related impacts, risks and opportunities are presented in table 5.



32% reduction

in operational control scope 1 and 2 GHG emissions, compared to our 2017 baseline

2.6 kg CO_2e/boe

Equity share scope 1 and 2 GHG emission intensity

0.018% CH_4/ saleable gas

Operational control scope 1 methane emission intensity

Relevant policies:

Climate and energy policy

Emissions factors for calculating CO_2e:

Greenhouse gas	Global warming potential (GWP) rates in a 100 year perspective*
CO_2	1.0
CH_4 fossil origin	29.8
N_2O	273.0

* Source: IPCC Sixth Assessment Report (2021)

Emission scopes:

- **Scope 1:** Direct emissions from owned or controlled sources
- **Scope 2:** Indirect emissions from the generation of purchased energy
- **Scope 3:** Indirect emissions (not included in scope 2) that occur in the value chain of the company, including both upstream and downstream emissions

Table 5: **Material impacts, risks and opportunities: Climate change**

Material matters	Scope	Description of materiality	
Material impacts[1]			
GHG emissions in own operations (-)	Own operations	Aker BP's own operations have direct emissions of greenhouse gases which contribute to global GHG emissions, negatively affecting the climate	
GHG emissions in upstream value chain (-)	Upstream value chain	Aker BP's operations require resource inflows (e.g., steel, chemicals, cement, fuel use) which have associated GHG emissions, negatively affecting the climate	
GHG emissions from downstream value chain (-)	Downstream value chain	Aker BP's sold products contribute to global emissions of greenhouse gases, negatively affecting the climate	
Energy use in own operations (-)	Own operations	Aker BP's operations consume energy which could be used for other applications. Aker BP has several electrified assets which use power from the Norwegian electricity grid	
Material risks	**Scope**	**Description of materiality**	**Mitigation actions**
Transition risk – market risk and competition: Risk of lower oil and gas prices due to decreased demand for oil and gas and faster energy transition	Own operations	Potential reduced revenues from lower prices of our sold products could negatively impact value creation	– Strict financial framework for investment decisions; sanctioning projects with low break-even oil prices – Scenario analysis and stress-testing on both portfolio and project levels and internal carbon price exceeding IEA's Net Zero Emissions by 2050 scenario
Transition risk – regulatory and legal: Risk of increased production costs and reduced growth prospects due to changes in regulatory framework	Own operations	Potential changes to operating frameworks could lead to reduced revenue or increased costs for Aker BP and hence negatively impact value creation	– Scenario analysis and stress-testing on both portfolio and project levels and internal carbon price exceeding IEA's Net Zero Emissions by 2050 scenario – Energy management and other emission reduction initiatives – Continuous monitoring of developments in the regulatory framework and engagement with relevant stakeholders
Transition risk – reputational: Risk of increased cost of capital and reduced talent attraction due to negative perception from society and stakeholders	Own operations	Ability to attract and retain talent is critical for Aker BP to become the E&P company of the future. Changes in our cost of capital and insurance premiums could lead to increased costs for Aker BP and hence negatively impact value creation	– Efforts in place to secure financial flexibility and maintain investment grade credit rating – Maintaining Aker BP brand as an attractive employer
Physical risk – acute and chronic: Risk of operational limitations and disruptions due to acute extreme weather offshore and chronic changes in weather patterns	Own operations	Increased frequency of extreme weather and changes in weather patterns offshore could affect working environment offshore, increase frequency of shutdowns, as well as require modifications on our existing facilities	– Environmental monitoring, update of metocean data and evaluation of structural design limits are part of the integrity management process – Working environment risks are assessed using best industry practice and form input to infrastructure design for new facilities and working procedures for existing facilities
Material opportunities	**Scope**	**Description of materiality**	**Actions to realise opportunities**
Opportunity for additional and diversified source of income and improved reputation through carbon capture and storage (CCS) investments	Own operations	CCS could represent a potential new revenue stream for Aker BP, and support our customers in decarbonising	– Assess current acreage for CCS development. Aker BP is already the operator on two CCS licenses and partner on a third – Further develop business model and technology related to CCS – Assess possible new acreage suitable for CCS
Opportunity for favourable financial terms through industry-leading scope 1 and 2 GHG emission intensity	Own operations	In an investment environment increasingly shaped by intensifying ESG pressure, Aker BP's industry-leading scope 1 and 2 GHG emission intensity, low production costs and high ESG performance provide a competitive advantage and better opportunities to obtain capital in the future	– Cost reduction initiatives – Energy management and other emission reduction initiatives – Continuous evaluation of electrification using power from shore or from offshore wind, where feasible
Opportunity for high productivity through more robust assets adapting to meet climate change	Own operations	Aker BP has a portfolio of resilient assets with short payback times that will remain profitable even under low oil price scenarios	– Continued investment in digitalisation and business transformation

1) (+) symbolises a positive impact whereas (-) symbolises a negative impact.

The Task Force on Climate-related Financial Disclosures (TCFD) has been embedded in Aker BP's climate change disclosure since 2018. The TCFD recommendations have now been fully integrated into the ESRS E1, and we continue to follow the recommended practice for climate-related financial disclosure as prescribed by the ESRS.

2.1 POLICIES AND PROCEDURES

Our climate and energy policy is built on the following core beliefs:

Aker BP acknowledges the Paris Agreement and associated goals, as well as the Norwegian national climate commitments
We acknowledge the conclusions from the Intergovernmental Panel on Climate Change (IPCC) and the goals of the Paris Agreement, which call for a global effort to limit the global temperature increase to 1.5°C above the pre-industrial level. Through our Konkraft collaboration and industry commitment, we contribute to the Norwegian government's national commitment to reduce GHG emissions by a minimum of 55 percent by 2030.

Aker BP believes that oil and gas produced with low scope 1 and 2 GHG emission intensity and at low cost is critical for energy affordability and security
We believe the transition to a low-carbon future needs to happen in a responsible manner that ensures affordable and reliable energy for people and societies. While the demand for oil and gas is expected to decrease it will nevertheless remain a significant energy source and feedstock in a low-carbon future for decades to come. Aker BP intends to contribute to the energy transition and energy security through our role as a reliable provider of low-cost oil and gas produced with industry-leading equity share scope 1 and 2 GHG emission intensity. We also aim to have high value creation and support new low-carbon industries by sharing technology and knowledge.

In 2021, we strengthened our management of climate-related matters and issued a separate climate and energy policy. The policy addresses both climate change mitigation and adaptation, as well as energy efficiency, and outlines our commitments to:

1. Reduce energy consumption and related emissions to air
2. Reduce GHG emissions
3. Manage climate-related risks and opportunities
4. Evaluate low-carbon innovation solutions to reduce emissions
5. Responsible management of our carbon dioxide removal portfolio

This policy covers all climate-related impacts, risks and opportunities as described in table 5, except for the impact related to GHG emissions from the downstream value chain and the opportunity related to advancing carbon capture and storage (CCS). The process related to monitoring of climate-related impacts, risks and opportunities is described in section 1 General. Through this document, Aker BP commits to set short- and long-term targets for reducing scope 1 and 2 GHG emissions. We also aim to cooperate with suppliers and contractors to establish a GHG footprint and implement appropriate measures to reduce upstream scope 3 emissions. The SVP people and safety, who is part of our executive management team, is the owner of this policy and is accountable for its implementation. The policy is publicly available on our website.

Through our obligations to the authorities, our emission levels are controlled and limited by authority permits for each asset, strict environmental regulations and specific Norwegian continental shelf (NCS) standards. Close cooperation with Offshore Norge, the national industry organisation, ensures joint compliance with national commitments and stakeholder expectations.

2.2 CLIMATE TRANSITION PLAN

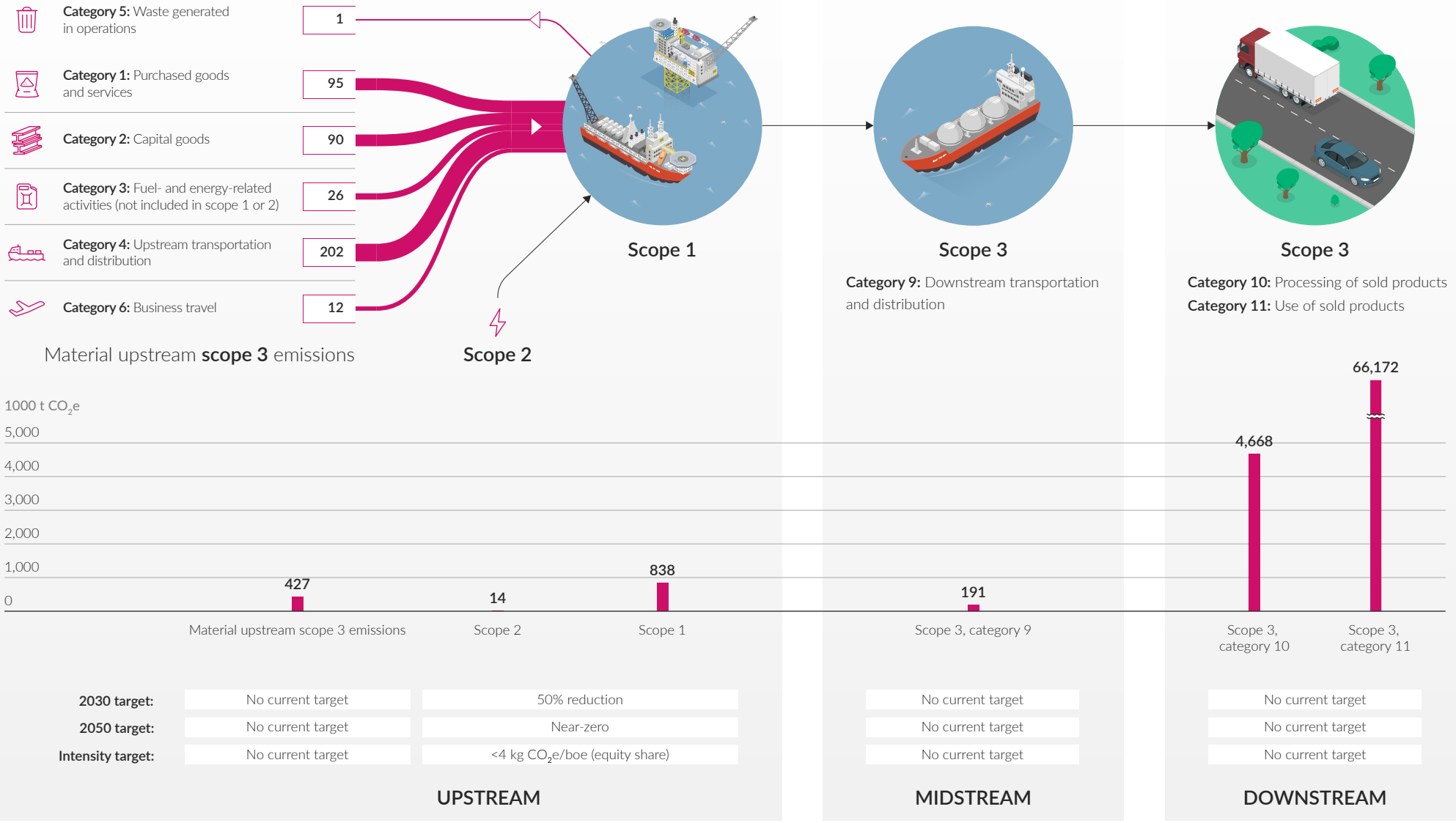
Aker BP does not have any targets to reduce our scope 3 emissions. As a result, we do not have a climate transition plan in line with the ESRS' requirements and do not have a timeline for if or when we will develop such a plan.

2.3 ACTIONS

2.3.1 Actions to reduce GHG emissions from our own operations

Aker BP has identified GHG emissions from own operations as a material impact, and we have also identified an opportunity related to favourable financial terms through industry-leading scope 1 and 2 GHG emission intensity. In line with the commitments in our climate and energy policy, we have an active energy management process for our operated assets and continuously implement energy and emission-reducing measures when feasible. As a result, we completed several energy efficiency and scope 1 and 2 GHG emission reduction initiatives during 2024 and furthermore identified the main decarbonisation levers to achieve our climate-related targets presented in section 2.4. No metrics presented in this section have been validated by any entity other than the assurance provider.

Figure 11: **Operational control GHG emissions across the value chain (in 1000 t CO_2e)**



2.3.1.1 GHG and energy emission reductions in 2024

Achieving reductions in energy consumption and pursuing energy-efficient solutions and technology through energy management is an integral part of Aker BP's strategy to be the best-in-class producer of oil and gas with an industry-leading equity share scope 1 and 2 GHG emission intensity. Our approach to energy efficiency is embedded in how we work and includes our governing principles, performance and reward framework. Aker BP's climate and energy policy formalises our commitment to energy management and energy efficiency in all aspects of our operations, and it enables us to deliver on our performance goals.

Our energy management system embodies the principles from the ISO 50001 standard. As an operating company on the NCS, Aker BP is required by law to conduct energy management in accordance with the principles of this standard.

We work continuously to reduce our energy consumption and related emissions by implementing energy management initiatives. These efforts are driven by established energy teams in each asset and are reported to senior management on a regular basis. The effectiveness of energy management and the implementation of identified energy improvement opportunities are tracked through reduced emission levels, power management dashboards for each asset, and Aker BP's equity share scope 1 and 2 GHG emission intensity KPI. We do not have an overarching energy reduction target at Aker BP but instead utilise asset-specific energy reduction targets to focus efforts on the most effective energy reduction activities for each asset.

Several scope 1 and 2 GHG emission reduction measures were carried out in 2024, in line with our climate and energy policy objectives, yielding an estimated total reduction of 56,800 tonnes of CO_2e. The reduction measures were mainly identified through our annual energy management process. Our most significant GHG emission reduction initiatives in 2024 are listed in table 6.

Costs related to energy management initiatives completed during 2024 were not significant.

2.3.1.2 Future decarbonisation levers

All future emission reductions and costs are estimates based on current forecasts. The methods for calculating expected emission reductions are as follows:

- **Retirement of assets:** Emission reduction is assumed to be equal to the asset's emission level in the last year of comparison, i.e., 2024 emissions for Ula, and 2030 emissions for Alvheim, Skarv and Grieg Aasen
- **Change of output and performance:** Projected differences between emission levels in the target year and the last point of comparison (2024 or 2030) for non-decommissioned assets
- **Energy management:** Projected emission reductions from energy management in the target year, assuming one percent cumulative emission reductions with lasting effect per year

Timelines for implementation of the actions are based on current plans and may thus be subject to changes. Any potential new developments or tie-ins not currently identified will be integrated into future forecasts as changes in output. All new field development projects requiring power infrastructure will perform feasibility studies for power from shore or power transmission from existing assets. The implementation of all potential future actions is dependent on a stable operating environment on the NCS, continued access to capital and the availability of internal and external resources to perform the actions.

All references to future costs are estimates based on current projections and are hence subject to uncertainties. Costs related to the future retirement of assets between 2025 and 2050 are estimated to represent 49 percent of the abandonment liabilities presented in note 22 on page 184 of the 2024 financial statements. Costs related to changes in output and performance between 2025 and 2050 are estimated to be insignificant. All costs related to future energy management initiatives are assumed to be capex and are calculated based on an assumed one percent cumulative emission reductions with lasting effect per year towards 2050. We assume an abatement cost equal to Aker BP's internal carbon price assumptions for each year. Capex related to energy management initiatives between 2025 and 2050 is estimated to be USD 28 million.

Table 6: **Actions undertaken in 2024**

Action description	Reduction in 2024 emissions (1000 t CO_2e)
Scope 1 GHG emission reductions Several emission reduction measures were carried out in 2024, including: – Optimisation of WAG (water alternating gas injection) compressor use on Ula – Turbine optimisation on Ula – Modifications to close LP flare on Valhall – Installation of new air filters on Alvheim	CO_2: 54.5 CH_4: 2
Scope 2 emission reductions Several initiatives were completed to reduce power consumption on our electrified assets during 2024, including: – Crossflow water injection to Hanz, removing the need for water injection, yielding a total reduction of 16 GWh per year	0.3

Actions to achieve 50 percent reduction in operational control scope 1 and 2 GHG emissions by 2030

Aker BP will continue to seek cost-effective, energy-efficient emission reduction measures to reduce GHG emissions from our operated assets. Investments in electrification constitute the most important lever for reducing scope 1 emissions under our 'avoid' and 'reduce' pillars. In 2028, we plan to retire our Ula asset, as well as bring new electrified production on stream mainly through our Yggdrasil and Valhall PWP-Fenris projects. Based on current projections, around 85 percent of Aker BP's equity share production is estimated to be electrified by 2030, enabling us to maintain our portfolio with industry-leading low scope 1 and 2 GHG emission intensities.

Actions to achieve near-zero scope 1 and 2 GHG emissions by 2050

By the early 2040s, our scope 1 and 2 GHG emissions will be significantly reduced due to the decommissioning of Alvheim and Skarv, our two remaining non-electrified assets. At this point, 100 percent of Aker BP's production is expected to be electrified with power from shore. We aim to continue our work on energy efficiency towards 2050, which will help us reach our target of near-zero operational control and equity share scope 1 and 2 GHG emissions by 2050. Near-zero implies more than a 90 percent reduction from our 2017 baseline.

2.3.2 Actions related to methane emissions

Minimising methane emissions is a key part of Aker BP's climate efforts and is covered by our climate and energy policy, as described in section 2.1. One of Aker BP's climate-related targets, presented in section 2.4, is to minimise methane emissions and maintain an operational control scope 1 methane intensity below 0.05 percent.

To enhance our understanding and control of all methane emission sources, Aker BP joined the Oil and Gas Methane Partnership 2.0 (OGMP 2.0) and reported in accordance with their standard in 2024.

Going forward, we will continue to develop site-specific monitoring survey plans for our operated assets. In addition, we are working to implement improved leak detection and repair (LDAR) surveying techniques for surface and subsea assets, in line with forthcoming methane regulations. The time horizon for implementation of the forthcoming methane regulations in Norway is still unclear. The site-specific monitoring will support our source-specific emission estimates, enabling our emissions to be kept at a minimum and remain well within our long-term methane emission intensity target.

2.3.3 Actions related to upstream scope 3 emissions

Aker BP's climate and energy policy, as described in section 2.1, outlines our ambition to work in cooperation with suppliers and contractors to establish a GHG footprint and implement appropriate measures to reduce upstream scope 3 emissions. As of 2024, Aker BP does not have any targets related to upstream scope 3 emissions.

As stated in our policy, our ambition is to enhance the quality of our upstream scope 3 reporting. During 2024, the focus has shifted to obtaining data granularity to report in accordance with ESRS, which requires reporting scope 3 emissions from the consolidated accounting group. We work with the largest contributors and cooperate with alliance partners to identify suitable improvement initiatives and emission reduction measures.

Table 7: **Actions planned to be undertaken before 2030**

Action description	Timeline	Emission change (1000 t CO_2e)
Retirement of assets Decommissioning of Ula, one of our three remaining gas-powered assets, is planned for 2028	2028	-162
Change of output and performance Natural variations in performance due to changing production levels, as well as other influencing factors. Yggdrasil will come on stream in 2027 and will add some emissions, despite being electrified	2025–2030	-79
Energy management Projected emission reductions from energy management initiatives in 2030	2030	-36

Table 8: **Actions planned to be undertaken between 2030 and 2050**

Action description	Timeline	Emission change (1000 t CO_2e)
Retirement of assets Based on our current portfolio, our two remaining gas-powered assets, Skarv and Alvheim, are currently planned to be decommissioned in 2036 and 2041, respectively. The Grieg Aasen area is currently planned to be decommissioned by 2050	2030–2050	-478
Change of output and performance As our assets gradually mature, more energy is required to extract oil and gas from the reservoirs, leading to a slight increase in emissions from the remaining producing assets in 2050 compared to 2030	2030–2050	+31
Energy management Projected emission reductions from energy management initiatives in 2050	2050	-29

Key activities performed during 2024:

- Certification of low-carbon steel and copper deliveries
- Energy efficiency measures implemented on Eidesvik chartered vessels, resulting in approximately 550 tonnes of CO_2e savings in 2024. Measures included improved heat utilisation, improved voyage planning and replacement of energy intensive equipment
- Generation and collection of product-specific emission factors for chemicals and cement
- Development of dashboards to ensure increased reuse and utilisation of surplus inventory to reduce the use of virgin products

Quantifying the total impact of our 2024 activities related to upstream scope 3 emissions is challenging due to the activity-based nature of scope 3 emissions. Going forward, Aker BP will continue to improve the quality of scope 3 reporting through enhanced supplier engagement and will consider possibilities for a potential future target for upstream scope 3 emissions.

2.3.4 Other climate-related actions

2.3.4.1 Carbon capture and storage

Aker BP believes that CCS will play an important role in the transition to a low-carbon energy future.

table 5 describes our material climate-related impacts, risks and opportunities. One of the opportunities described is related to an additional and diversified source of income and improved reputation through carbon storage investments. As of now, we do not have any policies, targets or metrics related to CCS.

In 2023, Aker BP was awarded its first CO_2 storage license on the NCS, Poseidon (EXL005), together with OMV (Norge) AS. The license is located in the Southern Norwegian sector of the North Sea and is operated by Aker BP. In September 2024, Aker BP received its second CO_2 storage license, Atlas (EXL011), located east of the Aker BP-operated Yggdrasil development in the Central North Sea. Aker BP is the operator, with an anticipation that Orlen Upstream Norge AS will enter the license as a partner in early 2025. In December 2024, the Ministry of Energy announced that Aker BP will be awarded a third license, Forsete (EXL013), located west of Yggdrasil. Forsete will be operated by Equinor Low Carbon Solution AS.

Aker BP has a strategic partnership with Höegh Evi to develop a comprehensive CO_2 transport and storage solution for industrial CO_2 emitters in Europe. The agreement combines the companies' respective strengths, expertise and technologies to include collecting, conditioning, transporting and securely injecting CO_2 for permanent storage in subsea reservoirs on the NCS.

Aker BP's CCS activities currently have three focus areas. Firstly, we are capturing high-quality subsurface opportunities and assessing their suitability for carbon storage through subsurface studies. Secondly, we are evaluating field development concepts to mature projects towards development decisions. Thirdly, we are establishing strategic partnerships across the CCS value chain to develop a viable business model, while collaborating with the industry and authorities to establish a regulatory and fiscal framework for CCS.

2.3.4.2 Research and development related to climate and external environment

One of the stated ambitions in our climate and energy policy is to contribute to the development and sharing of technology to enable new industries. As of now, we do not have any targets related to research and development (R&D).

Aker BP continuously invests and participates in R&D activities. Our prioritised areas of R&D include digitalisation and technology development within emission and discharge control, Health, safety, security, environment and quality (HSSEQ) and other operational disciplines. Our total R&D budget in 2024 was NOK 396 million, while our allocated spending on low emission solutions was NOK 51 million.

2.4 TARGETS

As part of our broader strategy to be the E&P company of the future, Aker BP has developed a decarbonisation plan, which is publicly available on our website.

Through our Konkraft collaboration and industry commitment, we contribute to the Norwegian government's national commitment to reduce GHG emissions by a minimum of 55 percent by 2030. The targets have been set without direct involvement of external stakeholders. However, we are monitoring developments in regulations, standards and frameworks, as well as stakeholder expectations around climate-related targets. To achieve our policy objective of reducing GHG emissions from our operated assets in line with expectations from the Norwegian government, we have set the climate-related targets presented in this section. The targets are set to reduce our impact related to energy use and GHG emissions in our own operations, reduce regulatory risks related to carbon taxes, and maximise opportunities related to favourable financial terms through industry-leading scope 1 and 2 GHG emission intensity. Our targets are not externally assured. Our climate-related targets are not science-based but are in line with national and international expectations for emission reductions in our industry.

We have no major dependencies or significant assumptions related to our targets, as all targets are related to our own operations. The data sources used to determine the targets are Aker BP's own emission forecasts. The emission forecasts used for all projected future emissions in this chapter are based on in-house data for scope 1 and 2 GHG emissions from all operated and non-operated assets. The emission forecasts are based on current projections for production and energy-demanding activities offshore per asset, which are subject to changes and hence could impact future emission levels. No changes have been made to any of our climate-related targets or underlying metrics during 2024.

All targets referring to a reduction in greenhouse gases (GHG) include carbon dioxide (CO_2), methane (CH_4) and nitrous oxide (N_2O), which are the three greenhouse gases considered material in Aker BP's operations. Aker BP has set targets for both our operational control and equity share emissions, consistent with the reported emissions in section 2.5.5.

The targets cover our own operations and are thus not dependent on customer preferences and demand. Major changes in regulatory factors or breakthroughs in emission reduction technologies could influence the achievement of our targets, but the targets themselves are not dependent on such developments. Expected future changes in production and output are reflected in the emission forecasts on which the targets are based.

2.4.1 Target 1

We aim to reduce our operational control scope 1 and 2 GHG emissions by 50 percent by 2030 compared with our 2017 baseline of 1.25 million t CO_2e. By 2050, we aim to achieve near-zero operational control and equity share scope 1 and 2 GHG emissions.

Our operational control scope 1 and 2 GHG emissions in 2024 were 838,200 t CO_2e and 14,400 t CO_2e respectively, which constitutes a 32 percent reduction from our 2017 baseline. The share of operational control scope 1 emissions compared to scope 2 emissions for this target varies slightly from year to year but scope 2 emissions have historically constituted between one and two percent of total scope 1 and 2 GHG emissions. However, this share is expected to increase going forward as a higher percentage of our operated assets will be electrified with power from shore. Based on current projections, the share will increase to around seven percent by 2030, and around 20 percent by 2050. This target applies a location-based method for calculation of scope 2 emissions. Based on current projections, we are in line with our target of 50 percent reduction by 2030 and near-zero by 2050.

Our 2017 baseline was chosen as this is the first year all producing assets under Aker BP's operational control were in full stable production.

All decarbonisation levers visualised in figure 12 are reductions in scope 1 GHG emissions and are mostly based on existing technologies such as electrification, as well as retirement of GHG-intensive assets. Emission reductions from energy management could involve use of new technologies.

Figure 12: **Pathway to near-zero operational control scope 1 and 2 GHG emissions by 2050**



1) Natural changes in emission levels for operated assets and drilling rigs 2017–2024.
2) Change in projected emission levels for producing assets 2024–2030 (excl. Ula), Yggdrasil area on-stream.
3) Assumed reduction from energy management of one percent lasting cumulative emission reductions per year.
4) Change in projected emission levels for producing assets 2030–2050 (excl. Alvheim, Skarv and Grieg Aasen).
5) Assumed reduction from energy management of one percent lasting cumulative emission reductions per year.

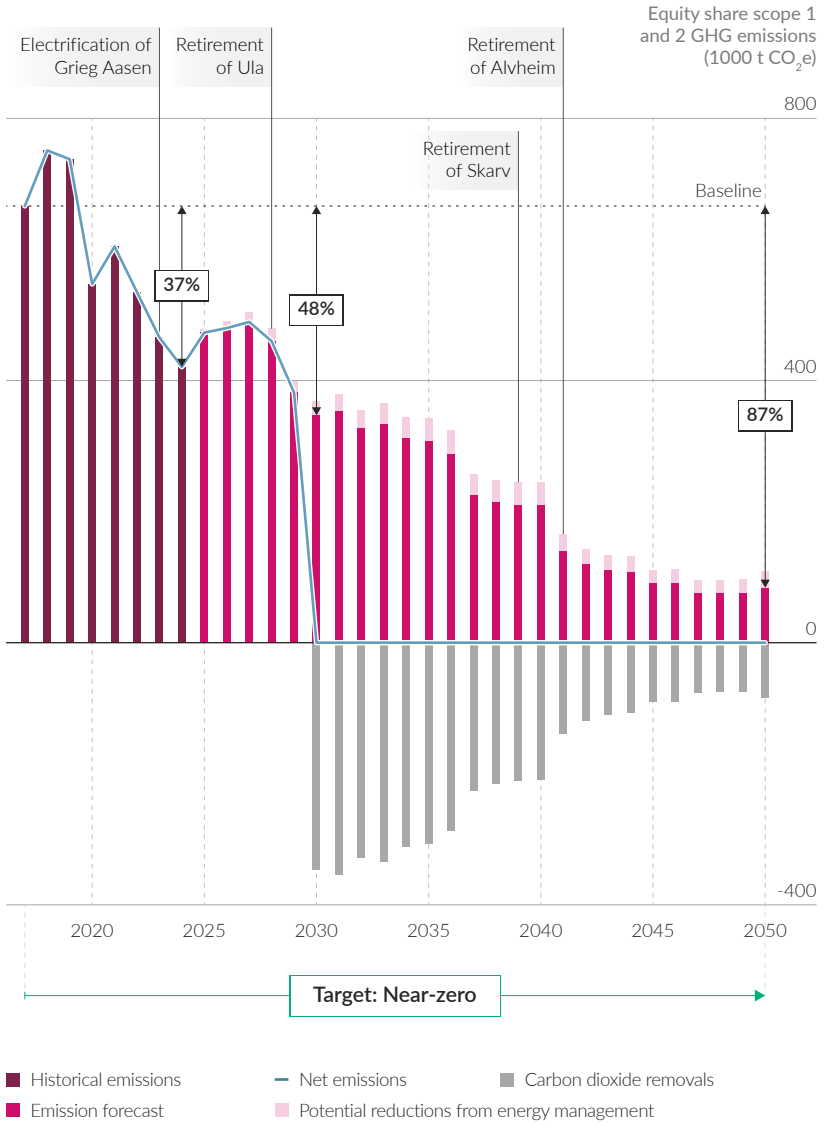
2.4.2 Target 2

Aker BP aims to achieve equity share scope 1 and 2 GHG emission neutrality from 2030. This target is closely interlinked with our emission reduction target presented in section 2.4.1, and our approach to decarbonisation, depicted in figure 13. Our approach to decarbonisation emphasises that we will prioritise scope 1 and 2 GHG emission reductions where feasible, leading up to and after 2030, in line with the 'avoid' and 'reduce' pillars. We aim to neutralise every remaining tonne of equity share scope 1 and 2 GHG emissions from our own operations from 2030 onwards using high quality carbon dioxide removal (CDR) credits. These CDRs are voluntary and associated costs come in addition to all carbon taxes or fees we pay for our emissions. For more information about our work with CDRs, see section 2.5.7.

Figure 13: **Our approach to decarbonisation**

1. Avoid	We aim to avoid emissions wherever possible through electrification of greenfield developments and rigs, portfolio management and optimisation of existing infrastructure
2. Reduce	We aim to reduce emissions through active energy management and brownfield electrification
3. Neutralise	For every tonne of remaining equity share scope 1 and 2 GHG emissions from our own operations, we aim to capture one tonne of CO_2 from the atmosphere through high-quality carbon dioxide removal projects from 2030

Figure 14: **Our pathway to equity share scope 1 and 2 GHG emission neutrality from 2030**



2.4.3 Target 3

We aim to minimise GHG emissions and maintain an equity share scope 1 and 2 GHG emission intensity below 4 kg CO_2e/boe. According to IOGP, this is less than one quarter of the global average in 2023[1].

This is a continuous target and thus has no baseline value or applicability period.

The share of equity share scope 1 emissions compared to scope 2 emissions for this target varies slightly from year to year but scope 2 emissions have historically constituted less than five percent of the total scope 1 and 2 GHG emissions. However, this share is expected to increase going forward as a higher percentage of our own operations is powered with power from shore. Based on current projections, the share will increase to around 10 percent by 2030, and around 20 percent by 2050. Location-based method is used for calculation of scope 2 emissions.

Our equity share scope 1 and 2 GHG emission intensity in 2024 was 2.6 kg CO_2e/boe, meaning that we are well below our target of below 4 kg CO_2e/boe. This is in line with our expectations and is lower than previous years due to enhanced electrification of our assets and implemented energy management initiatives.

The target is a long-term commitment from the company to maintain an industry-leading scope 1 and 2 GHG emission intensity, in line with our vision of becoming the E&P company of the future. The decarbonisation levers described in section 2.3 along with continued high production from our assets in our own operations will help us reach this target.

2.4.4 Target 4

We aim to minimise methane emissions and maintain our operational control scope 1 methane emission intensity below 0.05 percent[2].

This is a continuous target and thus has no baseline value or applicability period.

In 2024, our methane emission intensity was 0.018 percent. This is in line with our expectations and is at a similar level to previous years. Our operational control scope 1 methane intensity is anticipated to increase in the future. Therefore, continued focus on methane emission reduction initiatives and production optimisation is key to achieving this long-term target.

1) IOGP Environmental performance indicators - 2023 data

2) Calculated as volume of operational control scope 1 methane emissions from operated assets and drilling activities, expressed as a percentage of the total volume of saleable gas.

Figure 15: **Projections for equity share scope 1 and 2 GHG emission intensity**

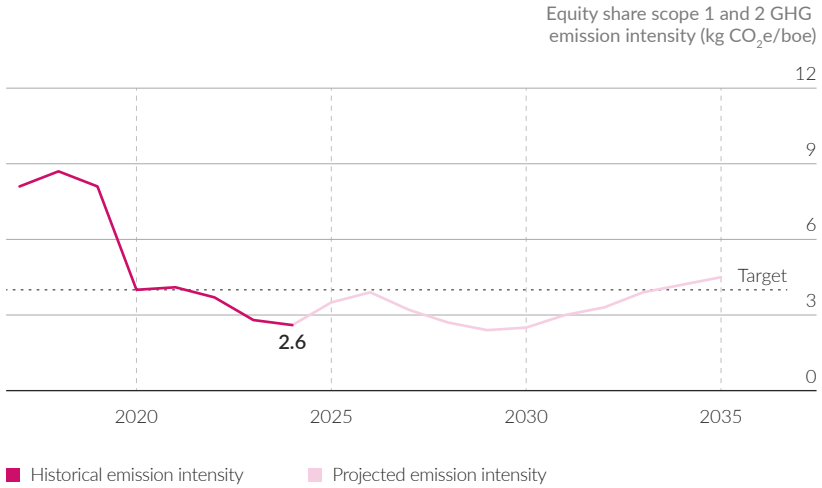
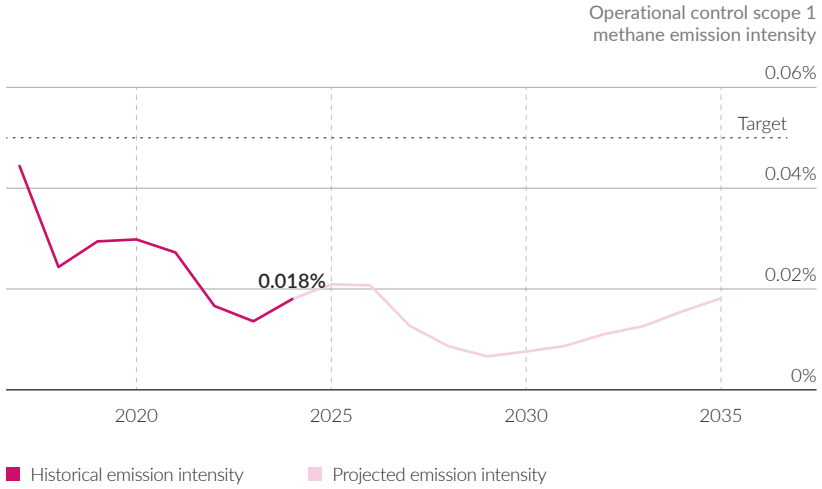


Figure 16: **Projections for operational control scope 1 methane intensity**



2.5 METRICS

Except for emissions covered by EU ETS, no metrics presented in this section were validated by an external body other than the assurance provider.

2.5.1 Scope 1 emissions

Our scope 1 consolidated GHG emissions include CO_2, CH_4 and N_2O emitted throughout the year. Our 2017 emission baseline for operational control is 1.250 million tonnes of CO_2e, of which 1.245 million t CO_2e are scope 1 and 5,000 t CO_2e are scope 2 emissions. Aker BP's operational control scope 1 GHG emissions were 838,200 t CO_2e in 2024. Our equity share scope 1 GHG emissions were 405,400 t CO_2e. Further details around our scope 1 emissions are presented in section 2.5.5.

Our operational control scope 1 methane emission intensity was 0.018 percent CH_4 of saleable gas. This is significantly lower than the 0.14 percent as reported by Oil and Gas Climate Initiative (OGCI 2023 performance data). It is also below our long-term target of 0.05 percent, as detailed in section 2.4.4. Most of our methane emissions originate from releases of non-combusted gas, through cold venting, fugitive emissions and from offloading on our FPSOs (floating production storage and offloading vessels).

Only safety flaring is permitted for all assets in Aker BP's own operations, which means that flaring in general and associated emissions to air is very limited. Aker BP's work to reduce flaring and quantify emissions of non-combusted hydrocarbon gases has resulted in closed flares on five of six assets and significantly reduced flaring volumes from our producing assets over time. Total flared volume on our operated assets in 2024 was 18 million sm^3. We also have LDAR systems implemented on all assets in our own operations.

All scope 1 CO_2 emissions are monitored and measured in accordance with EU ETS MR-regulation requirements[1]. For non-CO_2 emissions, activity-specific emission factors (Offshore Norge, 2024) are used where available, as specified in Norwegian regulatory requirements. All scope 1 CH_4 emissions are quantified using activity-specific emission factors, in accordance with national guidelines and OGMP 2.0 guidance. All N_2O emissions are quantified using source-specific emission factors.

1) COMMISSION IMPLEMENTING REGULATION (EU) 2018/2066 on the monitoring and reporting of greenhouse gas emissions pursuant to Directive 2003/87/EC of the European Parliament and of the Council and amending Commission Regulation (EU) No 601/2012.

Figure 17: **Operational control scope 1 GHG emissions**

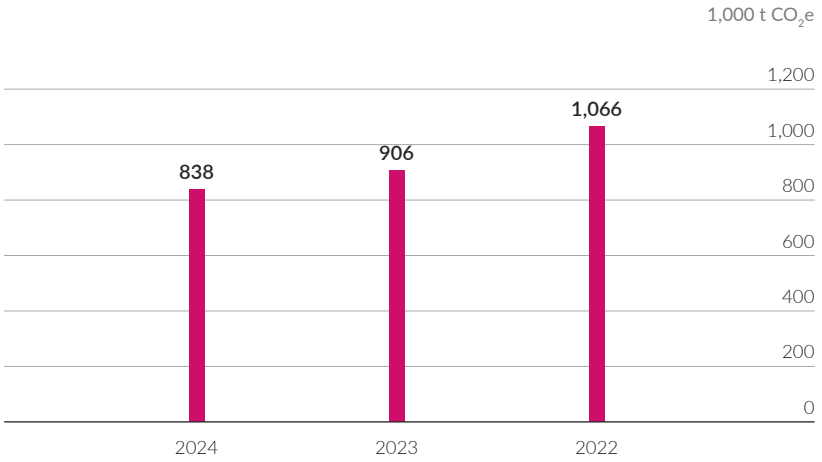
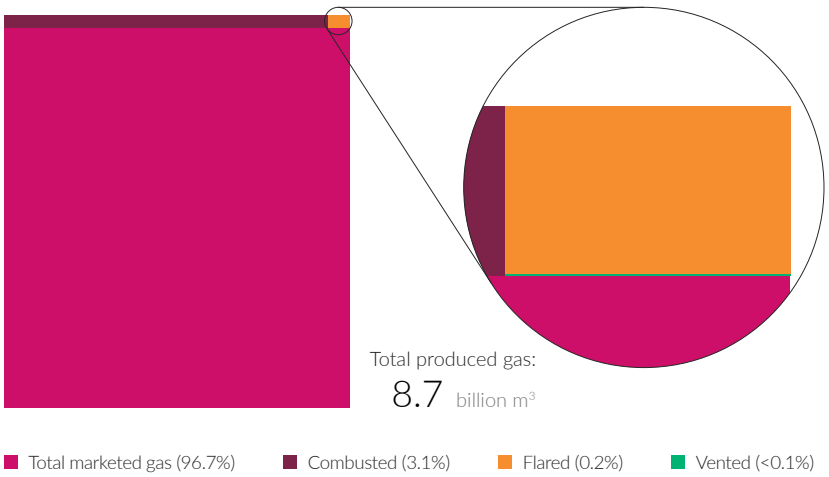


Figure 18: **Breakdown of gas streams (operational control)**



2.5.2 Scope 2 emissions

Aker BP's own operations consume a significant amount of electrical energy, as we have several assets electrified with power from shore. We have committed through our climate and energy policy, presented in section 2.1, to reduce energy consumption and related emissions to air. We also have targets covering both operational control and equity share scope 2 emissions, as presented in section 2.4.

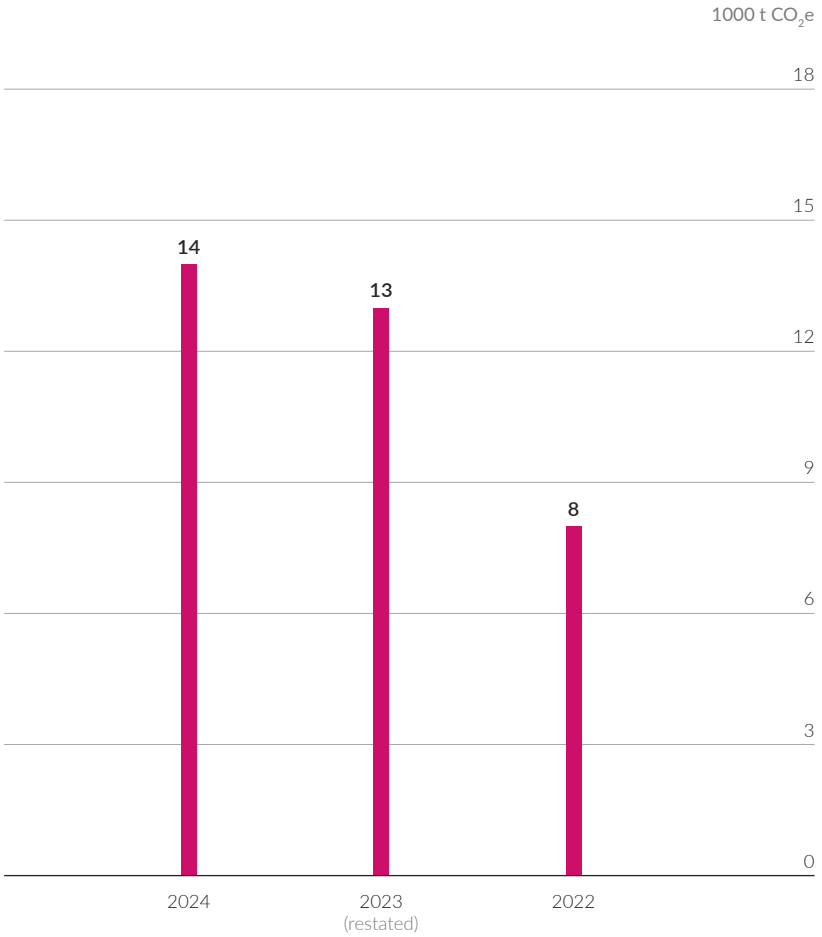
Our operational control scope 2 emissions are mainly related to the purchase of electricity supplied to Grieg Aasen and Valhall, but also include power consumption at Aker BP's office locations. Our operational control scope 2 emissions increased from 13.300 tonnes of CO_2e in 2023 to 14,400 tonnes of CO_2e in 2024.

Equity share scope 2 emissions include power consumption at Johan Sverdrup. For calculation of equity share scope 2 emissions, Aker BP's office locations are assumed to have 100 percent equity share, and our equity share of power consumption at our partners' office locations is assumed to be negligible.

Emission factors used to calculate scope 2 emissions are from The Norwegian Water Resources and Energy Directorate (NVE)[1] as this is recognised as a reliable source of factors which is publicly available and widely used. The location-based and market-based emission factors for Norwegian power in 2023 were published in June 2024, after the previous sustainability report was published. Due to this, our location-based scope 2 emissions for 2023 are restated in this year's report, changing from 16,800 t CO_2e to 13,300 t CO_2e. The emission factors for 2024 are not available at the time of publishing this report, and thus 2023-factors are used to calculate 2024 scope 2 emissions.

Our collective work on energy management, electrification of the Valhall area and the Grieg Aasen area, as well as future electrification of the fields in the Yggdrasil area, is anticipated to result in around six million tonnes of avoided scope 1 GHG emissions from the year of electrification to 2030.

Figure 19: **Operational control scope 2 emissions, location-based**



1) Location-based: Hvor kommer strømmen fra? - NVE.
Market-based: Varedeklarasjon for strømleverandører - NVE.

2.5.3 Scope 3 emissions

Aker BP's own operations consume materials and services which have associated GHG emissions. Aker BP can influence upstream scope 3 emissions through contracts, as well as cooperation with suppliers and alliance partners to reduce GHG emissions in our upstream value chain. As a result of our ability to influence these emissions, we have identified emissions in our upstream value chain as a material topic for Aker BP. As of 2024, we do not have any targets related to upstream scope 3 emissions but have completed several actions related to these emissions, as presented in section 2.3. This is in line with our climate and energy policy, as presented in section 2.1.

Unlike fully integrated oil and gas companies, Aker BP has no midstream or downstream operations and thus has limited influence on downstream scope 3 emissions. However, we are aware that these scope 3 emission sources are significant in magnitude and have identified this as a material impact in our DMA. Due to our limited ability to influence these emissions, we do not currently have any policies, actions or targets related to downstream scope 3 emissions.

Scope 3 emissions are quantified and reported in accordance with the GHG Protocol and represent an important part of our sustainability accounting scheme. Our scope 3 emissions are presented in figure 20 and in further detail in section 2.5.5.

All emission factors used to calculate the GHG emissions are considered most appropriate for the specific product or service. Aker BP prioritises using product-specific or supplier-specific emission factors where these are available and is working with suppliers to develop these where possible. Generic emission factors are used when product-specific or supplier-specific factors are unavailable. Aker BP is working to further enhance the quality of reported scope 3 data, as described in section 2.3.

All categories mentioned in the list below are deemed not material for Aker BP:

- Category 7 – Employee commuting: Aker BP does not have any material emission sources related to employee commuting. Personal transport to and from office locations has been quantitively assessed and was deemed immaterial. Helicopter commuting to and from shore to assets was previously reported in this category but, upon review, has been moved to Category 4
- Category 8 – Upstream leased assets: Aker BP has no upstream leased assets and hence no emission sources are relevant within this category
- Category 12 – End-of-life treatment of sold products: All products sold by Aker BP are assumed to be combusted and hence all downstream emissions related to end-use are assigned to category 11
- Category 13 – Downstream leased assets: Aker BP has no downstream leased assets and hence no emission sources are relevant within this category
- Category 14 – Franchises: Aker BP is not part of a franchise and hence no emission sources are relevant within this category
- Category 15 – Investments: Aker BP is not a financial institution and does not have any investments deemed relevant for this category

Figure 20: **Material scope 3 emissions (equity share)**

Category 1: Purchased goods and services	82	1000 tonnes CO_2e
Category 2: Capital goods	57	1000 tonnes CO_2e
Category 3: Fuel- and energy-related activities (not included in scope 1 or 2)	18	1000 tonnes CO_2e
Category 4: Upstream transportation and distribution	129	1000 tonnes CO_2e
Category 5: Waste generated in operations	1	1000 tonnes CO_2e
Category 6: Business travel	12	1000 tonnes CO_2e
Category 9: Downstream transportation and distribution	191	1000 tonnes CO_2e
Category 10: Processing of sold products	4,668	1000 tonnes CO_2e
Category 11: Use of sold products	66,172	1000 tonnes CO_2e

Table 9: **Data sources, calculation methodologies and emission factors used for material scope 3 categories**

Category	Description	Data source	Emission factors used
Purchased goods and services	Emissions from production and delivery of all material consumables (excl. steel and other metal) used during the reporting year, as well as emissions from material services and deliverables	The majority of the consumables are extracted from Aker BP's own database, NEMS, while other services and deliverables are reported by contractor. Consumables used on non-operated assets were gathered directly from partners where available, and if unavailable, estimated based on consumable use in similar activities on operated assets. 100% of data obtained from suppliers or value chain partners	Product-specific emission factors used for top 5 high-emitting chemicals, Ecoinvent used for the remaining chemicals. Product-specific emission factors are used for all cement. Emission factor for engineering services is based on data from a study from the University of Exeter
Capital goods	Emissions from steel (or other materials) in wells/infrastructure, used/installed during the reporting year	Amount of steel (or other materials) used/installed is gathered annually from suppliers and alliance partners. Steel used/installed on non-operated assets were gathered directly from partners where available, and if unavailable, estimated based on similar activities on operated assets. 100% of data obtained from suppliers or value chain partners	Product-specific emission factors are used where available. Where not available, emission factor from World Steel Association (1.92 t CO_2e/tonne steel) is used
Fuel and energy-related emissions	Emissions related to the extraction, production and transportation of liquid fuel consumed during our own operations	Amount of fuel used is extracted from Aker BP's own database, NEMS. Emissions from fuel consumption on non-operated assets gathered directly from partners. 100% of data obtained from suppliers or value chain partners	Well-to-tank (WTT) emission factors used are from the Fuel EU directive (EU REGULATION 2023/1805)
Upstream transportation and distribution	Emissions from transportation and distribution services (not included in scope 1) purchased by Aker BP in the reporting year, except tankers	Amount of fuel consumed on vessels, rigs and helicopters are derived from suppliers and internal databases. Emissions from non-operated assets were gathered directly from partners where available, and if unavailable, estimated based on similar activities on operated assets. 100% of data obtained from suppliers or value chain partners	Emission factor for MGO (3.25 kg CO_2e/kg MGO) and jet fuel (2.55 kg CO_2e/L jet fuel) are from The Norwegian Environmental Agency. Emission factor for LNG (2.75 kg CO_2e/kg LNG) is from Fuel EU directive (EU REGULATION 2023/1805). MGO emission factor corrected for national regulations on use of biofuel
Waste generated in operations	Emissions related to handling of all waste produced in Aker BP's own operations	Amount of waste generated is extracted from Aker BP's own database, NEMS. Data on waste generation on non-operated assets obtained directly from partners. 100% of data derived from suppliers or value chain partners	Drill cuttings: Supplier-specific energy consumption factor used, as well as location-based emission factors for consumed energy from NVE Other hazardous waste and non-hazardous waste: Emission factors from Norsk Lovdata
Business travel	Emissions related to all business-related air travel by Aker BP personnel	All business travels are summarised by our travel agency supplier each year. Assumed 100 percent equity share for business travels from Aker BP employees. 100% of data obtained from suppliers or value chain partners	Emission factors used are from UK Department for Business, Energy & Industrial Strategy (UK BEIS)
Downstream transportation and distribution	Emissions from all transport of oil on tankers from Aker BP's own operations	All shipments of Aker BP's products, including destinations, is gathered from internal databases. Emissions calculated based on shipping load and distance, unless reported directly by shipowners. 88% of data obtained from suppliers or value chain partners	Emission factors used are from UK Department for Environment, Food and Rural Affairs (DEFRA)
Processing of sold products	Emissions from refining of all oil sold by Aker BP during the reporting year, as well as emissions from processing of all oil, gas and NGL sold by Aker BP during the reporting year	All shipments of oil sold by Aker BP, including destinations, is gathered from internal databases. Aker BP's allocated share of emissions from oil terminals, gas and NGL processing facilities are reported directly from value chain partner. 1% of data derived from suppliers or value chain partners	Average refinery emissions for various countries are from Wood Mackenzie. Aker BP's refinery mix in 2024 represented emissions of 35 kg CO_2e/boe
Use of sold products	Emissions from combustion of all oil, gas and NGL sold by Aker BP during the reporting year	All products sold by Aker BP are assumed to be combusted. Emissions from NGL are assumed equal to oil. 0% of data derived from suppliers or value chain partners	Emission factors are from Statistics Norway (SSB). The relevant emission factors applied for calculations are: Oil and NGL: 427 kg CO_2e/boe Gas: 316 kg CO_2e/boe

2.5.4 Energy consumption and mix

Aker BP's own operations consume a significant amount of energy, and we have thus identified energy use in own operations as a material impact. Our assets connected to power from shore consume electric energy, and non-electrified generate power using gas turbines. Current projections indicate that 100% of Aker BP's production will be electrified with power from shore by the 2040s. We have committed through our climate and energy policy, presented in section 2.1, to reduce energy consumption and related emissions to air. We have no targets directly related to energy consumption, but all our climate-related targets will encompass energy consumed on assets thus reducing energy generation and demand within our own operations. For more information, see section 2.4.

2.5.5 Climate and energy-related tables

Climate- and energy-related metrics are reported in the tables below.

Table 10: **Energy consumption and mix (equity share)**

	Unit	2024
Fuel consumption from coal and coal products	MWh	-
Fuel consumption from crude oil and petroleum products	MWh	358,626
Fuel consumption from natural gas	MWh	1,229,369
Fuel consumption from other fossil sources	MWh	-
Consumption of purchased or acquired electricity, heat, steam and cooling from fossil sources	MWh	873,309
Total fossil energy consumption	**MWh**	**2,461,305**
Share of fossil sources in total energy consumption	%	93.3%
Consumption from nuclear sources	MWh	109,432
Share of consumption from nuclear sources in total energy consumption	%	4.1%
Fuel consumption for renewable sources, including biomass (also comprising industrial and municipal waste of biologic origin, biogas, renewable hydrogen, etc.)	MWh	-
Consumption of purchased or acquired electricity, heat, steam and cooling from renewable sources	MWh	67,590
The consumption of self-generated non-fuel renewable energy	MWh	-
Total renewable energy consumption (MWh)	**MWh**	**67,590**
Share of renewable sources in total energy consumption	%	2.6%

Figure 21: **GHG emission intensities**

Scope 1 and 2 GHG intensity	Operational control	6.0 kg CO_2e/boe
Scope 1 and 2 GHG intensity	Equity share	2.6 kg CO_2e/boe
Scope 1 methane intensity	Operational control	0.018%
GHG emissions per net revenue (location-based)	Equity share	5.861 kg CO_2e/USD
GHG emissions per net revenue[1] (market-based)	Equity share	5.911 kg CO_2e/USD

Figure 22: **Energy intensity per net revenue**

Total energy consumption from activities in high climate impact sectors per net revenue from activities in high climate impact sectors[1]	216 MWh/million USD

1) Net revenue from high climate impact sectors consists of total petroleum revenue which can be extracted from note 5 in this annual report.

Table 11: **Total GHG emissions by source**

		Operational control					Equity share				
Emission source/category [1) 2) 3)]	Unit	Base year (2017)	2024	2030 target	2050 target	Reduction from baseline	Base year (2017)	2024	2030 target	2050 target	Reduction from baseline
Scope 1 GHG emissions											
Gross scope 1 GHG emissions	**1,000 t CO_2e**		**838**					**405**			
CO_2 (carbon dioxide)	1,000 t CO_2e		806					383			
CH_4 (methane)	1,000 t CO_2e		29					21			
N_2O (nitrous oxide)	1,000 t CO_2e		3					2			
Scope 1 GHG emissions - by source											
Flaring and well testing	1,000 t CO_2e		54					32			
Venting and fugitive emissions	1,000 t CO_2e		15					12			
Fuel combustion	1,000 t CO_2e		759					355			
Loading of hydrocarbons	1,000 t CO_2e		10					7			
Percentage of scope 1 GHG emissions from regulated emission trading schemes	%		93%					94%			
Scope 2 GHG emissions											
Gross location-based scope 2 GHG emissions	1,000 t CO_2e		14					16			
Gross market-based scope 2 GHG emissions	1,000 t CO_2e		575					629			
Total scope 1 and 2 GHG emissions	**1,000 t CO_2e**	**1,250**	**853**	**625**	**125**	**32%**	**666**	**421**	**GHG neutrality**	**90%**	**37%**

1) Methodologies, significant assumptions and emission factors for calculation of scope 1, 2 and 3 emissions are presented in the respective sections. Scope 1: section 2.5.1 Scope 2: section 2.5.2 Scope 3: section 2.5.3.

2) Aker BP has zero scope 1, 2 or 3 emissions from biogenic sources.

3) All Global Warming Potential (GWP) factors used are from IPCC AR6.

		Operational control				Equity share			
Emission source/category [1) 2) 3)]	Unit	2024	2030 target	2050 target	Reduction from baseline	2024	2030 target	2050 target	Reduction from baseline
Material scope 3 categories									
Total gross indirect (scope 3) GHG emissions	1,000 t CO_2e	71,458				71,330			
Purchased goods and services	1,000 t CO_2e	95				82			
Capital goods	1,000 t CO_2e	90				57			
Fuel- and energy-related activities (not included in scope 1 or scope 2)	1,000 t CO_2e	26				18			
Upstream transportation and distribution	1,000 t CO_2e	202				129			
Waste generated in operations	1,000 t CO_2e	1				1			
Business travel	1,000 t CO_2e	12				12			
Employee commuting	1,000 t CO_2e	Not material				Not material			
Upstream leased assets	1,000 t CO_2e	Not material				Not material			
Downstream transportation and distribution	1,000 t CO_2e	191				191			
Processing of sold products	1,000 t CO_2e	4,668				4,668			
Use of sold products	1,000 t CO_2e	66,172				66,172			
End-of-life treatment of sold products	1,000 t CO_2e	Not material				Not material			
Downstream leased assets	1,000 t CO_2e	Not material				Not material			
Franchises	1,000 t CO_2e	Not material				Not material			
Investment	1,000 t CO_2e	Not material				Not material			
Total GHG emissions									
Total GHG emissions (location-based)	1,000 t CO_2e	72,311				71,752			
Total GHG emissions (market-based)	1,000 t CO_2e	72,872				72,365			

1) Methodologies, significant assumptions and emission factors for calculation of scope 1, 2 and 3 emissions are presented in the respective sections. Scope 1: section 2.5.1 Scope 2: section 2.5.2 Scope 3: section 2.5.3.

2) Aker BP has zero scope 1, 2 or 3 emissions from biogenic sources.

3) All Global Warming Potential (GWP) factors used are from IPCC AR6.

Table 12: **Other consolidation methods for scope 1 and 2 GHG emissions**

Method	2024 (1,000 t CO_2e)
Consolidated accounting group	**421**
Aker BP operated assets	389
Non-operated assets	32
Investees in assets that are not consolidated in the financial statements of the consolidated accounting group, for which Aker BP has operational control[1)]	**464**

1) This consolidation method is reported to be in line with CSRD requirements. It accounts for partners' share of emissions from Aker BP's operated assets in addition to emissions from non-operated assets. In Aker BP's view, this leads to confusion and double-counting of emissions.

2.5.6 Internal carbon pricing

Petroleum operations on the NCS are subject to the national Norwegian carbon tax as well as the European Union Allowances (EUA) for emissions traded under the EU ETS. The combination of the national carbon tax and the EU ETS means that companies operating in Norway pay a higher price per tonne of CO_2 emissions compared with most other countries with petroleum activities. There are significant uncertainties tied to the future development carbon prices, and this is thus a part of Aker BP's internal set of corporate assumptions. These are updated on a quarterly basis and approved by the CFO. Our internal carbon prices are not verified by any external body other than the assurance provider.

We operate with low, base and high case scenarios for carbon prices. We use the high case scenario for resilience testing, while our base case is used for business planning. Our base case carbon price assumption is used for assessing commercial feasibility of decarbonisation initiatives and is used uniformly across all our assets. All operated assets are required to work on a pipeline of energy management initiatives and evaluate economics of these initiatives based on the company's latest set of the internal carbon price assumptions. Our work with carbon pricing is hence directly linked to our efforts to reduce GHG emissions from our own operations, as described in section 2.4. When assessing feasibility of the GHG reducing projects, we compare the costs of an initiative with savings from the avoided CO_2 costs, along with other savings, and calculate a carbon price required for a project to break-even.

As part of Norway's climate action plan announced in January 2021, Norway has set a target to gradually increase the total cost per tonne of CO_2 from around USD 80 in 2020 to USD 266 in 2030 (real 2023 terms). This target is reflected in Aker BP's planning assumptions, i.e., the base case scenario, which show an increase in both the EUA and the national carbon tax over the next years, reaching the targeted level the Norwegian Government has set for 2030, and a continued increase towards 2050.

Our base case scenario reflects an expectation that the continued reforms in the EU ETS market, inclusion of the new segments under the EU ETS, gradual phasing out of free allocation, will lead to a tighter supply of EUAs and higher prices. This scenario reflects our expectation that the EU ETS will remain one of the key instruments for achieving the EU's decarbonisation targets, and that more industries will have to purchase their allowances, while facing decreasing volumes offered. The low case assumes that the growth of renewable energy is faster than expected, resulting in lower demand for ETS quotas – and hence a lower price. The high case assumes that the growth of renewable energy is slower than expected, resulting in higher demand for ETS quotas – and hence a higher price.

All our operated assets and business units use a uniform set of the internal carbon price (shadow price) assumptions, aligned with the financial statements.

Several energy management initiatives were carried out in 2024, yielding an estimated total reduction in operational control scope 1 and 2 GHG emissions of 56,800 tonnes of CO_2e. Going forward, Aker BP will continue to seek cost-effective energy management initiatives to reduce scope 1 and 2 GHG emissions from our operated assets.

The carbon price is used for assessing the feasibility of reduction initiatives for operational control scope 1 CO_2 emissions only, which in 2024 comprised around 805,800 tCO_2, or approximately 95 percent of our total scope 1 and 2 GHG emissions.

2.5.7 Our approach to carbon dioxide removals (CDR)

Our first and foremost priority within our approach to decarbonisation is to avoid and reduce scope 1 and 2 GHG emissions from our own operations. However, we further intend to invest in carbon removal projects equal to our remaining equity share scope 1 and 2 GHG emissions from 2030 onwards. This means that for each tonne of scope 1 and 2 GHG emissions from our own operations we aim to sequester the same amount of CO_2 using high-quality CDR projects. This commitment is voluntary and costs related to the purchase of CDR credits come in addition to mandatory acquisition of European ETS quotas and payment of Norwegian CO_2 taxes. As such, our plan to secure high quality CDR credits means that we voluntarily assign a higher internal cost for each tonne of equity share scope 1 and 2 GHG emissions that we emit from 2030. This has a positive impact on the business cases for emission reduction initiatives.

Aker BP has invested in three CDR projects on three continents, all based on reforestation and developed under Verra registry's Verified Carbon Standard (VCS). The projects are designed to capture carbon through natural processes, in addition to having positive effects on biodiversity and for local communities.

We aim to only invest in carbon removal projects that are certified under high integrity standards, have strong additionality, robust measures in place to maintain permanence, are validated and verified by independent and reliable auditors, cause no harm and have a high sustainability impact. To begin with, we have invested in nature-based removal projects, and we aim to continuously evaluate adding technology-based projects to our portfolio.

While no credits were retired in 2024, we intend to neutralise around 4 million tonnes of CO_2e between 2030 and 2050. The number presented in figure 23 is a projection of our equity share emissions from 2030 to 2050, and is not validated by a third party other than the assurance provider. The exact amount required will depend on our future emissions. figure 24 gives an overview of our anticipated credit needs per year leading up to 2050, forecasted emissions to offset and current estimations on coverage in term of offsets. Further information about approach to management of our carbon dioxide removal portfolio can be found in our climate and energy policy.

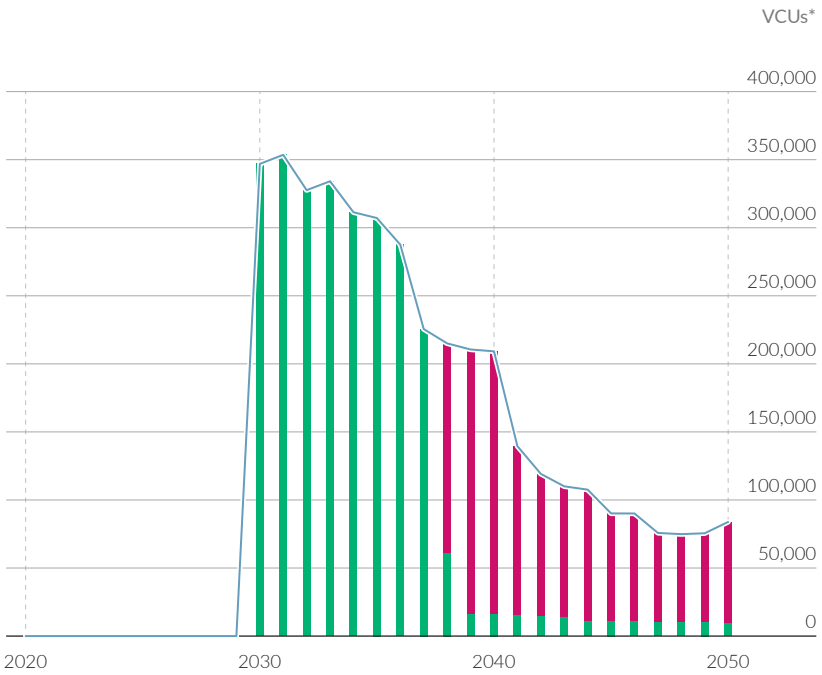
Figure 23: **Cancellation of CDR credits**

Carbon credits planned to be cancelled towards 2050

4

million t CO_2e

Figure 24: **Carbon dioxide removals projection towards 2050**



*Verified carbon units. Each VCU represents the removal of one tonne of carbon dioxide equivalent (CO_2e) achieved by a project

2.6 SCENARIO ANALYSIS

The path toward the future energy system is uncertain and, as reflected by the IEA's forecasts and scenarios, there is a wide range of different outcomes for oil and gas demand. Aker BP's commitment to evaluate and manage climate-related risks and opportunities is described in our climate and energy policy.

As an upstream E&P company, Aker BP is largely a price-taker in the commodity markets. While oil and gas demand variations and price fluctuations represent a significant uncertainty for our company, we manage this aspect primarily by controlling cost and production volumes, but also through financial risk management. A rigorous system is in place for budgeting, forecasting and managing these parameters, with the aim of supporting sound financial decisions, providing guidance to our licence partners, debt owners, shareholders and petroleum authorities, as well as to continuously monitor our financial risk.

2.6.1 Scenario analysis and portfolio robustness

Aker BP recognises the recommendations made by the Financial Stability Board's Task Force on Climate-Related Financial Disclosure (TCFD). In line with the best practice recommended by the TCFD, Aker BP uses scenario analysis to assess and manage climate-related risks, in addition to sensitivity testing and an internal carbon price. Climate-related considerations are embedded in our decision-making, and we apply a set of financial criteria, including our internal carbon price, for all investment decisions. For more information, see section 2.5.6.

We base these scenario analyses on our internal scope 1 and 2 GHG emission forecasts towards 2050, which allows us to estimate of potential impacts on the climate. We have reported on scope 3 emissions for several years and have recently developed forecasts for our scope 3 emissions to better understand potential future impacts. The emission projections give us a complete picture of our locked-in scope 1 and 2 emissions, as well as locked-in scope 3 emissions.

Climate-related scenario analyses are performed for operational control scope 1 CO_2 emissions only. We consider a timeframe from now until 2050 (transitional climate-related risks) and 2100 (physical climate-related risks).

We evaluate selected scenarios to assess possible shifts in the macroeconomic outlook, technology developments, policy and legal implications, and we analyse projected demand for our products (oil, gas and natural gas liquids). Each energy transition scenario yields a range of commodity prices (e.g., power, gas, oil) and environmental fees and taxes. We apply these assumptions in our valuation models to test the resilience of our portfolio.

Our scenario analysis includes scenarios described in the IEA's World Energy Outlook report published every year. All scenario analysis involves uncertainties to some degree. We have chosen scenarios that cover three different emission pathways towards 2030 and 2050, resulting in three different temperature outcomes, including a 1.5-degree aligned scenario and an above 2-degree scenario. This gives us a good understanding of possible outlooks for Aker BP and reduces uncertainties tied to our scenario analysis.

The 2024 World Energy Outlook describes three scenarios, described in detail below. The scenarios used for sensitivity testing and resilience analysis for transitional risks in this chapter are aligned with the scenarios used in financial statements.

Stated policies scenario (STEPS)
STEPS provides an outlook based on the latest policy settings, including energy, climate and related industrial policies. It reflects a pragmatic exploration of the current policy landscape and gives a view on where the energy system might be heading in the absence of any new initiatives. In STEPS, global demand for oil continues to grow before peaking by 2030 but remains at plateau at least throughout the forecast period towards 2050. Natural gas demand reaches a peak somewhat later in the 2030s. However, demand remains strong and exits the forecast period at around five percent above current level.

Announced pledges scenario (APS)
This scenario assumes that governments will meet, in full and on time, all the climate-related commitments that they have announced, including longer term net zero emissions targets and pledges in Nationally Determined Contributions, as well as commitments in related areas such as energy access. In the APS, stronger policy action also leads to oil demand peaking prior to 2030 but demand remains at around 85-90 percent of 2023 level at least to 2035 Demand is then projected to decline to around 54 million barrels per day towards 2050. Global natural gas demand follows a trajectory like oil, but slightly less steep. By 2050, natural demand stands at about 60 percent of current demand.

Net zero emissions by 2050 scenario (NZE)
This normative scenario sets out a pathway to the stabilisation of global average temperatures at 1.5°C above pre-industrial levels. The NZE Scenario does this without relying on emission reductions from outside the energy sector. In NZE, oil demand declines from 97 million barrels per day to less than 25 million barrels per day in 2050, with an annual decline rate of 5.5 percent on average from 2030 onwards. Natural gas demand follows the same pattern and is assumed to be around 75 percent lower than today by 2050.

Scenarios used for physical climate-related risks
In addition, we assess the physical climate risks relevant for our business using scenarios from the joint industry project NS1200, Phase II. Here, we assessed the effect of future climate changes on the reliability of offshore jacket structures. This was determined by forcing a wave model with wind fields from a range of climate scenarios. The results were used to provide an ensemble of future predictions for wave conditions across the NCS. These have further been used as input into a structural reliability analysis where the uncertainty in the future wave models has been contrasted with those in the existing climate model. Ten CMIP-5 atmosphere coupled climate models have been run for the RCP (representative concentration pathway) 4.5 and RCP 8.5 projections for near term-term (up to 2040) and long-term (up to 2100) prediction. This means that some of our existing assets will still be in production for the near-term projections. We do not have anticipated activity going to 2100.

2.6.2 Sensitivity to oil and gas prices

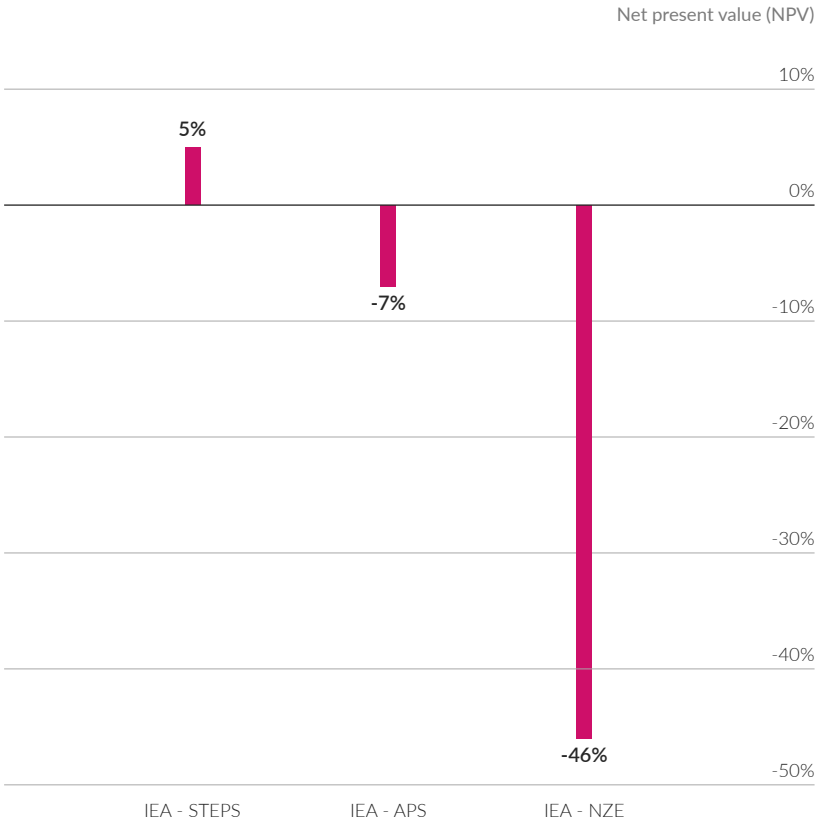
figure 25 illustrates the changes in the net present value (NPV) of Aker BP's portfolio when Aker BP's planning assumptions for oil and gas prices are replaced with those from the selected scenarios, while keeping carbon price and FX unchanged in all scenarios. As shown in the graph, under the IEA's STEPS, the NPV of Aker BP's portfolio is five percent higher, reflecting the higher oil and gas price assumptions in this scenario compared with Aker BP's planning assumptions. When tested using the assumptions from the APS, the NPV of the portfolio is seven percent lower.

Under the NZE scenario, oil prices will fall, reaching USD 44 per barrel and USD 26 per barrel (in real 2025 terms) in 2030 and 2050, respectively, while European natural gas prices fall from around USD 11 per MMBtu in 2024 and down to around USD 4.2 per MMBtu in 2050 (in real 2025 terms). At these prices, the NPV of the portfolio is reduced by 46 percent. This substantial fall in prices is dependent on the assumed large reduction in demand, with oil demand and natural gas demand falling by around 75 percent by 2050.

The purpose of quantitative testing of transition and portfolio risk is to investigate whether our strategy is resilient to various price scenarios compatible with the goals of the Paris Agreement (including the 1.5-degree goal). The targets in the Paris Agreement assume that demand for oil and gas reaches a peak and declines in the future. However, there are three major uncertainties associated with this approach: How high the peak in demand will be, how quickly demand falls and how the supply side adapts to demand. Oil and gas prices are not directly dependent on the level of demand, but the balance between supply and demand at any given time and the market's expectations for the future balance. Historically, the supply side has adapted to the demand side. Should this happen in the NZE scenario, the least competitive oil and gas assets will be shut in first and only the ones with lowest cost and emissions would continue to operate. If supply adapts to demand over time, the oil and gas prices may remain at supportive levels even if the total demand declines. While transition risk is difficult to properly quantify in a long-term perspective, this analysis, showing a 46 percent NPV reduction under the extreme price scenario NZE, leads Aker BP to consider its strategy to be resilient to lower prices and reduced demand.

An International Monetary Fund (IMF) working paper from October 2023 illustrates how prices in a Net Zero Emissions scenario may vary from approximately USD 15 per barrel to USD 300 per barrel at the start of the 2030s. The level depends on whether political measures will seek to influence the supply side or the demand side of the oil market. Several energy research organisations and analysts have scenarios for oil prices, and most are within the IMF's range. Even between the three IEA scenarios analysed, we see a significant gap in long-term prices, illustrating some of the challenges in setting assumptions compatible with the targets in the Paris Agreement.

Figure 25: **Portfolio robustness under the IEA scenarios**



The NPV of Aker BP's portfolio under the selected scenarios is compared to the NPV of the portfolio valued at Aker BP's latest economic assumptions (NPV10 as of 01.01.2025). Same FX (foreign exchange rates) and carbon prices are used for all scenarios. Portfolio consists of producing assets and non-sanctioned projects.

2.6.3 Sensitivity to carbon prices

In Aker BP, we believe that carbon pricing is an important tool needed to help drive a positive change. Setting a price on carbon creates financial incentives for companies to invest in reducing their own emissions, to drive innovation and scale technologies. Aker BP's internal carbon price assumptions significantly exceed prices assumed under the IEA's scenarios. In addition to the national Norwegian carbon tax, petroleum operations on the NCS are subject to the EU ETS (Emissions Trading System). The combination of the national carbon tax and the EU Allowances (EUAs) traded under EU ETS means that companies operating in Norway pay a substantially higher price per tonne of CO_2 emissions compared with most other countries with petroleum activities. Read more about our internal carbon price assumptions in section 2.5.6.

To illustrate the sensitivity of Aker BP's portfolio to carbon prices, we calculate the NPV of total future carbon costs under different carbon price assumptions, shown as a percentage share of the NPV of Aker BP's portfolio. As shown in figure 26, the NPV of the future carbon costs as a share of the total portfolio NPV is the highest under Aker BP's base case assumption. This is because Aker BP's internal carbon price assumption is significantly higher than the CO_2 price under the IEA's scenarios. As shown in figure 27, the NPV of the future carbon costs under the planning assumptions is limited to about one percent of the total portfolio NPV, which reflects Aker BP's industry-leading equity share scope 1 and 2 GHG emission intensity among E&P companies.

2.6.4 Sensitivity to physical climate-related risks

Wave fields have been generated in a wave model with wind forcing from the climate models. The results from the study may be summarised as follows:

- Climate model ensembles can provide useful information, providing they are calibrated against historical data
- An important (and challenging) requirement in any climate change analysis is to separate climate change effects from natural variability
- No consistent evidence of a significant trend in wave height across all the models
- Climate change uncertainty provides a small contribution to the hazard curve - if accounted for correctly
- Differences in the hazard curve (compared to historical data) are dominated by other effects (e.g., non-linear and breaking wave kinematics, and extrapolation uncertainty)

2.6.5 Effect of scenario analysis on our strategy and business model

Resilience testing is an integrated part of our business model, and our portfolio is stress-tested on a regular basis with respect to but not limited to value creation, profitability, financial capacity and cash-flow generation. Our resilience methodology includes but is not limited to testing the portfolio against market volatility which may be caused by several external factors, several of these being climate-driven price changes due to i.e. changes in behaviour or technological advances affecting demand or regulatory changes affecting the supply side. Our portfolio resilience is also tested for unexpected changes in costs, such as higher or lower carbon cost or changes in national taxes or different tax regimes. Different types of resilience testing, portfolio sensitivities and financial stress tests are done both on a quarterly or semi-annual basis through established planning processes, but are also done ad-hoc or on an event-driven basis and this is an integrated part of our annual strategy process.

Figure 26: **Carbon price assumptions in the IEA relative to Aker BP's base case**

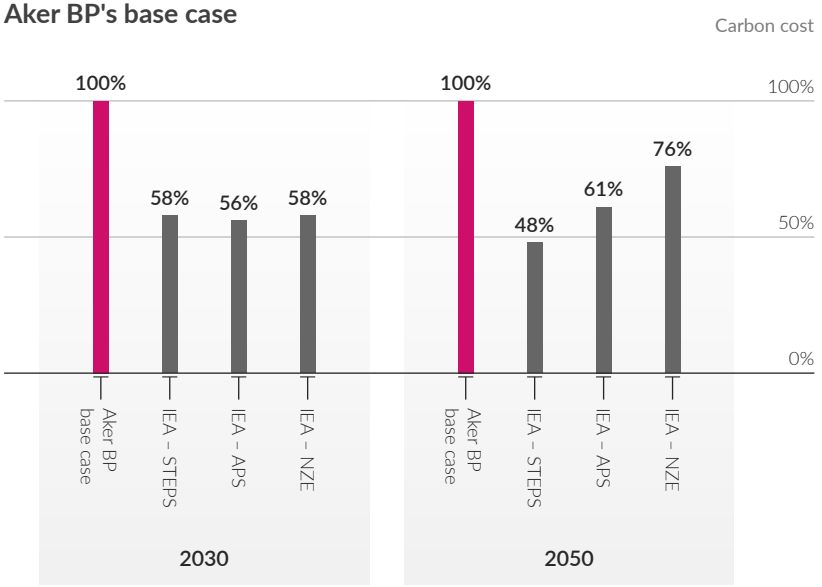
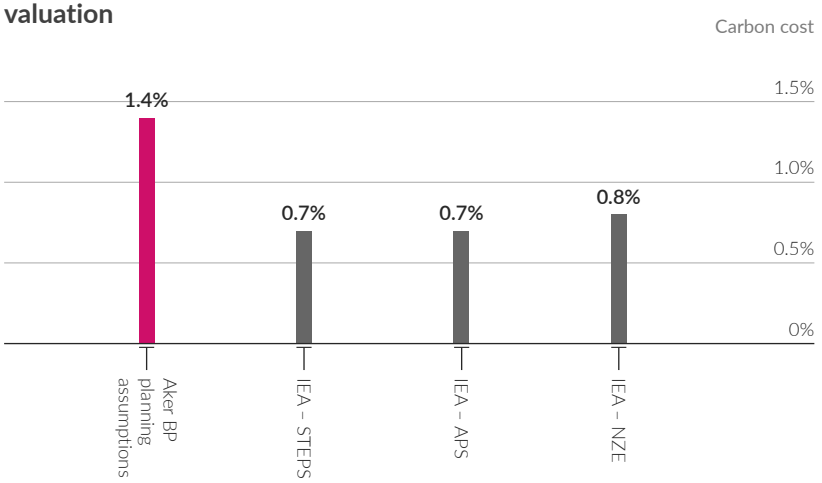


Figure 27: **NPV10 of CO_2 costs as a percentage of Aker BP's valuation**



As reflected in the previous sections, Aker BP considers its strategy, emission reduction pathway and portfolio to be resilient to the projected oil and gas prices, as well as carbon prices, under the various IEA scenarios. As we continue to reduce our emissions going forward, we will also reduce our exposure to risks of increased carbon prices.

2.7 EU TAXONOMY REPORTING

Aker BP has prepared its EU Sustainable Finance Taxonomy (EU taxonomy) disclosure in compliance with EU Regulation 2020/852 and the Delegated Acts, as well as the regulation to implement the EU taxonomy and publication requirements in Norwegian law. These regulations came into effect in Norway on 1 January 2023, with the first taxonomy reporting required for annual reports with a balance sheet date of 31 December 2023. The reporting requirements apply to listed companies, banks and insurance companies with more than 500 employees, and those classified as large enterprises based on specific balance sheet and income thresholds.

The EU taxonomy is a classification system that sets out a list of environmentally sustainable economic activities. It forms part of the EU's plan to scale up sustainable investment and implement the European Green Deal.

The taxonomy was developed to provide well-defined, harmonised criteria for when economic activities can be considered sustainable. It sets out robust, science-based technical screening criteria that activities need to comply with to be seen as sustainable. By providing this harmonised standard, the taxonomy aims to increase transparency, create security for investors, prevent greenwashing, help companies become more climate-friendly, mitigate market fragmentation, and help investors compare investments across Member States. By directing investments towards sustainable projects and activities across the EU, the taxonomy should help to meet the EU's 2030 and 2050 climate and energy targets.

The delegated acts set out a list of eligible activities along with technical screening criteria for when the activities can be considered sustainable. A taxonomy-eligible economic activity is an activity that is described in the delegated acts.

For an eligible activity to be considered aligned, it must satisfy the following conditions:

- The activity must make a substantial contribution to one or more of the climate and environmental objectives relevant to that activity
- The activity shall not do significant harm to the other remaining objectives
- The company complies with the defined minimum safeguards

2.7.1 Taxonomy assessment methodology

The methodology of taxonomy assessment has included the following steps:

1. *Defining scope of assessment*
   Aker BP has performed a taxonomy assessment for all activities of the company. In 2024, the Aker BP group comprised the parent company Aker BP ASA and the three subsidiaries Det norske oljeselskap AS (including its subsidiary Aker BP UK Limited), Alvheim AS and Sandvika Fjellstue AS. Except for Aker BP UK Limited, none of the subsidiaries are consolidated in the group financial statements as they are immaterial. The subsidiaries are further described in note 2 in the Financial Statements.

2. *Defining eligibility and relevant activities*
   Aker BP's activities have been mapped out according to the activities defined in the Climate Delegated Act and the Environmental Delegated Act and categorised as either eligible or non-eligible following the description stated in the regulation. The mapping has revealed two potential activities to consider under the taxonomy:
   - *CCM 7.7 Acquisition and ownership of buildings*
     The company holds several lease agreements for offices, mainly in the Oslo and Stavanger area, which are reported under IFRS 16. In 2023, two new lease agreements were entered into and reported as eligible but not aligned activity. For 2024, no new leases have been entered into, and there is no eligible activity in 2024 to report for any of the relevant KPIs.
   - *CCM 6.10 Sea and costal freight water transport, vessels for port operations and auxiliary activities*
     Aker BP charters several supply vessels for transport of freight related to its upstream activities, excluding the downstream transportation of oil and gas. These lease contracts normally do not meet the requirements under IFRS 16, as no specific vessel is chartered, and Aker BP does not possess control over the chartered vessels. If leased vessels were recognised under IFRS 16, they would be considered an eligible activity. For 2024, no new leases reported under IFRS 16 have been entered into. As a result, there is no eligible activity to be included in any of the relevant KPIs.

   The carbon capture and storage activity described in section 2.3 could qualify as an eligible activity. However, as this activity is classified under other operating expenses which is not included in the EU taxonomy definition of opex, there is no eligible activity to be included in any of the relevant KPIs.

3. *Assessment of criteria and defining alignment*
   As the taxonomy regulation is still in an early phase of adoption, the focus has been on transparency, best intention and providing explanation for choices made when interpreting the criteria. The interpretation of the criteria is based on both the explicit information available and the understanding of the purpose of the requirement. For 2024, there are no eligible activities and as such no assessment for alignment has been performed. In 2023, the activities were assessed and the conclusion was that they did not meet the technical screening criteria defined in the Climate Delegated Act.

4. *Adding financial data and calculating the three KPIs*
   Finally, by adding financial data to each activity in the reporting unit, the proportion of Aker BP's taxonomy-eligible and taxonomy-aligned activities were calculated. This is done by calculating the three key performance indicators (KPIs): turnover, capital expenditures (capex) and operational expenditures (opex).

2.7.1.1 Complying with minimum social safeguards

Our understanding is that defined requirements on minimum social safeguards need to be placed on the company and the activities in question to assess activity-alignment. The minimum social safeguards include all procedures implemented to ensure that economic activities are carried out in alignment with:

- the OECD Guidelines for Multinational Enterprises (OECD MNE Guidelines)
- the UN Guiding Principles on Business and Human Rights (UNGPs), including the principles and rights set out in the eight fundamental conventions identified in the Declaration of the International Labour Organisation on Fundamental Principles and Rights at Work; and
- the International Bill of Human Rights

In the absence of further guidance from the European Commission, we based our minimum social safeguards assessment on the 'Final Report on Minimum Safeguards' published in October 2022.

Compliance with the minimum safeguards requirements has been evaluated by assessing activities against the following four topics:

1. ***Human rights (including labour and consumer rights)***
   Aker BP is dedicated to conduct its business in a manner which respects the human rights and dignity of all people, and acknowledges the principles set out in the International Bill of Human Rights. Based on the United Nations Guiding Principles on Business and Human Rights (UNGPs) and the OECD Guidelines for Multinational Enterprises, Aker BP has implemented a human rights policy that describes the company's approach to managing human rights risks in our operations, including our value chain. The human rights policy is available on our website and applies to all Aker BP's own workforce, as well as suppliers, contractors and business partners.

   Our human rights policy commits us to respecting the rights of all individuals and groups potentially affected by our operations. We treat everyone involved in Aker BP activities with fairness, respect and dignity, providing fair working conditions in line with applicable legislation. We have systems in place for raising concerns and providing appropriate remediation where we have caused or contributed to adverse human rights impacts. We continuously assess human rights impacts from our operations through due diligence and propose necessary preventive risk mitigation actions, with stakeholder engagement being a central part of this process.

   In 2024, there were no signs of non-compliance with minimum safeguards, lack of response or collaboration with a National Contact Point, and Aker BP has not been convicted of violating labour law or human rights.

2. ***Corruption and bribery***
   Aker BP upholds a zero-tolerance policy towards corruption and bribery and has implemented measures to prevent and address any instances of unethical behaviour. Our code of conduct provides guidance to conduct our business in an ethical and transparent manner in compliance with applicable anti-corruption, money laundering and fraud rules and regulations.

   We have established an anti-corruption policy that provides a framework for preventing all forms of corruption and offers guidance on applying these principles in our work. This policy applies to all employees and business partners. Regular training sessions on anti-corruption practices and ethical behaviour are mandatory for all staff. Additionally, we have implemented a speaking up policy to encourage the reporting of any suspected corruption or bribery incidents.

   In 2024, there were no signs of non-compliance with minimum safeguards, and Aker BP has not been convicted of violating corruption and bribery laws.

3. ***Taxation***
   In line with our ethical business values, we are committed to ensuring transparency and compliance with all relevant tax laws and regulations. Our approach includes adhering to all applicable tax laws and regulations in the jurisdictions where we operate, ensuring accurate and timely reporting of our tax obligations, and engaging in responsible tax practices that align with our ethical standards and complies with the code of conduct. In 2024, there were no signs of non-compliance with minimum safeguards, and Aker BP has not been convicted for any major violation of tax laws.

4. ***Fair competition***
   We carry out our activities in a manner consistent with all applicable competition laws and regulations, considering the competition laws of all jurisdictions where our activities might have anti-competitive effects. In line with our code of conduct and our guidelines for ethical business conduct, we strive to avoid any anti-competitive practices, and provide our employees with assistance to prevent, detect and address any competition violations. Additionally, we promote a culture of fair competition within our organisation through training and awareness programmes. In 2024, there were no signs of non-compliance with minimum safeguards, and Aker BP has not been convicted of violating competition laws.

2.7.2 Accounting principles and calculation of KPIs

The definitions of the turnover, capex and opex KPIs are set out in Annex I to the Disclosures Delegated Act. The proportions of taxonomy-eligible and taxonomy-aligned turnover, capex and opex are calculated by dividing a numerator by a denominator. The following sections provide further information on how the denominators and numerators were derived for each KPI. There are no changes in the definitions of the KPIs compared with last year's reporting.

To prevent double counting of relevant revenue and expenditure amounts, any eligible and aligned economic activities have been reported separately in the KPIs as distinct activities.

Turnover KPI

Denominator: The turnover KPI shall cover the revenue recognised pursuant to International Accounting Standard (IAS) 1, paragraph 82 (a). For Aker BP, this corresponds with the figure reported as petroleum revenue in the Income Statement.

The numerator is assessed to be zero, as no eligible or aligned activity has been identified.

Capex KPI

Denominator: The capex KPI is calculated as costs incurred during the year that are classified as additions according to the accounting standards Property, plant and equipment (IAS 16/IAS 40), Right-of-use assets (IFRS 16) and Intangible assets (IAS 38), including additions to tangible and intangible assets resulting from business combinations (IFRS 3) excluding acquired goodwill. These figures are derived from note 13 in the financial statements.

Numerator for eligibility calculations: The numerator for calculating the proportion of taxonomy-eligible capex is derived from the portion of the capex denominator associated with assets and processes linked to taxonomy-eligible activities. Additionally, Aker BP does not have an approved capex plan under the taxonomy, and the numerator includes no additions aimed at expanding taxonomy-aligned economic activities or enabling taxonomy-eligible economic activities to become taxonomy-aligned. For 2024, there are no eligible activities. For 2023, additions related to CCM 7.7 (Acquisition and ownership of buildings) were reported as eligible activity in the numerator.

The numerator for alignment is zero, as the eligible activity mentioned above has been assessed to not meeting applicable criteria for alignment.

Opex KPI

Denominator: The opex KPI is calculated based on direct non-capitalised costs related to maintenance and repair, based on the standard cost structure provided in the Joint Interest Agreement applicable for all licenses on the NCS. No cost incurred meets the taxonomy definition of research and development, building and renovation measures or short-term leases.

The numerator for eligibility and alignment is zero, as no relevant activity has been identified.

The templates for the three KPIs mentioned above, are included in table 15, table 16 and table 17 on the next pages.

Table 13: **Capex KPI**

(USD million)	Note	2024	2023
Additions to property, plant and equipment	13	4,793.4	3,673.0
Additions to right-of-use assets	13	149.9	704.5
Additions to intangible assets	13	5.9	9.1
Less goodwill additions through business acquisitions	13	-	-
Capex denominator		**4,949.2**	**4,386.6**

Table 14: **Note on exposures to nuclear and fossil gas related activities**

Nuclear energy related activities		
1.	The undertaking carries out, funds or has exposures to research, development, demonstration and deployment of innovative electricity generation facilities that produce energy from nuclear processes with minimal waste from the fuel cycle.	NO
2.	The undertaking carries out, funds or has exposures to construction and safe operation of new nuclear installations to produce electricity or process heat, including for the purposes of district heating or industrial processes such as hydrogen production, as well as their safety upgrades, using best available technologies.	NO
3.	The undertaking carries out, funds or has exposures to safe operation of existing nuclear installations that produce electricity or process heat, including for the purposes of district heating or industrial processes such as hydrogen production from nuclear energy, as well as their safety upgrades.	NO
Fossil gas related activities		
4.	The undertaking carries out, funds or has exposures to construction or operation of electricity generation facilities that produce electricity using fossil gaseous fuels.	NO
5.	The undertaking carries out, funds or has exposures to construction, refurbishment and operation of combined heat/cool and power generation facilities using fossil gaseous fuels.	NO
6.	The undertaking carries out, funds or has exposures to construction, refurbishment and operation of heat generation facilities that produce heat/cool using fossil gaseous fuels.	NO

Table 15: **EU taxonomy – Turnover**

Proportion of turnover from products or services associated with Taxonomy-aligned economic activities – disclosure covering year 2024

		2024		Substantial contribution criteria						DNSH criteria (Does not significantly harm)									
Economic activities	Code	Turnover	Proportion of turnover, year 2024	Climate change mitigation	Climate change adaptation	Water	Pollution	Circular economy	Biodiversity	Climate change mitigation	Climate change adaptation	Water	Pollution	Circular economy	Biodiversity	Minimum safeguards	Proportion of taxonomy aligned (A.1.) or eligible (A.2.) turnover, year 2023	Category enabling activity	Category transitional activity
		MUSD	%	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	%	E	T
A. Taxonomy-eligible activities																			
A.1. Environmentally sustainable activities (taxonomy-aligned)																			
Turnover of environmentally sustainable activities (taxonomy-aligned) (A.1)		0	0%	0%	0%	0%	0%	0%	0%							Y	0%		
Of which enabling		0	0%	0%	0%	0%	0%	0%	0%	Y	Y	Y	Y	Y	Y	Y	0%	E	
Of which transitional		0	0%	0%						Y	Y	Y	Y	Y	Y	Y	0%		T
A.2 Taxonomy eligible but not environmentally sustainable activities (not taxonomy-aligned activities)																			
				EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL										
Turnover of taxonomy eligible but not environmentally sustainable activities (not taxonomy-aligned activities) (A.2)		0	0%	0%	0%	0%	0%	0%	0%								0%		
A. Turnover of taxonomy eligible activities (A.1+A.2)		0	0%	0%	0%	0%	0%	0%	0%								0%		
B. Taxonomy non-eligible activities																			
Turnover of taxonomy non-eligible activities		12,242.7	100%																
Total		**12,242.7**	**100%**																

Table 16: **EU taxonomy – Capex**

Proportion of capex from products or services associated with Taxonomy-aligned economic activities – disclosure covering year 2024

		2024		Substantial contribution criteria						DNSH criteria (Does not significantly harm)									
Economic activities	Code	Capex	Proportion of capex, year 2024	Climate change mitigation	Climate change adaptation	Water	Pollution	Circular economy	Biodiversity	Climate change mitigation	Climate change adaptation	Water	Pollution	Circular economy	Biodiversity	Minimum safeguards	Proportion of taxonomy aligned (A.1.) or eligible (A.2.) capex, year 2023	Category enabling activity	Category transitional activity
		MUSD	%	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	%	E	T
A. Taxonomy-eligible activities																			
A.1. Environmentally sustainable activities (taxonomy-aligned)																			
Acquisition and ownership of buildings	CCM 7.7	0	0%	N	N/EL	N/EL	N/EL	N/EL	N/EL	Y	Y	Y	Y	Y	Y	Y	0%		
Capex of environmentally sustainable activities (taxonomy-aligned) (A.1)		0	0%	0%	0%	0%	0%	0%	0%							Y	0%		
Of which enabling		0	0%	0%	0%	0%	0%	0%	0%	Y	Y	Y	Y	Y	Y	Y	0%	E	
Of which transitional		0	0%	0%						Y	Y	Y	Y	Y	Y	Y	0%		T
A.2 Taxonomy eligible but not environmentally sustainable activities (not taxonomy-aligned activities)																			
				EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL										
Acquisition and ownership of buildings	CCM 7.7	0	0%	EL	N/EL	N/EL	N/EL	N/EL	N/EL								0.4%		
Capex of taxonomy eligible but not environmentally sustainable activities (not taxonomy-aligned activities) (A.2)		0	0%	0%	0%	0%	0%	0%	0%								0.4%		
A. Capex of taxonomy eligible activities (A.1+A.2)		0	0%	0%	0%	0%	0%	0%	0%								0.4%		
B. Taxonomy non-eligible activities																			
Capex of taxonomy non-eligible activities		4,949.2	100%																
Total		**4,949.2**	**100%**																

Table 17: **EU taxonomy – Opex**

Proportion of opex from products or services associated with Taxonomy-aligned economic activities – disclosure covering year 2024

		2024		Substantial contribution criteria						DNSH criteria (Does not significantly harm)									
Economic activities	Code	Opex	Proportion of opex year 2024	Climate change mitigation	Climate change adaptation	Water	Pollution	Circular economy	Biodiversity	Climate change mitigation	Climate change adaptation	Water	Pollution	Circular economy	Biodiversity	Minimum safeguards	Proportion of taxonomy aligned (A.1.) or eligible (A.2.) opex, year 2023	Category enabling activity	Category transitional activity
		MUSD	%	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	%	E	T
A. Taxonomy-eligible activities																			
A.1. Environmentally sustainable activities (taxonomy-aligned)																			
Opex of environmentally sustainable activities (taxonomy-aligned) (A.1)		0	0%	0%	0%	0%	0%	0%	0%							Y	0%		
Of which enabling		0	0%	0%	0%	0%	0%	0%	0%	Y	Y	Y	Y	Y	Y	Y	0%	E	
Of which transitional		0	0%	0%						Y	Y	Y	Y	Y	Y	Y	0%		T
A.2 Taxonomy eligible but not environmentally sustainable activities (not taxonomy-aligned activities)																			
				EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL										
Opex of taxonomy eligible but not environmentally sustainable activities (not taxonomy-aligned activities) (A.2)		0	0%	0%	0%	0%	0%	0%	0%								0%		
A. Opex of taxonomy eligible activities (A.1+A.2)		0	0%	0%	0%	0%	0%	0%	0%								0%		
B. Taxonomy non-eligible activities																			
Opex of taxonomy non-eligible activities		289.2	100%																
Total		**289.2**	**100%**																

3 Pollution

67%

of produced water reinjected

As all Aker BP's own operations are located on the Norwegian continental shelf (NCS), our activities leading to actual or potential pollution by emissions to air, discharges to sea as well as use and discharge of chemicals containing substances of concern or very high concern, are strictly regulated by Norwegian law and discharge permits. We acknowledge the environmental impact from our activities and our efforts to prevent, minimise and remediate the impacts, are anchored in our comprehensive environmental management system. Pollution is a material topic for Aker BP and the process to determine the materiality is described in section 1 General. Material pollution impacts and risks are presented in table 18.

Table 18: **Material impacts, risks and opportunities: Pollution**

Material matters	Scope	Description of materiality
Material impacts[1]		
NO_x, SO_x and nmVOC emissions to air (-)	Own operations	Aker BP's operations are dependent on energy production from diesel and fuel gas on our installations and drilling rigs. Combustion of diesel and fuel gas in engines and turbines, as well as flaring leads to emissions of NO_x, SO_x and non-methane volatile organic compounds, contributing to local pollution of air.
Discharge of produced water including pollutants, substances of concern, very high concern and microplastics (-)	Own operations	Produced water is a biproduct in the well stream during Aker BP's production of oil and gas. Production chemicals such as (but not limited to) corrosion inhibitors and biocides are used under processing of oil and gas. Discharges of treated produced water therefore contain chemical residues and other reservoir substances that impose a potential environmental impact to sea.
Use and discharge of drilling and well chemicals (-)	Own operations	Aker BP utilises both oil-based and water-based drilling fluids during exploration and production drilling. Oil-based drilling fluids are not discharged to sea, but rather collected and re-used. Water-based drilling fluids are discharged according to the discharge permit and only relate to top hole drilling operations. These chemicals contain substances of concern and substances of very high concern, and impose a potential health impact during use, and a potential environmental impact for discharge to sea.
Material risks		
Risk of financial penalty and reputation damage due acute pollution to water	Own operations	Production of oil and gas offshore entails a potential risk of acute spills to sea. Although the probability is low the consequence of such an incident may prove to be major with regard to both reputation and financial cost.
Risk of temporary stop in production and costs related to clean-up of pollution due to acute spills to water	Own operations	Depending on the size and severity of an acute spill offshore it may lead to temporary stop in production as well as unplanned costs for clean-up. The loss of production revenues and costs associated with clean-up measures may be significant.
Risk of loss of license to operate and major financial impact due to blowout	Own operations	A blow out can lead to acute oil pollution of the marine environment and damage to natural resources. Clean-up from a blowout can lead to severe financial implications and as a result also possibly lead to inability to operate the affected licenses.

1) (+) symbolises a positive impact whereas (-) symbolises a negative impact.

Relevant policies:

- External environment policy
- Emergency preparedness and response policy
- Risk and barrier policy

3.1 POLICIES AND PROCEDURES

Aker BP acknowledges the environmental footprint arising from our own operations, and we are committed to working systematically to ensure environmental protection as a central part of our operational activities on the NCS, and for activities onshore under our operational control. We work actively together with our alliances, contractors and suppliers to reach the same goal. These principles form the core of our external environment policy.

The key contents of the external environment policy include safeguarding and avoiding harm to the environment and embedding pollution prevention, reduction and remediation through the following main principles:

1. Commitment to continuously manage and reduce our environmental footprint
2. Commitment to mitigate negative impacts related to pollution of discharges to sea and emissions to air
3. Commitment to increase knowledge and contribute to research and development (R&D) activities to better understand environmental impacts and ecosystems
4. Commitment to transparent reporting of environmental performance regularly

These commitments relate to our material impacts and risks as they cover pollution to air (such as but not limited to NO_x, SO_x and non-methane volatile organic compounds (nmVOC)), pollution of water and use of chemicals. The first and second principles specifically detail our responsibility to prevent, reduce and remediate pollution resulting from assets under our operational control. We make efforts to ensure that our environmental impact is as low as reasonably possible using best available techniques (BAT) and following NORSOK standard S-003 environmental care. The NORSOK standard is a Norwegian petroleum standard that describes the decision process at the various stages of design development and the related environmental issues. Details around how these commitments are managed are provided in section 3.2.

The first and second principles specifically commit to reducing use and discharge of chemicals from our operated activities and selecting chemicals that give the lowest risk of environmental harm. Substitution of chemicals harmful to the environment is covered in these principles. The principles also cover prevention and reduction of substances of concern and substances of very high concern. Our policy commits us to seek more environmentally-friendly chemicals, and we implement annual plans to substitute chemicals with the highest risks to the environment.

The commitments in our biodiversity policy and circular economy policy aim at supporting the Ramsar convention on wetlands and the Basel convention on hazardous waste. For more information about these policies, see the section 5 Biodiversity and ecosystems and section 6 Resource use and circular economy.

Aker BP's material risks related to acute pollution to sea and blowout are covered in the following policies:

1. Risk and barrier policy
2. External environment policy
3. Emergency preparedness and response policy

The second principle in the external environmental policy states that we shall avoid the occurrence of incidents and emergency situations by establishing, monitoring and maintaining barriers for the prevention of major accidental events, such as acute spills and blowouts, and if they occur, control and limit their impact on people and the environment. We shall implement asset-specific oil spill preparedness plans to be able to manage any situation that may occur. Through our risk and barrier policy we are committed to establishing, monitoring and maintaining barriers for the prevention of major accidental events, such as acute spills and blowouts, and for the reduction of potential environmental impact. Monitoring the performance and integrity of our technical, operational and organisational barriers is an important part of our risk and barrier management. Details on actions to limit the impact from acute spills are provided in section 3.2.

In addition, our emergency preparedness and response policy specifies our core principles for mitigation and remediation of acute spills. Aker BP commits to initiate, lead and combat acute spills and full blowouts, and minimise potential environmental impact through:

1. Establishment of asset-specific oil spill preparedness plans to reduce potential impact, including use of best available techniques
2. Active participation in Norwegian Clean Seas Association for Operating Companies (NOFO) ensuring 24/7 oil spill preparedness and oil spill recovery at sea. This cooperation ensures that our oil spill contingency measures are designed and dimensioned for our needs and use. It also ensures the availability of dedicated equipment, vessels and trained personnel for coastal and shore remediation of spills are available
3. Assessment of operational mitigation measures such as mechanical collection of spills or chemical dispersion, together with assessments of weather conditions and actual observations of natural resources in the area. The best option to minimise potential environmental impact shall always be prioritised

The SVP people and safety, part of our executive management team, is the owner the external environment policy. The other mentioned policies are owned by relevant managers in the people and safety department. The external environment policy and the emergency preparedness and response policy are publicly available on our website.

We facilitate open and transparent communication of our planned activities in consultation with relevant stakeholders and the public. Through our obligations to the authorities, the level of our discharges to sea and emissions to air, as well as selection of chemicals, are controlled and limited by authority permits for each asset, strict environmental regulations and specific NCS standards. Close cooperation with Offshore Norge, the national industry organisation, ensures joint compliance with national commitments and stakeholder expectations. Our external environment policy commits us to applying NORSOK S-003 and BAT for both new developments and modifications. Additionally, the policy outlines our commitment to complying with Aker BP's environmental management system, which adheres to the principles of ISO 14001.

3.2 ACTIONS

Our strategy and environmental ambition levels are reviewed regularly. Major environmental issues are elevated to the board of directors.

Actions identified in relation to actual and potential pollution impact follow the mitigation hierarchy of prevention, reduction, remediation and, where possible, restoration. All own operations, both operated and non-operated fields and wells, are regulated by the same laws and regulations.

We strive to **avoid** negative impact through careful planning and execution of our operational, project and drilling activities. Environmental aspects and risks are identified and environmental impact assessments, best available techniques assessments and evaluation of appropriate actions are performed prior to introducing exploration drilling and new projects that affect our environmental aspects and risks. For our operated fields, the annual environmental aspect and risk evaluations ensure continuous identification of necessary actions. These actions vary in scale and include, where necessary, larger modifications projects. Actions are implemented through the asset organisation and followed up accordingly.

Our efforts to enhance energy efficiency, **reducing** emissions and discharges from assets and drilling rigs under operational control, cover the necessary actions to minimise pollution of NO_x, SO_x and nmVOC to air, and pollution by substances of concern, substances of very high concern and microplastics to sea. These efforts materialise through effective actions such as treatment of produced water to lower the hydrocarbon content in discharged produced water, selection of chemicals with lowest risk of environmental harm, substitution of black, red and yellow (Y3 and Y2) chemicals where possible, reinjection of produced water to avoid and reduce discharge of substances of concern and substances of very high concern. To minimise the hazardous waste sent to landfills, an offshore treatment process for oil-based drilling fluids, containing only environmentally acceptable yellow chemicals, is implemented in Aker BP. The treatment allows for safe discharge into the sea and enables the reuse of base oil in the drilling fluid. Actions to reduce operational control scope 1 and 2 GHG emissions, presented in section 2.3, also lead to corresponding reductions of non-GHG emissions, as both types of emissions arise from combustion of fuel gas or diesel, flaring and fugitive emissions.

There are **preventive** actions in place to avoid unplanned incidents such as chemical or crude oil spills to sea. These actions include a comprehensive asset integrity and barrier management programme in Aker BP and include both operational as well as organisational actions. However, in the case of an actual spill occurring, there will be immediate **remedial** action to remove or neutralise the pollutant, followed by the **restoration** of the affected habitats as deemed necessary and in accordance with our commitments in the biodiversity policy, as presented in section 5 Biodiversity and ecosystems.

All actions executed during the reporting year are reported to the Norwegian Environment Agency.



Table 19: **Overview of actions taken in 2024**

Material IRO	Description of action	Asset	Scope	Timeframe for implementation	Achievement of policy	Layer in mitigation hierarchy
NO_x, SO_x and nmVOC emissions to air from own production	Operational optimisation of SAC turbines was achieved by running one turbine at full load during periods of water injection, instead of two turbines at lower loads. This action resulted in an estimated reduction of 17 tonnes of NO_x and 0.5 tonnes of nmVOC.	Ula	Operated assets	2024	The implementation of this action leads to a reduction in NO_x and nmVOC emissions to air, aligning with the following principle in the external environment policy: 'Commitment to continuously manage and reduce our environmental footprint'.	Reduction
NO_x, SO_x and nmVOC emissions to air from own production	During periods of low oil production, oil export was managed using only the feed pump (MOL booster pump) instead of using the oil export pump. This operational mode was utilised whenever possible in 2024, resulting in reduction of approximately 1.0 tonnes of NO_x and 0.003 tonnes of nmVOC.	Ula	Operated assets	2024	The implementation of this action leads to a reduction in NO_x and nmVOC emissions to air, aligning with the following principle in the external environment policy: 'Commitment to continuously manage and reduce our environmental footprint'.	Reduction
NO_x, SO_x and nmVOC emissions to air from own production	Through careful planning of water and gas injection, the optimisation of the electrically-driven WAG compressor, instead of operating the UGU compressor turbine, resulted in the reduction of approximately 21 tonnes of NO_x and 8.4 tonnes of nmVOC in 2024.	Ula	Operated assets	2024	The implementation of this action leads to a reduction in NO_x and nmVOC emissions to air, aligning with the following principle in the external environment policy: 'Commitment to continuously manage and reduce our environmental footprint'.	Reduction
NO_x, SO_x and nmVOC emissions to air from own production	Software upgrade to ensure the turbines operate by automatically selecting the most optimal and efficient operational mode. Additionally, a new HEPA filter was installed in 2024. These actions lead to an estimated reduction of 4.2 tonnes of NO_x and 8.9 tonnes of nmVOC.	Alvheim	Operated assets	2024	The implementation of this action leads to a reduction in NO_x emissions to air, aligning with the following principle in the external environment policy: 'Commitment to continuously manage and reduce our environmental footprint'.	Reduction
NO_x, SO_x and nmVOC emissions to air from own production	An energy management dashboard was established for offshore personnel, enhancing the ability to operate the turbines more efficiently. This resulted in an estimated reduction of 1.8 tonnes of NO_x and 3.8 tonnes of nmVOC.	Alvheim	Operated assets	2024	The implementation of this action leads to a reduction in NO_x emissions to air, aligning with the following principle in the external environment policy: 'Commitment to continuously manage and reduce our environmental footprint'.	Reduction
NO_x, SO_x and nmVOC emissions to air from own production	The LP flare was closed in 2024 and lead to an estimated reduction of 2.5 tonnes of NO_x, 0.1 tonnes of SO_x and 5.2 tonnes of nmVOC.	Valhall	Operated assets	2024	The implementation of this action leads to a reduction in NO_x emissions to air, aligning with the following principle in the external environment policy: 'Commitment to continuously manage and reduce our environmental footprint'.	Reduction
Risk of financial penalty and reputation damage due acute pollution to water Risk of temporary stop in production and costs related to clean-up of pollution due to acute spills to water Risk of loss of license to operate and major financial impact due to blowout	Theoretical and practical emergency preparedness training with regard to oil spills was performed in 2024. Aker BP, in collaboration with several operators, suppliers, authorities and partners, organised a comprehensive emergency preparedness exercise called Tveegg. The exercise trained participants to handle both an acute incident and a strategic planning process simultaneously.	All assets	Operated assets	2024	The implementation of this action leads to a risk and impact mitigation regarding acute pollution, aligning with the following principle in the emergency preparedness and response policy 'Commitment to mitigate and remediate acute pollution to sea'. And specifically performing 'Theoretical and practical oil spill training and exercises'.	Risk mitigation

Retirement of our fuel-driven asset Ula is planned in the near future (2028) and provides a lever for reduction of pollution to air and sea. The expected reductions are assumed to be equal to the asset pollution level in last year of comparison (2024). Aker BP's overall pollution levels will at all times depend on our portfolio and the related activity level. Further details on the retirement action are provided in section 2.3.1.2.

Implementation of all potential future actions is dependent on a stable operating environment on the NCS, continued access to capital and the availability of internal and external resources to perform the actions.

The NO_X Fund works to fulfil Norway's obligations under the Gothenburg Protocol, and Aker BP contributes to this fund through payment of the NO_X fee. In return, this ensures that effective NO_X-reducing measures are funded and implemented. Over time NO_X-reducing measures have been installed on three of the drilling vessels operating under Aker BP's operational control, enabling significant emission reductions over time.

3.3 TARGETS

Our NO_X, SO_X and nmVOC emissions are low compared to the industry average[1)] and Aker BP has, as per 2024, not set short- or long-term reduction target for emissions or for pollutants in produced water to sea. However, we continue to take actions to reduce emissions of air pollutants through energy management initiatives on assets and drilling rigs under operational control, as well as through treatment of discharged produced water containing oil and other pollutants. The overall emissions depend directly on and are driven by our operational and drilling activity level. We will continue to evaluate potential targets on NO_X, SO_X and nmVOC emissions. Actions to reduce our operational control scope 1 and 2 GHG emissions, as described in section 2.3, also directly lead to reduction of NO_X, SO_X and nmVOC emissions.

Annual indicators for non-GHG emissions to air, produced water reinjection, as well as oil and other pollutants in discharged produced water are monitored and tracked on a monthly basis to evaluate the effectiveness of both our policy commitments and actions. These key performance indicators are asset-specific and related targets are set annually in accordance with our discharge permits.

3.4 METRICS

Aker BP commits to operating within the framework of the current environmental legislation and to provide transparent reporting to authorities, management and other key stakeholders. Discharges to sea and emissions to air from both production activities and exploration drilling, are governed by our discharge permits issued by the Norwegian Environment Agency. No pollution-related metrics are validated by another body other than the assurance provider.

These discharge permits are asset-specific and include threshold limits for pollution to air and water. Emissions of NO_X, SO_X, nmVOC, discharge of chemicals in produced water and drilling chemicals are regulated in our discharge permits.

Our annual process for setting asset-specific key performance indicators for material IROs with annual limits, allows us to set stricter targets than the discharge permits. KPIs are followed up in digital dashboards available to both management and personnel engaged in operation of the assets.

Our asset-specific metrics for pollution to air in 2024 included SO_X, NO_X and nmVOC emissions. For pollution to sea, the 2024 metrics included oil concentration in discharges from produced water to sea as well as the percentage of produced water re-injection. We continuously review and assess the degree to which environmental expectations are met by monitoring our performance against these KPIs, and implementing the lessons learned from previous successes and failures. Necessary actions to comply with targets are defined and followed up per asset.

3.4.1 Pollution to air

Emissions of NO_X, SO_X and nmVOC occur during combustion of fuel gas and diesel, as well as flaring. In addition, fugitive emissions of nmVOC arise from unburned gas leaking from sources such as flanges, valves and vents.

Fugitive emissions of nmVOC are calculated based on industry guidelines and best practice provided in 044 – Offshore Norge Recommended guidelines for discharge and emission reporting. Due to complexity and unavailability of sufficient measurement equipment for the diverse range of fugitive emission sources, these emissions are not measured.

1) Source: IOGP 2023 Environmental performance indicator report. 2023 Global average of NO_X, SO_X and nmVOC was at 634 ktonnes, 348 ktonnes and 568 ktonnes. For our own operations Aker BP's emissions where at 0.33 percent, 0.01 percent and 0.41 percent of the global average.

Input volumes of fuel gas and flare are measured to fiscal standards and form the basis for calculation of NO_x emissions along with emission factors specific for the type of combustion equipment and flaring. NmVOC emissions from these streams are calculated similarly.

All gas, diesel and oil naturally contain sulphur, and hence SO_x is emitted during combustion of these fuels. Emission of SO_x is calculated based on the H_2S-content in the natural gas and sulphur content in diesel. All calculations are based on the industry guidelines and best practice provided in 044 – Offshore Norge Recommended guidelines for discharge and emission reporting.

Consolidated amounts of material pollutants to air from own operations, are provided in table 20.

NO_x emissions under operational control increased by 11 percent due to increased drilling activity in 2024 compared to 2023. Additionally, changes in measurement and calculation methodology for nmVOC in 2024 render these emissions not directly comparable to those of 2023.

Table 20: **Emissions of NO_x, SO_x and nm-VOC**

Pollutants to air	Amount (operational control)	Amount (equity share)	Unit
NO_x	2,213	1,150	tonnes/year
SO_x	43	32	tonnes/year
nmVOC	2,272	1,606	tonnes/year

Figure 28: **NO_x emissions (operational control)**

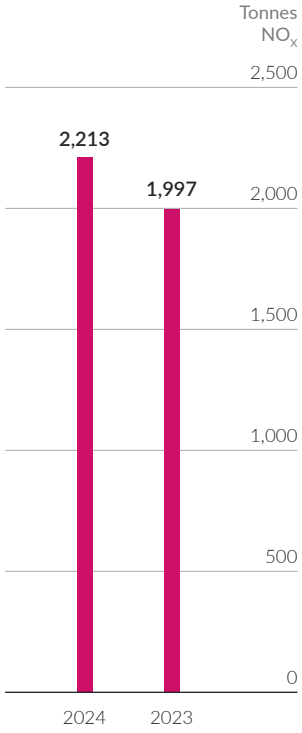


Figure 29: **SO_x emissions (operational control)**

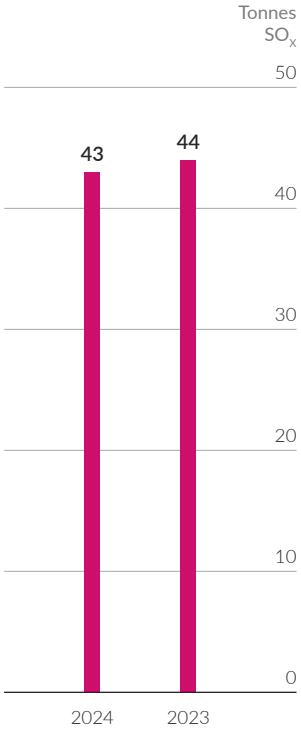
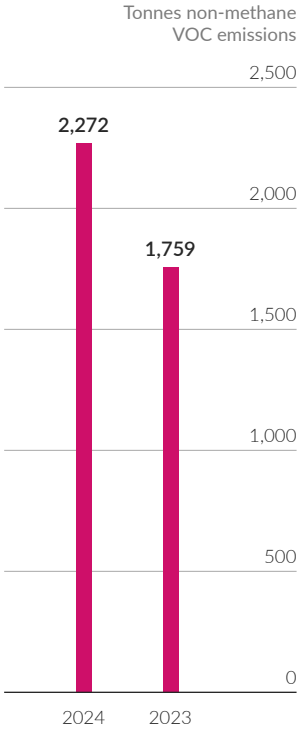


Figure 30: **Non-methane VOC emissions (operational control)**



3.4.2 Pollution to sea

All producing fields under Aker BP's own operations have discharge of treated produced water. The treatment is carried out using best available techniques to ensure the lowest possible concentration of dispersed oil and associated organic compounds. The produced water stream contains pollutants such as metals, hydrocarbons, phenols and polycyclic aromatic hydrocarbons as listed in Annex II of Regulation (EC) No 166/2006 European Pollutant Release and Transfer Register. figure 31 illustrates the volumetric balance of produced water in 2024, highlighting that only 31 percent of the produced water generated was discharged to sea. The majority of the produced water containing pollutants was reinjected back into the wells.

Discharged produced water is regulated by the Norwegian Environment Agency and the absolute maximum threshold value is 30 mg dispersed oil per litre of produced water per month (weighted average). Produced water discharge is risk-rated by calculation of the environmental impact factor (EIF) and aims to be less than 10 for lower environmental risk. We evaluate necessary actions to reduce discharge if the EIF is between 11–100. Oil in water concentration, depending on the field, is either measured daily or monitored through continuous online measurements. Analysis of remaining pollutants in the discharged produced water stream is conducted twice a year.

table 21 provides an overview of the consolidated amounts of material pollutants in treated produced water discharged to sea from own operations. Only pollutants above threshold values in Annex II of Regulation (EC) 166/2006, are reported.

Substances of concern and substances of very high concern in produced water are covered by section 3.4.4.

3.4.3 Microplastic

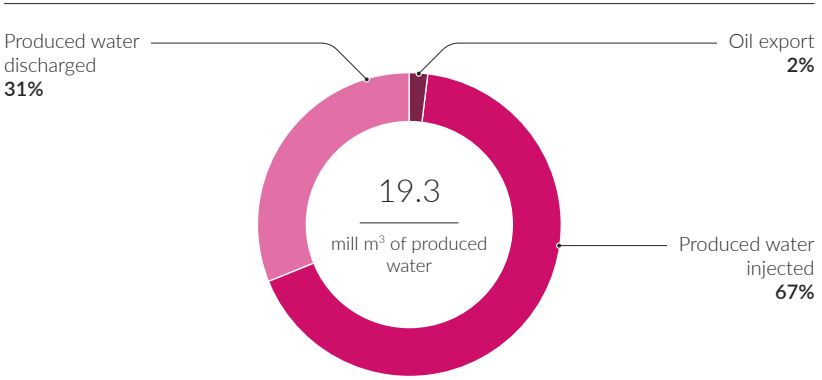
Microplastic is normally present in paint used on surfaces of pipes, structures and equipment on our offshore installations. Removal and cleaning operations of these coatings are conducted using sand blasting. While we strive to prevent waste discharge from sandblasting by collecting the sand containing surface coatings, some amounts are still discharged to sea. Related to our asset-specific discharge permits, we apply for microplastics and the volume of permissible amount to be discharged to sea are reported annually to the Norwegian Environment Agency. The volume discharged is estimated rather than measured, due to unavailability of an appropriate measurement method. No specific standard or guideline is available for calculating the estimates. The source of the microplastic data is the same as actual amount of sandblasting sand being discharged to sea.

During 2024, Aker BP did not perform any sand blasting thus we did not identify any generation or discharges of microplastics to sea.

Table 21: **Overview of pollutants to sea**

Pollutants to sea	Type	Amount (operational control)	Amount (equity share)	Unit
Phenols[1)]	Phenols	42,304	18,821	kg/year
Benzene	BTEX	45,844	23,386	kg/year
Ethylbenzene	BTEX	1,110	437	kg/year
m-Xylene	BTEX	5,622	2,535	kg/year
o-Xylene	BTEX	3,735	1,723	kg/year
p-Xylene	BTEX	1,086	427	kg/year
Toluene	BTEX	30,524	14,336	kg/year
Xylene	BTEX	11,085	5,059	kg/year
Arsenic (As)	Metal	23	15	kg/year
Cadmium (Cd)	Metal	6	2	kg/year
Lead (Pb)	Metal	63	27	kg/year
Zinc (Zn)	Metal	4,294	1,814	kg/year
Naphthalene	PAH	2,738	1,240	kg/year
PAH[2)]	PAH	311	156	kg/year

Figure 31: **Volumetric balance of produced water (operational control)**



1) Includes C1-C5 alkyl phenosl, where the substitute phenols are expressed as total carbon mass.

2) Phenantrene, acenaphthene, chrysene, fluorene and anthracene are included.

3.4.4 Substances of concern and substances of very high concern

Aker BP uses chemicals during our production, drilling and well operations. Some of these chemicals contain substances of concern (SOC) and substances of very high concern (SVHC).

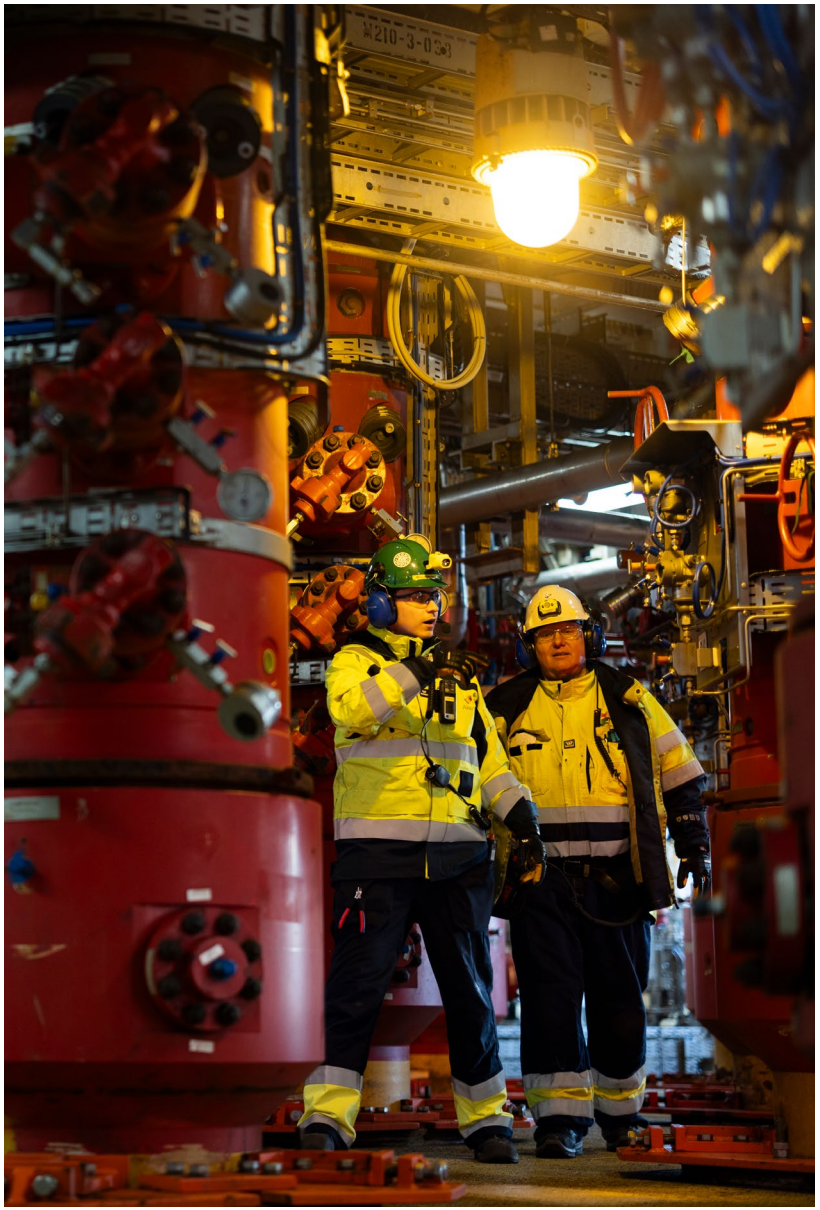
Identification of chemicals containing SOC and SVHC is done as part of Aker BP's chemical management system that requires a comprehensive health, environment, safety and technical assessment of chemicals before utilisation. The chemicals are categorised according to their inherent properties. The categorisation is based on the CLP Regulation (classification, labelling and packaging of substances and mixtures) and includes H-statements. Based on the statements in the safety data sheets, Aker BP categorises the chemicals ranging from one to five, where five is the most severe.

All chemicals that concern health defined on the SOC-list are also defined in Aker BP's chemical management as chemicals with a high health hazard (categories four and five). To approve chemicals in these health hazard categories, risk assessments (ChemiRisk) are conducted, specifying the requirements for barriers to minimise health risks during use. All chemicals in health hazard category four are evaluated for substitution as part of the internal approval process.

Chemicals in health or environment hazard category five (H340, H350, H360, H334, EUH380, H410, H420) require a documented extended substitution assessment before approval for use. In cases where substitution is not possible, a specialist conducts an assessment, including toxicology and exposure pathways, and provides a recommendation for approval based on usage and possible exposure.

Environmental assessments for SOC that are not covered by hazard class five are managed by the Norwegian HOCNF classification and the associated requirements for assessments there. The HOCNF (Harmonised Offshore Chemical Notification Format) classification in Norway involves an evaluation of the environmental properties of chemicals based on requirements from OSPAR.

In relation to the application for use of chemicals, the CAS numbers for all chemicals in hazard categories four and five are checked to identify if they are on the REACH SVHC list. Additionally, an annual review is conducted for all approved products in Aker BP. Chemicals that contain one or more substances on the REACH SVHC list are labelled in the chemical inventory to inform the user of the quantities of the substance. The products are given extra weighting when developing substitution plans for already approved products.



Use of chemicals containing SOC are material regarding health hazard classification and discharge of chemicals containing SOC are material with regard to environmental hazard classification. These are reported in table 23 and table 24. Use and discharge of chemicals containing SVHC are reported in table 22.

Amounts of chemicals used and discharged in 2024 are registered in Aker BP's environmental accounting system, NEMS. Each chemical is checked to identify potential SOC content and total amount of chemicals used and discharged are reported accordingly. The SVHC content in the chemicals is calculated based on component share provided by the chemical supplier. Amount of SVHC in total amount of chemical used or discharged is reported in table 22. The discharge is regulated by our discharge permits. Annual reporting to the Norwegian Environment Agency includes discharged amounts of chemicals.

SOC and SVHC data from non-operated fields and exploration wells in 2024 has been estimated. Edvard Grieg and Valhall chemicals have been utilised to estimate Johan Sverdrup SOC and SVHC. Drilling and well chemical data from operated exploration wells in 2024 have been used to estimate SOC and SVHC for non-operated exploration wells.

Table 22: **Substances of very high concern in chemicals used and discharged**

CAS number	Amount used (equity share)	Amount discharged (equity share)	Unit
1303-96-4	25	7	kg/year
7439-92-1	4	0	kg/year
111-30-8	258,533	8,634	kg/year
625-45-6	692	415	kg/year

Table 23: **Substances of concern in chemicals used**

Hazard type	Hazard class	H-statements[1)]	Amount used (equity share)	Unit
Health hazard	Carcinogenicity	H350 and H351	351	tonnes/year
	Germ cell mutagenicity	H341	11	tonnes/year
	Reproductive toxicity	H360, H360D, H360F and H360FD	311	tonnes/year
	Respiratory sensitisation	H334	580	tonnes/year
	Skin sensitisation	H317	5,817	tonnes/year
	Specific target organ toxicity - repeated exposure	H372 and H373	5,274	tonnes/year
	Specific target organ toxicity - single exposure	H370 and H371	314	tonnes/year

Table 24: **Substances of concern in chemicals discharged**

Hazard type	Hazard class	H-statements[1)]	Amount discharged (equity share)	Unit
Environmental hazard	Hazardous to the aquatic environment - long term hazard	H410, H411 and H412	900	tonnes/year

1) The column only lists H-statements mentioned in the safety data sheets for each chemical containing SOC.

4 Water and marine resources

Water and marine resources are not a material topic for Aker BP's own operations. We have identified one material impact within this topic, as we believe that water consumption in our value chain could potentially prove to be material. We are in the process of conducting necessary mappings and assessments on the level of materiality for water and marine resources in our value chain. As we have not yet been able to obtain the necessary data and insight into our value chain related to water and marine resources, we do not have any related policies, actions, targets or metrics to report.

Table 25: **Material impacts, risks and opportunities: Water and marine resources**

Material matters	Scope	Description of materiality
Material impacts[1]		
Water consumption from value chain (-)	Upstream and downstream value chain	Contrary to Aker BP's own operations that are located on the Norwegian continental shelf, activities in our upstream and downstream value chain could possibly be located in water-stressed areas or in areas where water consumption could prove to be material.

1) (+) symbolises a positive impact whereas (-) symbolises a negative impact.



Relevant policies:

None

2 **operations**

in biodiversity sensitive areas in 2024

5 Biodiversity and ecosystems

Aker BP acknowledges the objectives of the Convention on Biological Diversity and welcomes the goals of the Kunming-Montreal Global Biodiversity Framework to halt and reverse biodiversity loss. We recognise that climate change and biodiversity loss are complex and deeply interconnected challenges, and we strive to address both in our business practices.

Biodiversity is a material topic for Aker BP due to the company's contribution to the conversion of natural habitats for industrial use in connection with the development of oil and gas infrastructure and sourcing materials in the value chain. Biodiversity loss poses business risks, and we strive to reduce exposure to these risks by avoiding activities that might harm biodiversity values, thereby also preventing potential business implications from ecosystems degradation. The material biodiversity impacts and risks are described in table 26.

Table 26: **Material impacts, risks and opportunities: Biodiversity and ecosystems**

Material matters	Scope	Description of materiality
Material impacts[1]		
Potential negative impacts on biodiversity due to accidental discharges from offshore operations (-)	Own operations	Aker BP's offshore operations carry a risk of accidental discharges, which could severely impact biodiversity in the event of major accidents, although such events are highly unlikely.
Potential negative impacts on biodiversity related to the construction of oil and gas infrastructure and sourcing materials in the value chain (-)	Upstream value chain	Manufacturing and distribution of the materials through the value chain as well as construction activities to facilitate project developments may have disruptive effects on biodiversity and ecosystems, especially if suppliers' activities affect environmentally sensitive areas. The activities in Aker BP's upstream value chain may also lead to GHG emissions, pollution, spread of invasive species and degradation of natural habitats.
Potential negative impacts on biodiversity due to contribution to climate change (-)	Own operations Upstream and downstream value chain	Aker BP's total GHG emissions (scope 1-3) contribute to climate change, which affects biodiversity at a global scale. Climate change may further exacerbate physical impacts on the condition of ecosystems and increase stress on species, which may make it harder for them to adapt.
Material risks		
Reputational risk due to potential expanding operations in environmentally sensitive areas	Own operations	Financial loss and project delays caused by the restrictions on offshore drilling in certain areas due to new, stringent regulations aimed at protecting environmentally sensitive areas. Future developments may face similar constraints.
Risk of increased operational cost due to stricter regulations on biodiversity conservation and ecosystems restoration	Own operations	Stricter regulations to enhance biodiversity protection and ecosystems restoration might lead to increased costs to ensure regulatory compliance. This may be relevant to the seabed areas surrounding Aker BP's production installations, which have been impacted by the historical discharges of the drill cuttings.
Risk of financial penalties and damage to reputation due to major accidental spills	Own operations	Liability risk related to biodiversity loss resulting from accidental discharges.

1) (+) symbolises a positive impact whereas (-) symbolises a negative impact.

Relevant policies:

Biodiversity policy

Aker BP's measurable biodiversity footprint results mainly from the discharges of drill cuttings piles around the offshore production installations. While the associated impacts are limited to small areas, and the actual overall impact on local biodiversity is low, we believe that risk of increased operational cost due to stricter regulations on biodiversity restoration might be material. Aker BP has not identified any material negative impacts related to land degradation, desertification or soil sealing. The breakdown of sites according to the impacts identified and assessment criteria applied are presented in section 5.4.

In 2024, Aker BP did not undertake activities which had a measurable negative effect on biodiversity-sensitive areas or biodiversity features of importance, such as species registered as threatened on the Norwegian Red List for Species.

Resilience of the strategy and business model

The resilience of Aker BP's strategy and business model in relation to biodiversity and ecosystem services is qualitatively assessed with involvement of internal stakeholders, taking into consideration the company's biodiversity-related physical, transition and systemic risks. The analysis presented in table 27 considers risks over short-, medium- and long-term horizons in which they are likely to materialise, as well as considerations related to Aker BP's resilience in relation to biodiversity. The material risks are summarised in table 26 and are briefly discussed below.

The scope of this resilience analysis currently encompasses our own operations. We aim to expand the scope to include our value chain as our understanding of location-specific material impacts, risks and opportunities within the value chain continues to evolve. The approach to the assessment is guided by the TNFD's (Taskforce on Nature-related Financial Disclosures) recommendations.

Table 27: **Aker BP's biodiversity-related transition, physical and systemic risks**

Risk category	Risk driver	Mitigation actions
Transition risks		
Policy	– Sea-use and land-use constraints in future projects provoked by the global goals to halt and reverse biodiversity loss – More stringent regulations aimed at biodiversity protection and restoration in new developments (e.g., mandatory biodiversity net gain).	Ongoing monitoring of regulatory framework developments and engagement with relevant stakeholders to ensure compliance with emerging regulations.
Liability	Liability risk related to biodiversity loss resulting from accidental discharges.	Maintaining high standards for emergency prevention and response
Market	Increased sourcing costs of raw materials due to the global depletion of natural resources, ecosystem degradation and evolving sustainable practice requirements.	Over the coming years, Aker BP will strive to assess location-specific risks in our value chain and consider measures to reduce exposure to those risks, where relevant.
Reputation	– Loss of brand value due to actual or perceived biodiversity-related misconduct or lack of transparency. – Capital could be diverted away from businesses that cause severe negative biodiversity impacts.	– A public commitment to avoid operations in certain natural habitats important for biodiversity with various forms of protection. – Adherence to stringent standards for operational performance and the adoption of best practices in nature-related disclosures.
Technology	Lack of access to data or access to poor quality data that hamper biodiversity-related assessments	Contribution to the development of innovative monitoring technologies through sponsoring of the relevant R&D projects (e.g., eDNA monitoring).
Physical risks		
Acute	Increased risk of damage of the onshore infrastructure and business interruption from floods if protective terrestrial ecosystems are heavily degraded.	– Monitoring of weather patterns to provide early warnings of potential extreme weather events – Evaluation of structural design limits to withstand extreme weather events
Chronic	Location of the assets in areas that already experience a decline in biodiversity and ecosystem services, which can further gradually exacerbate existing pressure with new activities.	– Aker BP conducts environmental impact assessments and site surveys prior to establishing new operations to understand and mitigate potential biodiversity impacts. The actual impacts on local biodiversity are regularly monitored through existing programmes. – Location of Aker BP's production assets is determined by the presence of petroleum resources. Our own operations are not directly dependent upon ecosystem services and increased pressure on biodiversity.
Systemic risks	The contribution to ecosystem degradation has the potential to create systemic risks, including ecosystem collapse, wherein critical natural systems cease to function. This disruption can also impact societies, supply chains and financial markets.	Minimising our contribution to ecosystem degradation through implementation of mitigation hierarchy principles in all projects.

The key assumptions in this analysis suggest low probability of unexpected regulatory changes since Aker BP's own operations are located in Norway, which has a transparent and predictable regulatory regime for the oil and gas sector. Additionally, it considers that Aker BP's business model does not directly depend on the supply of biological resources (e.g., fisheries, forest products, etc.). Changes in the quality, availability or pricing of these commodities are unlikely to impact our business and are therefore not considered in the analysis.

The biodiversity-related risks presented in table 27 highlight that Aker BP's portfolio is exposed to financial risk due to emerging regulations on biodiversity conservation, which may necessitate operational adjustments and incur new compliance costs. Although we consider this risk to be material, Norway's regulatory regime enables our business to adapt to shifting regulations, reducing the risk of financial stress from sudden regulatory changes. Aker BP proactively assesses and mitigates this risk, ensuring its business model remains resilient and adaptable in a rapidly changing regulatory landscape.

Aker BP's potential expansion into environmentally sensitive areas represents a reputational risk which might impact the company's ability to access capital for financing project developments in those areas. We mitigate this risk by avoiding operations in certain types of natural habitats and by implementing the mitigation hierarchy in all projects. We strive to ensure adequate risk-based systems to prevent and respond to accidental spills, thereby mitigating the financial risks associated with major accidents.

This resilience analysis of Aker BP's biodiversity-related risks concludes that Aker BP's strategy and business model are resilient to the identified biodiversity and ecosystems-related physical, transition and systemic risks. These risks are not likely to have major implications for our business over short-, medium- and long-term horizons.

5.1 POLICIES AND PROCEDURES

Through our biodiversity policy, Aker BP aims to manage and reduce our biodiversity footprint across our operated assets and supply chain and is available to stakeholders on Aker BP's website.

The policy covers our operated assets only. Through the implementation of the policy, Aker BP commits to respecting internationally recognised areas of high natural and cultural importance as defined by the IUCN[1)], UNESCO[2)] and Ramsar Convention. The SVP people and safety, a member of the executive management team, has overall ownership of the policy.

The policy addresses the material matters described above through commitments to identifying, monitoring and accounting for biodiversity-related dependencies, risks, impacts and opportunities, integrating material issues into decision-making and risk management, applying a mitigation hierarchy as shown in figure 32, engaging with relevant stakeholders and value chain, and supporting research and development (R&D) activities to better understand biodiversity in the areas where we operate.

Aker BP's biodiversity policy enables us to minimise negative impacts on biodiversity and reduce risks by adhering to mitigation hierarchy through the entire lifecycle of our projects. The policy emphasises the prioritisation of avoidance first by commitment not to engage in exploration and production activities in legally protected areas[3)] or internationally recognised areas[4)]. When operating close to or within nationally established SVOs[5)], Aker BP shall exercise due care to avoid negative impacts on the biodiversity values for which the SVO areas were designated. The avoidance principles are followed by commitments to mitigation measures and regular monitoring of biodiversity status at our operated production assets, and lastly, compensation for any residual adverse impacts of significance in the future.

Aker BP does not have a standalone policy on sustainable oceans or seas practices. However, we are guided by the UN Sustainable Development Goal 14 (life below water)[6)] and integrate ocean sustainability, such as risk-based oil spill preparedness and response, into our policies in a way that aligns with our business model and financial market expectations. Our commitments to mitigate risks and negative impacts of accidental offshore discharges are outlined in Aker BP's external environment policy. For more information about this policy and our pollution-related commitments, see section 3 Pollution.

1) International Union for Conservation of Nature
2) United Nations Educational, Scientific and Cultural Organization
3) This Policy recognises legally protected areas that meet the IUCN definition: 'A clearly defined geographical space, recognised, dedicated and managed, through legal or other effective means, to achieve the long-term conservation of nature with associated ecosystem services and cultural values.' For the purposes of this Policy, this includes areas proposed by the Norwegian government for such designation under the Nature Diversity Act.
4) Areas defined as UNESCO Natural World Heritage Sites and wetlands designated under the Convention on Wetlands of International Importance (the Ramsar Convention).
5) SVOs (in Norwegian, 'Særlig verdifulle og sårbare områder') are particularly valuable and vulnerable areas for biodiversity that have been identified and managed under the Norwegian Management Plan for marine areas. The SVO status does not automatically impose restrictions on industrial activity. In 2024, the SVO areas were extended to cover approximately 55% of the Norwegian marine areas, compared to the previous 42%.
6) United Nations Sustainable Development Goal 14, https://sdgs.un.org/goals/goal14

Aker BP addresses the biodiversity impacts of our contribution to climate change through our commitments to reduce GHG emissions, as outlined in our climate and energy policy. For more information about this policy and our climate-related commitments, see section 2 Climate change.

Aker BP seeks to promote sustainability beyond our own operations by fostering adoption of best practices in biodiversity management and increasing impact transparency along the value chain. By implementing our biodiversity policy, we commit to stepping up engagement with our suppliers and encouraging traceability in the supply chain of strategically important products and raw materials with significant impacts on biodiversity.

Key actions undertaken in 2024 and plans to achieve objectives of our biodiversity policy are described below.

5.2 ACTIONS

Aker BP identifies and manages biodiversity impacts in its own operations through a comprehensive programme which is implemented in accordance with Norway's regulations for petroleum activities across all assets, where applicable dependent on the nature of the activities, including:

- Baseline surveys or assessments of the seabed and benthic fauna prior to drilling operations and new field developments
- Environmental monitoring of sediments, benthic fauna and the water column around production facilities in our own operations
- Monitoring of regular operational emissions and discharges
- Post-decommissioning environmental surveys of the seabed
- The data we collect is also utilised in environmental risk analyses for planning new wells to map potential impacts on biodiversity values and to implement appropriate oil spill preparedness and response measures

The highlights in the reporting year are presented below. Biodiversity offsets have not been used in the action plans for the assets in our own operations. In the coming years, Aker BP plans to step up engagement on biodiversity with its supply chain and continue mapping of the biodiversity impacts and risks in our value chain.

5.2.1 Mitigating impacts of exploration drilling in SVOs

Falstaff well

Falstaff is located approximately six kilometres within the outer border of the SVO Tobisfeltet 'Inner Shoal' in the southern part of the North Sea. This area is designated as SVO due to its vital habitats and breeding grounds for sand eels. Sand eels inhabit oxygen-rich sandy substrates, where they remain buried for much of the year. Sand eels have strict requirements for bottom substrate quality, which limits the availability of suitable habitats and makes them highly site-dependent.

Preparations for Falstaff drilling have involved several surveys to assess seabed conditions and map important biodiversity features. The timing of the drilling activities was planned in accordance with the provisions of the Norwegian management plan for marine areas to avoid interference with sand eels' spawning and early life stages when they are most vulnerable. The drill cuttings generated during drilling were collected and sent ashore for further treatment to prevent physical disruption of sand eels' bottom habitats from discharges.

Elgol well

The Elgol well is located approximately 17 kilometres northeast of the Goliat FPSO, within the SVO Kystsonen Finnmark in the southern Barents Sea. Drilling activities began in December 2024 and continued into 2025. The operations were carefully assessed for environmental risks and planned to minimise discharges to sea. The activities were timed in line with the Norwegian management plan for marine areas to avoid drilling in oil-bearing formations during the spring and summer months, thereby reducing the potential impacts of accidental discharges on valuable biological resources, such as seabirds and commercial fish stocks, during their most sensitive lifecycle stages.

5.2.2 Monitoring of benthic habitats around Aker BP's production installations

Monitoring of benthic habitats around Aker BP's production installations is conducted as part of the national environmental monitoring programme for petroleum activities on the NCS. Generally, each field in production is surveyed every three years. However, following a risk-based approach, the frequency and scope of field-specific surveys can be adjusted based on the level of offshore activity, discharge history and previous survey results. If discharges remain low, it may be possible to extend the period between surveys of a field to six years, in consultation with the respective authorities.

The details regarding biodiversity impacts registered at Aker BP's production fields are presented in table 28. The results from the surveys conducted in 2024 will be analysed and processed for public disclosure in 2025.

5.2.3 Engagement with value chain

In 2023, Aker BP integrated biodiversity requirements into new contracts and invitations to tender and has been updating existing contracts throughout 2024. These new requirements lay the groundwork for future engagement on biodiversity with the supply chain, fostering transparency regarding suppliers' impacts on biodiversity and actions they take to protect it.

5.3 TARGETS

Aker BP tracks the effectiveness of our policies and actions in relation to the biodiversity impacts around its production installations through regular environmental monitoring. As further described in section 5.4, we use quantitative indicators such as measured oil contaminated area and changes in benthos fauna over time in comparison to the baseline data. This enables us to verify biodiversity recovery trends in the affected habitats and the state of species and ecosystems.

Aker BP has not set measurable biodiversity-related targets as of 31 December 2024, as we are currently exploring options suited for our business.

5.4 METRICS

Measurements of the biodiversity metrics are not validated by an external body other than the assurance provider.

5.4.1 Oil contaminated areas and biodiversity impacts

Aker BP's biodiversity footprint at sites in our own operations are largely associated with the historical oil-contaminated drill cuttings piles that accumulated in the 1980s during the drilling of the first wells on the Ula and Valhall fields. While a large percentage of the oil has naturally degraded over the years, some remains present in the sediments surrounding the production installations. Regular environmental monitoring has documented that the total oil-contaminated area around the Ula and Valhall fields has decreased from 160 km² in 1996 to below 20 km² as of 2023.

The surveys have not indicated significant negative impacts on the benthic fauna around any of Aker BP's production sites. The state of species and condition of ecosystems at the most field-specific stations correspond to the baseline levels of the areas where the sites are located. Light to moderate effects on benthos are registered within 500 meters from the Valhall and Ula platforms, which reflects the historical discharges of oil-contaminated cuttings on those fields. However, even at the most affected sites there is evidence of partial to full recovery of the benthic communities. Our observations in the field align with the conclusions from the OSPAR Commission that leaving piles in situ to degrade naturally is generally the best environmental strategy.

The site-specific biodiversity impacts and oil-contaminated areas are summarised in table 28.

Table 28: **Breakdown of Aker BP's sites according to biodiversity impacts**[1)]

Production asset	Operator	Aker BP's equity share, %	Production start	Date of the last environmental monitoring[2)]	Oil-contaminated area[3)], km²	Biodiversity impacts
Skarv	Aker BP	24%	2013	2024	16	Unaffected benthos fauna at all field-specific stations. High species diversity at all field-specific stations.
Alvheim	Aker BP	80%	2008	2024	15	Unaffected benthos fauna at all field-specific stations.
Ivar Aasen	Aker BP	36%	2016	2024	4	Unaffected benthos fauna at all field-specific stations.
Edvard Grieg	Aker BP	65%	2015	2024	2	Unaffected benthos fauna at all field-specific stations.
Valhall	Aker BP	90%	1982	2023	13	Lightly affected benthos fauna at a few field-specific stations. Unaffected benthos fauna at most stations.
Ula	Aker BP	80%	1986	2020	3.5	Unaffected benthos fauna at 6 out of 7 field-specific stations. Moderately affected benthos fauna at 1 field-specific station, though there is significant reduction in abundance of pollution indicator species over time.
Johan Sverdrup	Equinor	32%	2019	2024	19	Unaffected benthos fauna at all field-specific stations.
Gaupe	A/S Norske Shell	40%	2012	2024	0.6	Unaffected benthos fauna at all field-specific stations.

1) Impact assessment criteria:
Scale – low impact on biodiversity or ecosystem service
Scope – limited to small area where the impact occurred
Remediabilty – medium-term remediation

2) Data collected in 2024 will be analysed and processed for public disclosure in 2025. For the assets where monitoring was last conducted in 2024, the biodiversity impacts are reported based on the previous monitoring in 2021. For Ula, the results are presented for 2020, when the last environmental monitoring was conducted according to the risk-based approach. For Valhall, the results are based on the 2023 monitoring.

3) The area where oil contamination exceeds the lower limit for impact on benthic fauna (50 mg/kg THC level in sediments, as commonly adopted within OSPAR countries) amounts to around 0.4 km² and is registered only at the Valhall field.

Environmental monitoring of the offshore oil and gas operations in Norway is strictly regulated, and the monitoring programmes and methodologies require pre-approval from the respective authorities. The detailed requirements are outlined in the Guidelines for environmental monitoring of petroleum activities on the NCS[1]. These guidelines specify the requirements for sample collection, analytical methods and parameters, necessary accreditation, quality control of the measurements, estimation of the affected areas and reporting. Areas contaminated with oil hydrocarbons shall be conservatively estimated based on the assumption that the affected areas are elliptical, and that the entire area within the innermost unaffected stations is considered contaminated.

5.4.2 Sites in biodiversity-sensitive areas

Reporting the locations of Aker BP's own operations in biodiversity-sensitive areas (table 29) is guided by the internal mapping tool, MapInsight, which contains information about these areas and allows for precise pinpointing of operational sites relative to them. Measures to mitigate biodiversity impacts of exploration drilling in SVOs are described in section 5.2.1.

5.4.3 Sites near biodiversity-sensitive areas

Johan Sverdrup's onshore power station at Haugsneset lies within one km of the Gåsholmen and Årvikholmen nature reserve (IUCN IA), which focuses on preserving natural habitats for various seabird species.

Valhall's onshore power converter station is located within one km of the Røyrtjønn nature reserve (IUCN IA), part of the Ramsar-listed wetlands that provide important breeding and wintering grounds for various bird species. Additionally, the areas adjacent to Valhall's power converter station (less than one km) include protected landscapes with rich birdlife: Listastrendene (IUCN V), Einarsneset (IUCN IV), Lundevågen (IUCN IV), Hanangervann and Kråkenesvann (IUCN IV) wildlife protection areas.

At the time of submitting this sustainability statement, no measurable negative impacts have been identified on these sensitive areas from the operational activities at Aker BP's sites. For this reason, Aker BP has not implemented any local impact mitigation measures.

Figure 32: **The mitigation hierarchy**

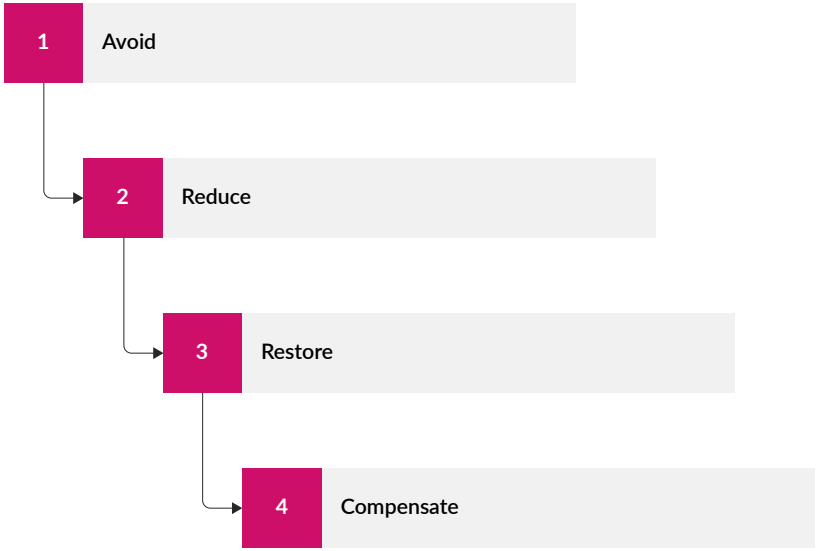


Table 29: **Non-operated exploration drilling in biodiversity sensitive areas in 2024**

Well name	Licence	Marine area	Operator	Aker BP's equity share	Drilling period	SVO	Biodiversity values
Falstaff	PL1086	The North Sea	DNO Norge AS	20%	September–November 2024	Sandeel habitats (SVO Tobisfelt)	Important habitats and spawning grounds for sandeel
Elgol	PL1131	The Barents Sea	Vår Energi ASA	20%	December 2024 – January 2025	Coastal Area Finnmark (SVO Kystsonen Finnmark)	Biodiverse area with numerous species during the year or at specific times of the year

1) Guidelines for environmental monitoring of petroleum activities on the Norwegian continental shelf, M-408, revised in 2023. https://www.miljodirektoratet.no/publikasjoner/2015/september-2015/environmental-monitoring-of-petroleum-activities-on-the-norwegian-continental-shelf/.

6 Resource use and circular economy

3,100 tonnes

of total waste diverted from disposal

Aker BP's circular economy model emphasises sustainable practices, allowing us to increase resource efficiency and reduce waste generation in every phase of the lifecycle. We consider the introduction of circular economy principles into our business model to be important to reduce the consumption of and dependency on virgin resources, reduce scope 3 emissions and biodiversity footprint, and achieve financial benefits.

Circular economy is material for Aker BP due to the amount of materials used in construction of new wells and infrastructure, resource outflow from decommissioning and waste generation. Material circular economy related impacts, risks and opportunities are presented in table 30. The assessment has considered actual amounts of the material flows and waste generation, see section 6.4. All metrics presented in this chapter is for our own operations.

The material impacts associated with major projects, such as decommissioning of oil and gas installations, are evaluated in impact assessments that are available for public consultation with the affected communities. Aker BP will evaluate the assumptions made for the current value chain assessment as we progress with the value chain mapping and understanding the resource and material flows beyond our own operations.



Relevant policies:

Circular economy policy

Table 30: **Material impacts, risks and opportunities: Resource use and circular economy**

Material matters	Scope	Description of materiality
Material impacts[1]		
Generation and treatment of waste, including drilling waste (-)	Own operations Upstream value chain	Aker BP's own operations generate significant amount of waste, which is treated by our suppliers. A wide range of waste is generated during our operations, from used equipment to operational by-products, with drilling slop and cuttings forming a major part. Due to the nature of the oil and gas industry, a substantial portion of this waste is hazardous and must be managed in compliance with stringent safety and environmental standards.
Waste throughout the upstream value chain (-)	Upstream value chain	Aker BP's operations are resource-intensive, requiring a supply of products that undergo numerous transformations from raw materials to finished goods, resulting in substantial waste generation at various stages throughout the upstream value chain.
Large resource inflows for constructing new wells and infrastructure, transport and energy generation (-)	Upstream value chain	Aker BP relies on supply of significant amounts of materials, such as steel and cement for infrastructure development, chemicals for drilling new wells and production, as well as diesel for transport and energy generation. Manufacturing and distribution of these materials contribute to the global environmental footprint from land use change, pollution and GHG emissions. Both equipment and installations require high-quality raw materials due to the structural integrity requirements offshore. This is especially relevant as Aker BP is currently constructing several new installations.
Large resource outflows associated with decommissioning of oil and gas installations (-)	Own operations Upstream value chain	Aker BP has a considerable resource outflow in connection with the decommissiong of oil and gas installations when a field production cycle comes to an end. The dismantling and removal of these installations generate large amount of waste, which is managed by our suppliers in accordance with the stringent safety and environmental standards and reused or recycled when feasible.
Material risks		
Risk of increased operational cost and financial penalties due to increasingly strict waste handling regulations	Own operations	Aker BP generates substantial amounts of drilling fluid waste, which is costly to manage due to increasingly strict disposal regulations. Improper handling and disposal can harm personnel and the environment and may result in financial penalties.
Risk of increased costs due to dependency on high quality resources and materials to adhere to safety and security standards	Own operations Upstream value chain	The global decline in natural resources and the increasing focus on sustainable practices for resource extraction are likely to result in stricter regulations and higher costs for both producers and consumers. Aker BP's reliance on certain resources poses risks, either due to potential future challenges in obtaining these resources or from rising prices.
Risk of increased decommissioning costs due to increased complexity of disposal and processing of resources	Own operations	Decommissioning is an expensive process with significant resource outflow. There is a risk of cost overruns during the decommissioning phase, particularly concerning the management and handling of resources.
Material opportunities		
Opportunity for reduced costs and positive reputation through increasing level of re-use and resource use efficiency	Own operations	Aker BP might reduce costs by reusing equipment instead of purchasing new items. Enhanced adoption of practices to reduce, reuse, recycle, and recover can improve resource efficiency and lower overall resource consumption. Successful resource optimization also improves stakeholder relations and enhances company's brand image.
Opportunity for reduced cost and increased resilience through increased circularity and new business models related to equipment and resources	Own operations Upstream value chain	Aker BP can leverage its business partnerships to adopt a more circular approach, such as designing reusable equipment and planning for resource repurposing. These approaches could reduce both costs and material use.

1) (+) symbolises a positive impact whereas (-) symbolises a negative impact.

6.1 POLICIES AND PROCEDURES

Aker BP's circular economy policy outlines our ambition to optimise material use and reduce waste at the assets under our operational control and in our upstream value chain were relevant. The policy is available at Aker BP's website.

The policy addresses the material matters described above through a commitment to follow the circular economy hierarchy (figure 33). By adopting this hierarchy, we aim to reduce waste at the source through operational efficiencies and sustainable design, reusing and repairing existing equipment and materials, recycling and energy recovery. This aims to ensure that equipment and materials are kept in the form with the highest possible value to the economy for the longest period of time. We are committed to implement this hierarchy throughout the entire project life cycle, from field development to drilling and production through to decommissioning.

The policy states our commitment to sustainable sourcing and working proactively with our suppliers to introduce circular economy in the supply chain, including incorporating renewable and recycled content in products to reduce use of virgin raw materials. The policy also expresses our commitment to incorporating circular economy into our strategies and performance management, enabling us to account for our material impacts and act upon them.

Transitioning away from use of virgin resources is not covered by this policy, due to the nature of our business model as a pure-play oil and gas company. The SVP people and safety, who is a part of the EMT, is accountable for the implementation of the policy.

6.2 ACTIONS

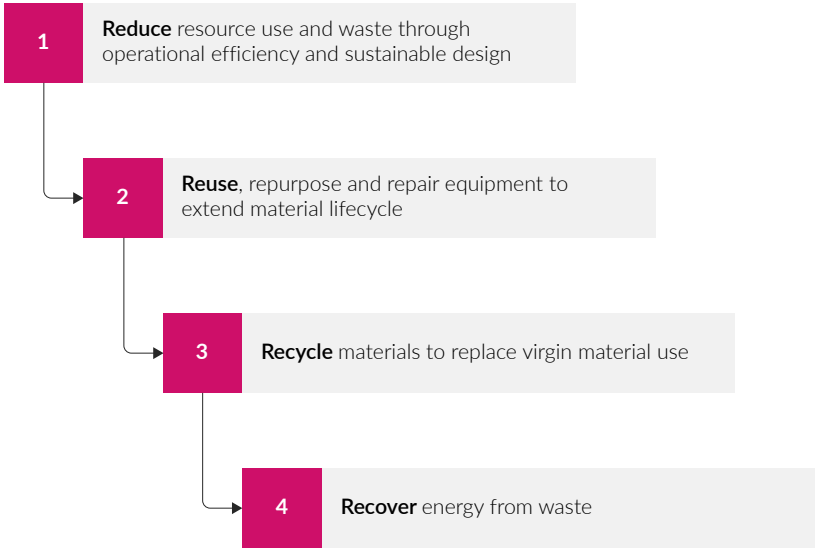
Outlined below are the key actions implemented in 2024 and planned for the future, both within our own operations and across the value chain, to manage material matters related to circular economy.

6.2.1 Reduction of drilling waste

Drill cuttings are rock fragments generated in large quantities during drilling of the wells. They contain residual drilling fluids, which are reused where feasible. The cuttings are either discharged from the rig or taken ashore for further treatment. For years, oil-based cuttings have been sent for treatment onshore to avoid discharging contaminated waste that could harm local biodiversity.

Aker BP has installed a thermal cuttings treatment unit on the Noble Invincible rig, used for drilling new wells in the Ula area, which commenced in 2024 and continued in 2025. Starting in 2025, this unit will process oil-based cuttings at high temperatures, separating them into dry cuttings with residual oil content meeting regulatory thresholds that allow discharge to sea. The treated water and cuttings will be discharged to the sea, while the recovered base oil will be reused to make new drilling fluids. The amount of oil-based drill cuttings planned to be treated offshore before discharge in the Ula area is estimated to be around 3,000 tonnes. The details regarding these estimates can be found in Aker BP's application for discharge permit for this drilling campaign.

Figure 33: **Circular economy hierarchy**



6.2.2 Reuse of drilling fluids

To prevent the occurrence of hazardous waste, both oil-based and water-based drilling fluids are reused as long as their technical quality meets drilling specifications or can be cost-efficiently treated to meet these standards. This ensures that the fluids remain part of the value chain for as long as feasible. Most of the oil-based drilling fluids Aker BP uses are reused when drilling between sections or returned to the drilling fluids supplier, who reconditions the drilling fluids for reuse. The reuse rate in 2024 was approximately 79 percent for oil-based drilling fluids. The calculation is based on extraction of numbers from NEMS Analytics on January 29th, 2025. Oil-based drill cuttings and drilling fluids that are not treated at the rig site are sent onshore for further treatment.

6.2.3 Recycling of materials from decommissioning

Aker BP's current asset portfolio consists of steel platforms and floating production storage and offloading (FPSO) vessels. These installations will be removed in their entirety after their associated fields have been shut in and wells have been permanently plugged and abandoned. The disposal of these structures and vessels will be subject to cessation plans approved by the Norwegian authorities. A cessation plan includes impact assessment which undergoes public consultation involving a wide range of external stakeholders. The actual disposal of the installations is managed by onshore receiving facilities. The recycled materials are handled and sold by Aker BP's contractors so that they can be reprocessed into new products elsewhere.

The decommissioning scope in 2024 included the following activities:

- Removal and recycling of the 2/4-G jacket
- Preparations for removal of the Hod A topside (an unmanned wellhead platform) and jacket in 2025

The 2/4-G was a riser platform transporting oil and gas from the Valhall field to Ekofisk. It consisted of a steel jacket structure with a topside. The 2/4-G was installed in 1981 and became operational in 1982. Operations ceased in 1998, the topsides were removed in 2016, and the jacket was removed in June 2024. The jacket was transported to Aker Solutions' disposal yard at Stord, where it was demolished. Based on previous experiences, a recycling rate of nearly 100% is expected.

The Hod A platform at the Valhall field has been de-energised and cleaned during the first nine months of the reporting year as a part of the necessary offshore preparations for its final removal in the summer of 2025. This work was performed simultaneously with plugging and abandonment (P&A) activities required to safely and permanently seal in Hod A's eight wells. As of 7 September 2024, Hod A is now permanently closed to personnel access from helicopters, rigs and vessels.

P&A operations were conducted on the Gaupe field in the summer of 2024 as a part of the decommissioning programme. The removal and disposal activities are scheduled for the years 2025-2026. The waste generated from the P&A operations is included in waste reporting for 2024.

Abandonment spend during 2024 was USD 227 million. Future decommissioning costs are included in the overall abandonment liabilities, which are disclosed in note 22 to the 2024 financial statements.



6.2.4 Engagement with supply chain

In 2023, Aker BP integrated circular economy requirements into new contracts and invitations to tender, and has been updating existing contracts in 2024.

Through its supply chain engagement, Aker BP works proactively towards more circular business solutions and requires its contractors to implement circular economy principles, contributing to:

- Improving product durability, reusability, upgradability and reparability
- Addressing hazardous chemicals in products and enhancing their energy and resource efficiency
- Increasing recycled content in products while ensuring performance and safety
- Incentivising product-as-a-service or other sharing models
- Leveraging digital platforms to reduce and document the environmental footprint of products and services

Over the coming years, Aker BP plans to map our value chain to enhance understanding of the resources and material flows beyond our own operations and take the appropriate actions where necessary.

6.3 TARGETS

Aker BP monitors the effectiveness of its circular economy policies and actions by tracking major resource inflows and outflows. For example, we measure performance against decommissioning project objectives using quantitative indicators, such as the percent recycled materials from decommissioned installations.

As of 31 December 2024, Aker BP has not yet adopted targets related to circular economy, as we are currently investigating different options suited for our activities.

6.4 METRICS

Measurements of circular economy metrics are not validated by an external body other than the assurance provider. Metrics reported for resource outflows are based on the actual weighing of waste and materials at the contractors' onshore receiving facilities. The measurement uncertainty is assumed to be less than five percent. The data for resource inflows metrics is based on the same data sources, methodologies and boundaries used for scope 3 emissions reporting, as outlined in section 2.5.

6.4.1 Resource inflows

The material resource inflows used in Aker BP's own operations are steel for construction of wells and offshore installations, such as pipelines, topside and subsea templates, cement for construction of wells and infrastructure, chemicals for drilling and production, and diesel for energy generation and transport. The largest resource inflow in 2024 was chemicals. The total resource inflows for 2024 are shown in figure 34.

The oil and gas extracted by Aker BP are virgin raw materials, which do not contain reused or recycled components.

Figure 34: **Resource inflows**

Cement for construction of wells and infrastructure	23,716 tonnes
Chemicals	46,494 tonnes
Steel and other metals	21,689 tonnes
Diesel	29,013 tonnes

6.4.2 Resource outflows

Our material resource outflows comprise waste from drilling and production activities, waste and recyclable metals from decommissioning of the offshore installations. The oil and gas produced by Aker BP is mainly combusted by the end users. These products are not durable or repairable and do not contain recycled content.

The decommissioning programmes are designed following the circular economy principles, and recycling factors are specified in contracts. Most recovered steel is highly durable and has a recycling rate of over 95 percent.

6.4.2.1 Generation and treatment of waste

Aker BP's own operations are predominantly based offshore, and all material waste streams, both hazardous and non-hazardous, are generated offshore. All waste is shipped to our logistics bases and handled by contractors upon arrival. The total amount of waste generated in 2024, as well as the breakdown between hazardous waste and non-hazardous waste, and the waste treatment types are presented in table 31. figure 35 illustrates the fate after waste handling of all hazardous and non-hazardous waste generated by Aker BP in 2024.

The largest fraction of waste consists of drilling fluids and drill cuttings. The drilling waste consists of oil, water, chemicals and solids from the drilled rocks. All the fractions are treated according to national regulations, and materials are recycled or reused where feasible.

The amount of drilling waste generated is proportional to the drilling length and the number of wells drilled and therefore varies from year to year depending on the drilling programmes. Using water-based drilling fluids where feasible results in significantly less waste being sent to shore. Water-based drilling fluids have a lower carbon footprint compared with oil-based drilling fluids. In 2024, the total amount of waste from drilling fluids and cuttings was 31,544 tonnes.

Formation water and rock formations in most regions contain naturally occurring radioactive material (NORM). Water-soluble NORM will follow the produced water into wells and production systems, where they have an inclination to precipitate in the form of shale and solids in production systems, pipelines and infrastructure. Scale waste cleaned out from the process systems contains NORM and shall be handled to ensure safety and regulatory compliance. In 2024, the generated amount of NORM was 26 tonnes.

The waste data presented in table 31 and table 32 is based on the actual weighting of the waste fractions performed by the waste contractors at the onshore receiving facilities. The fate of waste diverted from or directed to disposal according to waste treatment type (reuse, recycling, incineration, landfill) is reported in accordance with the EU regulations, national requirements and Offshore Norge guideline 093 Recommended guidelines for waste management in the offshore industry.

6.4.2.2 Decommissioning

The key metric in the contracts for recycling of the removed offshore structures is set at 95 percent or more.

The recycling factor is calculated by dividing the sum of the recycled fractions by the total weight of the disposed material. The total weight is determined by the weighing of waste materials at the disposal site. Over 90 percent of the fractions consist of metals, followed by electronic waste (such as cables) and various categories of hazardous waste (such as batteries, spray cans, oil filters).

The outcome of the disposal works in 2024 will be documented in the final disposal close-out report and is estimated to be over 95 percent.

Figure 35: **Waste handling fate**

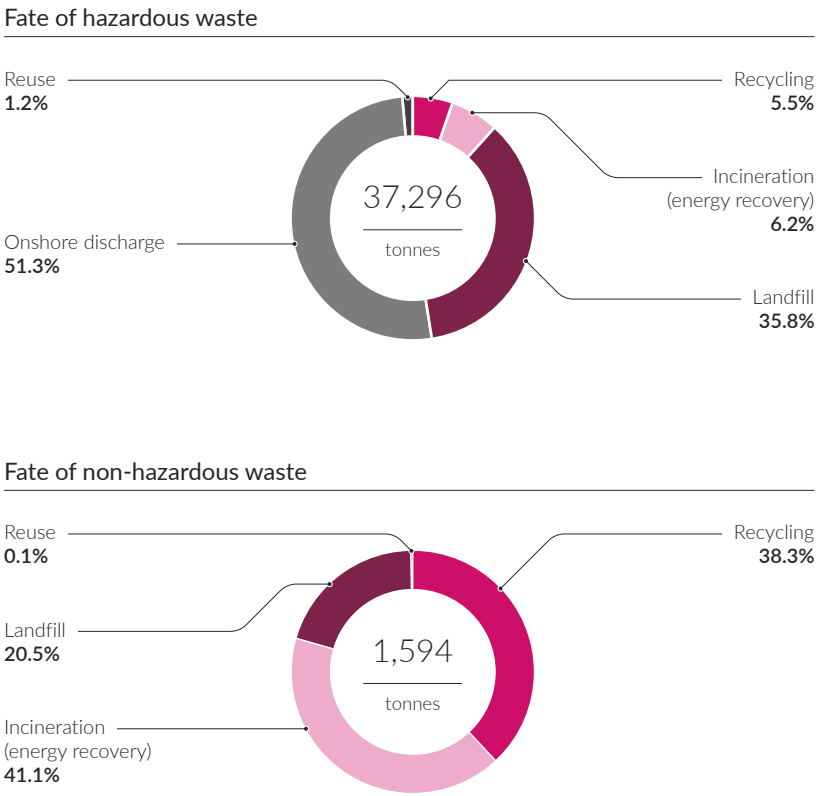


Table 31: **Generation and handling of waste**

Category	Unit	2024
Total waste generated	**tonnes**	**38,891**
Total weight of hazardous waste	**tonnes**	**37,296**
Hazardous waste - Reuse	tonnes	455
Hazardous waste - Recycling	tonnes	2,063
Hazardous waste - Other recovery (excluding reuse or recycling)[1]	tonnes	0
Hazardous waste - Incineration (energy recovery)	tonnes	2,325
Hazardous waste - Landfill	tonnes	13,338
Hazardous waste - Other disposal (discharge)[2]	tonnes	19,116
Total weight of non-hazardous waste	**tonnes**	**1,594**
Non-hazardous waste - Reuse	tonnes	1
Non-hazardous waste - Recycling	tonnes	611
Non-hazardous waste - Other recovery (excluding reuse or recycling)[1]	tonnes	0
Non-hazardous waste - Incineration (energy recovery)	tonnes	656
Non-hazardous waste - Landfill	tonnes	326
Non-hazardous waste - Other disposal	tonnes	0
Total amount of non-recycled waste	**tonnes**	**16,646**
Total percentage of non-recycled waste[3]	%	84
Total amount of radioactive waste	**tonnes**	**26**
Percentage of drilling waste out of total waste generated	**%**	**80**

1) Energy recovery not included

2) Discharged fraction consists of wastewater treated onshore, mostly from drilling waste.

3) Discharge of wastewater treated onshore is not included.

Table 32: **Waste diverted from/directed to disposal**

Category	Unit	2024
Total weight of waste diverted from disposal[4]	tonnes	3,130
Total weight of waste directed to disposal[5]	tonnes	35,761
Total weight of hazardous waste diverted from disposal[4]	tonnes	2,518
Total weight of hazardous waste directed to disposal[5]	tonnes	34,779
Total weight of non-hazardous waste diverted from disposal[1]	tonnes	612
Total weight of non-hazardous waste directed to disposal[5]	tonnes	982

4) Waste diverted from disposal includes waste that is reused, recycled or handled in other recovery operations. Incineration with energy recovery is not included

5) Waste directed to disposal includes waste that is discharged, sent to landfill or incineration with or without energy recovery



Social

Own workforce →

Workers in the value chain →

Affected communities →



SOCIAL

Aker BP's own workforce consists of 4,067 employees and non-employees (3,673 in 2023), all of whom are employed in Norway. In 2024, Aker BP had approximately 1,600 tier 1 suppliers. Some of these suppliers operate in countries with a high risk of human rights violations related to workers in the value chain and affected communities.[1)]

Policies are in place to manage adverse impacts and reduce the risk of human rights violations within our own workforce, workers in the value chain and affected communities. The code of conduct serves as the primary governance tool and includes references to additional policies, such as Aker BP's human rights policy, which offers more detailed guidance. For more information about our code of conduct see section 10.1.1.

Commitment to respecting human rights of individuals

Aker BP aims to conduct its business in a manner that respects the human rights and dignity of all people. We acknowledge all internationally recognised human and labour rights standards as set out in the International Bill of Human Rights and the International Labour Organisation's Declaration on Fundamental Principles and Rights at Work. Aker BP's human rights policy describes the company's approach to managing human rights risks in our operations. The policy is aligned with the United Nations (UN) Guiding Principles on Business and Human Rights and the Organisation for Economic Co-operation and Development (OECD) Guidelines for Multinational Enterprises, as well as applicable laws, including regulations related to engagement with our own workforce. The CEO is the owner of the human rights policy, which applies to all Aker BP employees and non-employees, as well as suppliers, contractors and business partners.

The human rights policy is available on our website and is communicated to our stakeholders and through contractual provisions. The policy is also published in our business management system, and its principles are linked to core business processes. Our human rights commitments are embedded in our policies, procedures and processes, such as the diversity, equity and inclusion policy, the health and working environment policy, the business partner integrity procedure and the sustainability framework.

Policy commitments

Among other things, our human rights policy commits us to:

- Respect the human rights of all individuals and groups that may potentially be affected by our operations
- Treat everyone who works for Aker BP with fairness, respect and dignity
- Provide fair working conditions to our own workforce, in accordance with all applicable legislation
- Eliminate all forms of discrimination and harassment; everyone should be treated with respect regardless of their background
- Respect the freedom of association and right to collective bargaining
- Have systems in place for raising concerns and provide appropriate remediation where we have caused or contributed to adverse impacts on human rights
- Oppose any form of forced labour or human trafficking, child labour, forced or compulsory labour
- Continuously assess human rights impacts from our operations by performing human rights due diligence and propose necessary preventive risk-mitigating actions if needed. Stakeholder engagement is a central part of this process

As stated in our human rights policy, we shall have measures in place to reduce or mitigate adverse impacts and will, where relevant, provide or cooperate in effective grievance mechanisms. Follow-ups with the affected parties aim to ensure the effectiveness of the remedy.

1) Aker BP has identified several countries as high-risk with respect to human rights, based on an assessment using several external and internal risk indicators and indexes.

7 Own workforce

2,962
Employees at year end

24.7%
Female employees

0.4 **per million work hours**
Serious incident frequency

Aker BP's own workforce consists of 2,962 (2,727 in 2023) employees and 1,105 (946 in 2023) non-employees (see note 8 on page 167). The increase in our workforce is mainly due to increased activity on our development projects.

Full-time employment is offered to all of Aker BP's permanent employees. Temporary contracts are provided to either summer students or temporary substitutes for permanent employees.

Our part-time employees are employees who have applied for and been granted reduced working hours. We do not hire employees on zero-hour contracts.

Own workforce in Aker BP:

Employees: People who are in an employment relationship with Aker BP

Non-employees: People under an agency-type arrangement that meets the following criteria:
- The position requires that the person acts in an Aker BP role or capacity
- The work will mainly be carried out at Aker BP's offices or installations, and by use of Aker BP's equipment
- The duration of the engagement is at least three months



Relevant policies:

- Code of conduct
- Human rights policy
- Diversity, equity and inclusion policy
- Safe operations policy
- Emergency preparedness and response policy
- Health and working environment policy
- Employee handbook

Table 33: **Material impacts, risks and opportunities: Own workforce**

Material matters	Scope	Description of materiality
Material impacts[1]		
Potential negative impacts on own workforce caused by inadequate working conditions (-)	Own operations	Potential negative impacts on own workforce as a consequence of substandard working conditions. Contributing factors to these conditions include, but are not limited to, excessive working hours, inadequate wages, insufficient constructive social dialogue and a lack of work-life balance.
Gender inequality offshore and onshore (-)	Own operations	Women at Aker BP are under-represented both onshore and offshore. Being underrepresented may lead to negative impacts, including discrimination and recruitment biases.
Training and skills development (+)	Own operations	Training and skills development may have a positive impact on employees as they become more skilled at their job, possibly improving their job satisfaction. In addition, upskilling may also provide opportunities for advancement and increases employability.
Potential incidents of harassment in the workplace (-)	Own operations	The potential for incidents of harassment in the workplace represents a concern, as it can undermine the integrity of the working environment and affect employee well-being.
Potential health and safety impacts (major accidents, minor incidents and work-related illness) (-)	Own operations	Adverse impacts on personnel and their next of kin, our reputation and financial performance should Aker BP not provide a safe and healthy working environment for our workforce.
Material risks		
Risk of lower productivity and capacity to execute planned activities due to dissatisfaction with working conditions among own workforce	Own operations	Substandard working conditions and a lack of satisfaction among employees pose a financial risk due to the potential for decreased worker productivity. Dissatisfaction can stem from various factors, leading to diminished morale and, consequently, reduced work efficiency. Additionally, issues such as long working hours and a poor work-life balance may result in a less healthy workforce, with an increased incidence of sick leave. Contributing factors to these conditions include, but are not limited to, excessive working hours, inadequate wages, insufficient constructive social dialogue and a lack of work-life balance.
Risk of losing out on skilled workers due to poor reputation caused by failure to deliver on diversity and inclusion in the workplace	Own operations	Lack of gender equality and diversity pose a reputational risk with regard to potentially increased difficulties with attracting and retaining talent, in addition to it not being viewed as a place for equal treatment and opportunities. Difficulties with attracting and retaining talent may arise if workers representing a minority (including female workers) or workers with diverse backgrounds are not feeling valued, appreciated or miss the feeling of fitting in at the workplace, in addition to the potential downsides of working in a highly male dominated industry. The reputational risk may materialise if Aker BP is not viewed as a place that hires and gives equal treatment to workers representing a minority, with disabilities or diverse backgrounds.
Risk of financial penalties and damage to reputation due to adverse health and safety impacts	Own operations	Health and safety violations pose significant legal and reputational risks. This is due to potential lawsuits from the government and employees injured while working for Aker BP.
Material opportunities		
Opportunity for increased productivity through training and skills development of own workforce	Own operations	Training and skills development for own workers may increase the retention rate in addition to improving productivity as they feel that they learn valuable skills of benefit in the workplace and more broadly.
Opportunity for positive reputation and effect on talent attraction and retention through focus on gender equality and diversity	Own operations	Increased focus on gender equality and diversity may improve talent attraction and retention in the workplace, thus having a positive effect.

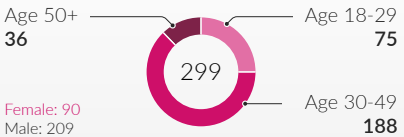
1) (+) symbolises a positive impact whereas (-) symbolises a negative impact.

Figure 36: **The people of Aker BP**

All numbers are reported in headcount at the end of the reporting year. Total turnover is calculated by dividing the number of employees who left the company during the year by the total number of employees on 31 December 2024.

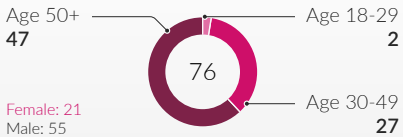
Own workforce:	4,067	Nationalities:	44
Employees:	2,962	Average age:	46
Non-employees:	1,105	Employed in Norway:	100%

Total new hires



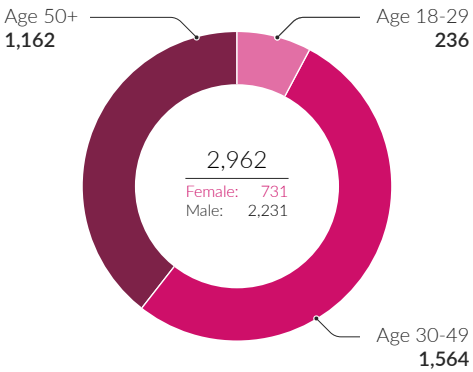
10.9% of total number of employees

Total turnover

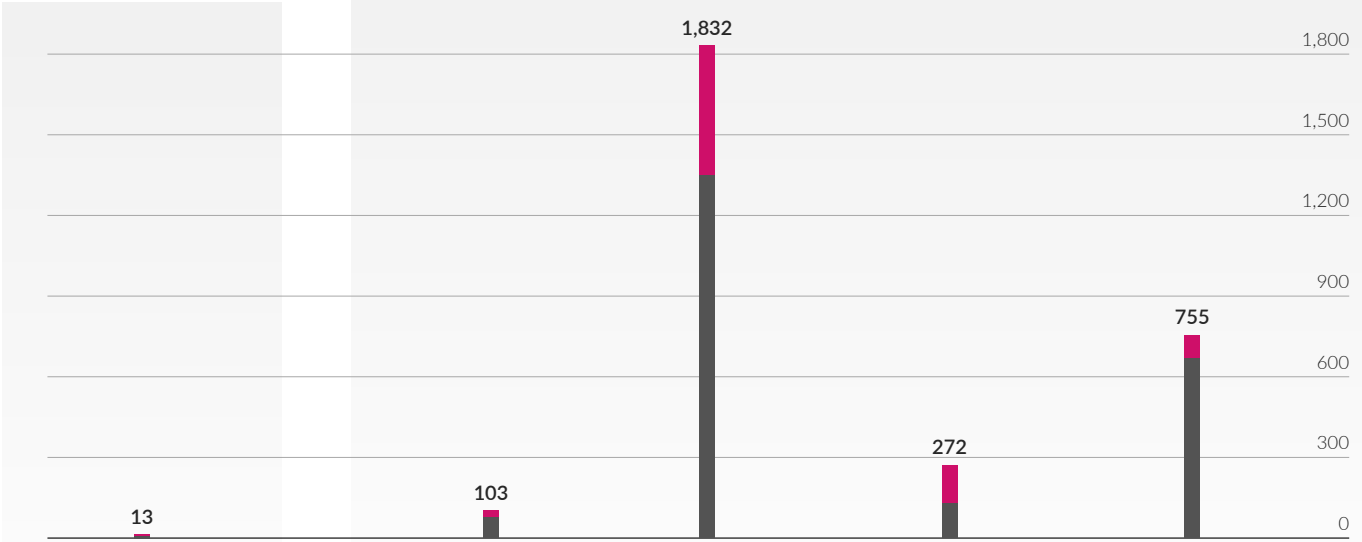


2.6% of total number of employees

Total number of employees



Current employees



	Board of directors	Senior managers	Managers and senior professionals	Professionals	Tariff workers
	13	103	1,832	272	755
Female:	6	25	482	141	83
Male:	7	78	1,350	131	672
Avg. age:		52	48	33	45

Temporary employees

51

Female: 20
Male: 31

Part time employees

36

Female: 24
Male: 12

7.1 WORKING CONDITIONS

The working conditions can significantly impact the satisfaction and overall well-being of our own workforce, thereby affecting our capacity to execute planned activities effectively. Therefore, it is crucial for Aker BP to provide good working conditions, which aligns with our ambition to create the most attractive place to work.

Working conditions cover secure employment, working time, adequate wages, social dialogue, freedom of association, collective bargaining and work-life balance. Health and safety are also integral components of working conditions. Given the critical importance of health and safety to Aker BP's operations, these aspects are addressed separately. For further details, please refer to section 7.3.

7.1.1 Policies and procedures

Aker BP's work to ensure favourable working conditions are embedded in our policies, procedures and processes, such as our code of conduct, human rights policy and our internal employee handbook. See Commitment to respecting human rights of individuals, page 105 and section 10.1.1 for more information.

Our employee handbook, which is available to all employees on our internal website, is based on the Norwegian Working Environment Act, and sets out guidelines for topics including:

- Social dialogue
- Social protection
- Adequate wages
- Working time and work-life balance

The employee handbook is owned by the SVP people and safety and is applicable to all Aker BP employees.

7.1.1.1 Engagement with our own workforce

Engagement with our own workforce is essential to identify, prevent, mitigate and account for actual and potential impacts and related risks. The SVP people and safety has the overall responsibility for all employee involvement.

Aker BP conducts quarterly pulse surveys to monitor employee satisfaction and identify organisational concerns related to our impacts, risks and opportunities. The survey evaluates employee experience, which is believed to enhance team performance and lower dissatisfaction risk. Employee experience is assessed through factors such as engagement, experience versus expectations, intention to stay, inclusion and well-being. Both employees and non-employees are included in these surveys. This structured approach allows for tracking progress over time and facilitates the implementation of measures to improve the working environment.

Engagement is also maintained through employee representatives in groups such as the board of directors, the work council and the working environment committee. The work council and the working environment committee meet quarterly, with the primary responsibility of the employee representatives being to safeguard Aker BP employees' interests and mitigate negative impacts on our employees. The work council ensures employee influence on company management and operations, fostering greater ownership and better-founded decisions. The working environment committee aims to ensure a sound working environment, participates in environmental planning and monitors employee safety, health and welfare.

Employees' interests are also secured through trade unions, which are associations of workers in the same industry or profession advocating for adequate and fair wages based on the equal pay principle and favourable working conditions for their members. As described in our code of conduct, Aker BP supports employees' rights to form and join trade unions, and equally their right to remain non-unionised. In addition to the quarterly meeting with the work councils where the trade unions are represented, the company communicates with the trade unions during the annual salary negotiations, and on an ad hoc basis regarding organisational restructuring, as the sum of these interactions has a direct impact on working conditions. Non-unionised employees are still covered by collective bargaining agreements, and these agreements will determine their working conditions and terms of employment. As a result, all our employees are paid an adequate wage based on relevant collective bargaining agreements. For non-employees, working conditions and terms of employment are influenced by our collective bargaining agreements, and this is represented in our contracts with the companies which they are hired through.

Both employees and non-employees can raise concerns and report suspected violations of applicable laws and regulations through several channels, including our Aker BP integrity channel. As stated in our human rights policy, we shall have measures in place to reduce or mitigate any adverse impact on own workforce and will, where relevant, provide or cooperate in effective grievance mechanisms. Follow-ups with the affected parties aim to ensure the effectiveness of the remedy. See section 10.2 for more information.

7.1.1.2 Social protection

The Norwegian National Insurance Scheme provides social protection for all Norwegian citizens. This provides coverage for all Aker BP employees and non-employees against loss of income up to a specified level set by national insurance due to sickness, unemployment, work-related injuries, disability, parental leave and retirement through public programmes. Aker BP provides additional coverage for employees to ensure that significant life events do not cause substantial income reduction. This includes, but is not limited to:

- Aker BP employees are eligible for the company's defined contribution pension plan, with Aker BP's pension contribution set at the maximum level permitted by Norwegian pension legislation
- In cases of sickness and work-related injuries, Aker BP covers the gap between the salary provided by the National Insurance Scheme and the employee's regular salary for up to one year
- In cases of parental leave, Aker BP covers the gap between the salary provided by the National Insurance Scheme and the employee's regular salary for 49 weeks. As an alternative, the employees may choose to take 80 percent salary for 59 weeks

7.1.1.3 Work-life balance

Aker BP facilitates a healthy work-life balance in accordance with Norwegian legislation. Onshore employees have flexible working hours and a flexible hybrid working policy that allows for remote work, whereas offshore personnel normally work for two weeks and are off for four weeks. All employees are entitled to parental and family-related leave per Norwegian law. During paid family-related leave, employees remain covered by Aker BP's insurance plans and continue to participate in the company's compensation and benefits processes to ensure no negative impact on salary development.

7.1.2 Actions

Aker BP's policies and procedures are designed to reduce negative impacts on working conditions and thus reduce the risk of lower productivity and ensure capacity to execute planned activities. The key practice each year is to adhere to these principles and implement necessary measures. The people and safety department is responsible for overseeing this matter.

We use our quarterly pulse survey to identify which actions to implement for our impacts, risks and opportunities related to working conditions within our own workforce. The aim of this is to monitor the effectiveness of policies and procedures designed to reduce negative impacts on working conditions, identify areas for improvement and implement relevant measures. After a pulse survey is conducted, all teams must review the results and implement actions if necessary to prevent and mitigate adverse material impacts. If a negative trend is observed across the company, cross-company actions are undertaken to address it. The effectiveness of these measures will then be assessed during subsequent surveys. For 2024, no pulse surveys indicated the need for additional cross-company actions.

For 2025, we will continue conducting our quarterly pulse surveys, monitor the results closely and implement measures where necessary. This will continue being our key activity to identify actions for our impacts, risks and opportunities related to working conditions.



7.1.3 Targets and metrics

At Aker BP, we have not yet set any time-bound, outcome-oriented targets related to working conditions, as we have not identified any targets that are likely to result in changes for our workforce.

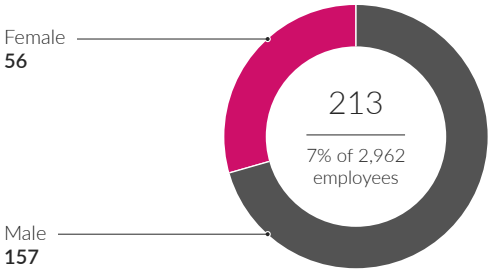
However, we have an ambition to create the most attractive place to work. Achieving this ambition depends on various factors, one of which is working conditions. Aker BP tracks the effectiveness of its policies, procedures and actions related to working conditions through various metrics, as outlined in the tables below. Our pulse survey results indicate that our employees are highly motivated and satisfied with working conditions. See figure 37 for more information. None of our metrics has been validated by an external body other than the assurance provider.

7.2 EQUAL TREATMENT AND OPPORTUNITIES FOR ALL

At Aker BP, we aim to create a culture where differences are valued and utilised; where everyone can develop skills and talent regardless of visible differences such as age, gender and ethnicity, as well as invisible differences such as religion, nationality and sexual orientation. In general, women are under-represented in the oil and gas sector. We believe that focusing on gender equality and diversity positively impacts reputation, talent attraction and retention, and that training and skill development can have a positive impact on employees and improve their qualifications and satisfaction and thus enhance productivity. Conversely, not addressing diversity and inclusion may result in losing skilled workers.

Figure 38: **Parental leave**

Entitled employees who took parental leave



100%
of employees are entitled to take parental leave

Figure 37: **Pulse survey results** [1)]

Engagement	86% 2024	85% 2023
Intention to stay	78% 2024	77% 2023

Figure 39: **Collective bargaining coverage and social dialogue**

Coverage rate: **Collective bargaining agreement**	Norway Location	100% Employees (EEA)
Coverage rate: **Social dialogue**	Norway Location	100% Workplace reprensentation (EEA)

1) Based on the average of all quarterly pulse surveys. The pulse survey uses a scale ranging from one to five, with five being the best. The percentages presented in the table reflect the proportion of our workforce that provided a favorable response, which is defined as a rating of four or five on the scale.

7.2.1 Policies and procedures

Our commitments to ensuring diversity and equal opportunities are stated in our code of conduct and underpinning policies such as our human rights policy and diversity, equity and inclusion policy. The policies are available on our external website. For more information about our code of conduct and human right policy, see section 10.1.1 and Commitment to respecting human rights of individuals, page 105.

Our diversity, equity and inclusion policy, owned by the SVP people and safety, expresses the mandatory principles Aker BP's own workforce must follow. The policy promotes an inclusive workplace free from discrimination and harassment regardless of factors such as gender, linguistic ability, race, ethnic origin, physical or mental ability, age, nationality, sexual orientation, religion or belief, marital status or socio-economic status. These principles are also important for recruitment, training and skill development. The policy does not specifically address commitments related to inclusion and positive actions for employees that are at particular risk or vulnerable. By adhering to this policy and principles, we aim to effectively promote diversity and inclusion, as well as training and development. This approach will enhance our reputation in these areas and improve our ability to attract and retain talent.

7.2.2 Actions

As required by the Norwegian Equality and Anti-Discrimination Act, we work in a systematic manner to promote equality and prevent discrimination. The people and organisation team is responsible for overseeing this matter.

In 2023, all employees were invited to participate in a diversity index survey, measuring Aker BP's diversity and inclusion. The aim of the survey was to gain better insight into employees' perceptions of diversity and inclusion in the workplace, and to further use the results to implement measures to improve where necessary. In response to the results, various measures have been implemented in 2024 to improve awareness and knowledge within the organisation, especially among the leaders, to promote a more inclusive workplace. This included workshops with the EMT and business leaders to review survey results, and we provided e-learnings and awareness campaigns for all employees. We anticipate that these actions will not only positively impact employees at Aker BP but also enhance our ability to effectively attract and retain talent.

We also believe that monitoring and understanding the current state and development of diversity and inclusion are essential to achieving our goal of having 30 percent female employees by 2030. To secure this, the EMT has received updates on relevant metrics during 2024. Additionally, the topic has been integrated into e-learning available to all employees and leadership training programmes. We believe focusing on gender equality and diversity will enhance talent attraction and retention, helping us reach our target.

To mitigate the risk of losing skilled workers due to a poor reputation for diversity and inclusion, we have revised our recruitment procedure in 2024. These revisions aim to prevent discrimination and ensure an inclusive recruitment process that promotes gender equality. Additionally, we have enhanced our branding efforts to attract a broader and more diverse talent pool. We also support initiatives that promote education and careers for girls.

Regarding training and education, we have maintained our commitment to providing a diverse range of learning and development opportunities for our own employees, both internally and externally. We believe that the opportunity for developing skills and knowledge not only enhances employee satisfaction but also increases productivity and prepares our workforce for future demands. At Aker BP, a key principle is that each employee is responsible for their own learning and development, and we expect leaders to facilitate and support the development of their team members. The annual career development dialogue forms a good basis for further developing our employees. We monitor employees' perception of development opportunities over time through our quarterly pulse survey. The results serve as a basis for identifying areas for improvement and determining where additional actions are needed. In 2024, none of the pulse survey results indicated a need for further cross company actions. For details about the pulse survey, see section 7.1.1.1 and figure 41 for the pulse survey results.

7.2.3 Targets and metrics

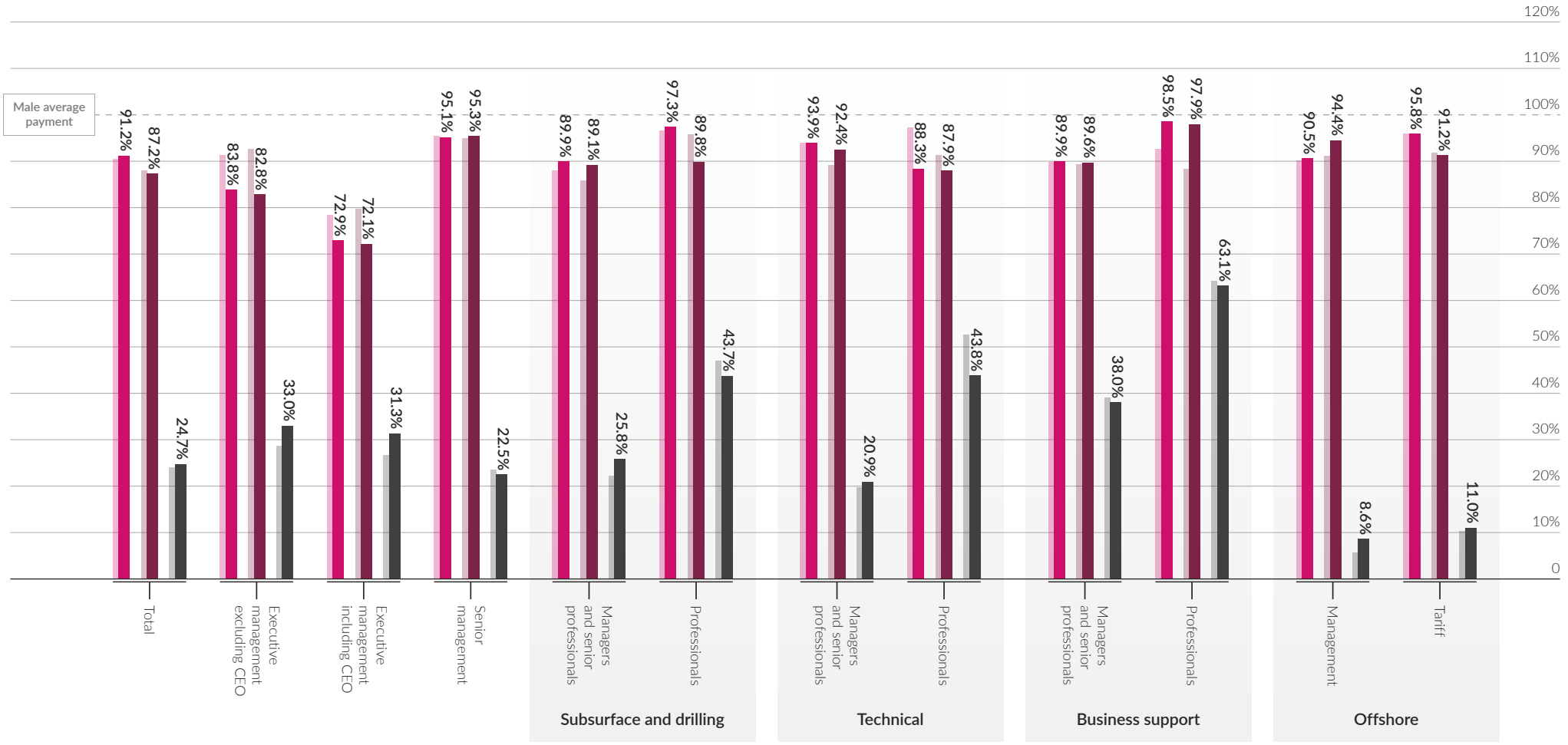
Aker BP monitors the effectiveness of its policies, procedures and actions related to gender equality through a target of achieving 30 percent female employees by 2030. This target has been approved by the BoD where employee representatives are included. By the end of 2024, we had 24.7 percent female employees (24.1 percent in 2023).

We do not have other targets with regard to equal treatment and opportunities for all. However, performance is monitored using the metrics described below.

Aker BP has an ambition to maintain a neutral pay system as a part of our effort to foster diversity and inclusion. This aims to ensure that individuals in identical positions, with equivalent experience and the same formal competence, receive equal compensation for comparable results, irrespective of gender or other diversity factors.

The gender base pay ratio for tariff workers is 100 percent when adjusted for equal positions and seniority. Onshore employees and offshore supervisors are individually evaluated based on job complexity and accountability, as well as formal competence and experience level. For pay analysis purposes, employees are further grouped into three categories: subsurface and drilling, technical and business support. In 2024, the annual total remuneration ratio of the highest paid individual to the median annual total remuneration for all employees was 8.6 (7.6 for 2023).

Figure 40: **Ratio of payment of women to men for each employee category**



Base pay gap[1)]

Total pay gap[1)]

Female population in given category[2)]

/ / Corresponding metric from previous year

1) Employees who joined or left the company in 2024 are not included in these numbers.

2) Based on actual employees at the end of the reporting year.

Training and skills development is considered an important aspect of our ambition to create the most attractive place to work. Our pulse survey results indicate that most Aker BP's employees are satisfied with the opportunity to develop within the company. See figure 41 for more details. Participation in development dialogues is outlined in figure 42, and internal training in figure 43.

There have been zero confirmed cases of discrimination and harassment in the reporting period. We have not received any complaints from our workforce through our whistleblowing channel, nor have we encountered any severe human rights incidents involving our employees. As a result, no associated fines have been paid.

None of our metrics are validated by an external body.

7.3 HEALTH AND SAFETY

The oil and gas industry involves activities and conditions that, if not properly managed, may potentially lead to adverse health and safety impacts on workers, including major accidents, minor incidents and illnesses. Therefore, health and safety is Aker BP's top priority in all activities. Additionally, impacts present a risk of financial penalties and damage to reputation.

7.3.1 Policies and procedures

Aker BP's health and safety management system includes policies and procedures that apply to its own workforce and aims to ensure safe operations and a healthy work environment. The policies are available on Aker BP's website. The SVP people and safety is responsible for their implementation. The health and safety management system is guided by regulatory requirements and international, national and industry-specific standards such as OHSAS 18001 and ISO 45001. In practice, our management system requirements aim to ensure that Aker BP understands and handles the risks associated with its activities through systematic use of risk assessments, thoroughly described in a dedicated process area for risk and barrier management.

Our management system sets out a comprehensive health and safety training programme designed to ensure that employees are adequately qualified to operate safely. For instance, all personnel working offshore must complete mandatory basic safety training before travelling offshore. Another example is that participants in the working environment committees, managers and safety representatives, must undergo formal extended training in working environment topics. This type of training aims to mitigate adverse health and safety impacts.

Our commitments are embedded in our management system which includes an incident reporting system which ensures that incidents are reported to prevent similar events from reoccurring by identifying and implementing corrective actions as needed. In cases of serious incidents, a more comprehensive investigation is carried out. Identified actions are tracked to completion. Learnings from such events are shared internally as well as externally when needed.

Figure 41: **Pulse survey results** [1)]

People development	78% 2024	78% 2023

1) Based on the average of all quarterly pulse surveys. The pulse survey uses a scale ranging from one to five, with five being the best. The percentages presented in the table reflect the proportion of our workforce that provided a favorable response, which is defined as a rating of four or five on the scale

Figure 42: **Employee participation in development dialogues**

Employee participation	80% Total (86% in 2023)	75% Women (82% in 2023)	81% Men (87% in 2023)

Figure 43: **Internal training**

Average training hours	24 per person	18 per woman	26 per man

The management system, including related policies, is continuously revised based on changes in legal requirements, feedback from users as well as lessons learned, such as from incident investigations and audits.

7.3.1.1 Major accidents and minor incidents

Our safe operations policy describes Aker BP's commitment to execute our operations under the highest health, safety and security standards to ensure a safe and healthy workplace. It states that we shall plan and execute our operations in a way that avoids harm and injuries to personnel, the environment and assets. This policy is owned by the HSSEQ manager for drilling and wells, exploration and reservoir development, operations and assets, and is applicable for our own workforce.

Our emergency preparedness and response policy describes Aker BP's commitment to maintain and further develop a highly competent, robust and effective emergency response organisation to manage incidents and crisis related to Aker BP. Our priorities during any incidents are to prevent and limit harm to people, or damage to the environment, assets and reputation. This policy is owned by the HSSEQ manager for emergency preparedness. We systematically conduct training and exercises for all parts of our emergency response organisation to prepare for situations that may occur. Our health and safety management system includes processes and procedures for how to prepare for and respond to emergencies.

7.3.1.2 Work-related illness

Aker BP is committed to and acknowledges that health is more than absence of sickness for the individual. Aker BP defines health as the presence of full mental, physical and social well-being and this is what we aim to achieve for personnel working for us. Aker BP provides health services to prevent, identify and monitor work-related health risks, and provides employee benefits such as regular health checks and health care insurance. Additionally, risk-exposed offshore personnel are required to undergo a comprehensive health check-up every three years.

Aker BP's health and working environment policy describes our commitment to provide a workplace that promotes health. The policy sets out our commitment to continuously improve our working environment to ensure it does not have any negative physical or psychological effects on our own workforce. This policy is owned by the VP HSE excellence.

7.3.2 Actions

Aker BP's policies and procedures are designed to mitigate adverse health and safety impacts and the related risk. The key practice each year is to adhere to these principles and implement necessary targets and measures. Internal verifications and audits are conducted to check that we operate in accordance with our management system.

In addition to adhering to our policies and procedures, we have undertaken several initiatives in 2024 to mitigate adverse health and safety impacts and related risks. Key actions include:

In 2024, Aker BP conducted a significant health and safety project by enhancing our visualisation of barriers through the implementation of a new barrier status panel on our operated assets. In general, barrier management is a systematic process encompassing the definition, design and engineering of barriers, and the monitoring and maintenance of barrier performance in operations. The overall purpose is to establish barriers that will be effective in reducing the risk of major accidents by reducing the probability of incidents with major accident potential, and limiting the consequences should such an event occur. The established barriers, including the performance requirements for these, are based on the identified major accident hazards for each specific asset and facility. Our new barrier status panel gives us the opportunity to see and act upon barrier impairments at an early stage, and to implement appropriate mitigating measures. This initiative was led by the people and safety department and is used by the asset organisations.

To identify areas of concern related to work-related illness, we invited all employees to participate in a survey on how they perceive their psychosocial work environment (OPA). The aim of this action was to get a deeper understanding of factors impacting our daily experiences at the workplace, which may result in work-related illness and dissatisfaction. Additionally, we wanted to use the results to identify teams with a low score and implement measures to improve. The results of the survey provided a better understanding of the factors that challenge, motivate and engage us in the workplace. All teams were asked to review their results, and we adopted a structured approach to follow up with teams that had low scores. This included additional measures to identify the causes and determine necessary actions to enhance the psychosocial work environment. The aim was to mitigate adverse impacts on employees resulting from work-related illnesses and associated risks. In 2025, we will monitor the results of these actions through quarterly pulse surveys.

7.3.3 Targets and metrics

Aker BP tracks the effectiveness of its policies, procedures and actions through metrics and sets annual targets for key performance indicators (KPIs) for our own workforce. These targets include our most important health and safety impacts, including major accidents and minor incidents, and have been approved by the BoD where employee representatives are included. The 2024 targets and our performance are summarised in figure 44. We do not have targets for work-related illness. However, performance is monitored using metrics.

Three out of four of Aker BP's safety performance targets have been met in 2024. With regard to process safety events (PSE), we had two cases compared to our target of zero. In accordance with our policies and procedures, these two cases have been investigated by Aker BP. The investigations recommended a series of improvement actions, the vast majority of which have been implemented in 2024. We plan to complete the remaining actions in 2025.

In 2024, we achieved our target of a serious incident frequency (SIF) below 0.5. Three of the four serious incidents in 2024 did not result in any actual consequences for personnel involved. One serious incident involved a person who got injured.

In 2024, we achieved our target of a total recordable injuries frequency (TRIF) below 2.5. Nine of the twenty work-related personnel injuries in 2024 resulted in days away from work. One of the injuries which resulted in days away from work involved an Aker BP employee. This person had 28 days away from work due to the injury. We are unable to disclose the number of days lost due to work-related ill health.

In addition, we monitor work-related illness. In 2024, Aker BP registered seven (60 in 2023) work-related illnesses (WRI) for employees. The 2024 figures are consistent with previous years except 2023. Due to the COVID pandemic, a large portion of the offshore personnel completed their health checks in 2023, leading to unusually high numbers for that year.

None of our metrics are validated by an external body other than the assurance provider.

Figure 44: **Safety performance vs targets**

Serious incident frequency (SIF)[1] (per million work hours)	≤0.5 Target	0.4 Performance
Total recordable injuries frequency (TRIF)[1] (per million work hours)	≤2.5 Target	1.9 Performance
Process safety events	0 Target	2 Performance
Serious well control incidents	0 Target	0 Performance

1) These targets include value chain workers on Aker BP opperated offshore faclilities (including mobile drilling units).

Table 34: **Safety performance last two years**

Category	2024	2023	Units
Fatalities – employees	0	0	cases
Fatalities – non-employees	0	0	cases
Fatalities – workers in the value chain	0	0	cases
Lost time injuries – employees	28	260	days
Total recordable injuries – employees	3	4	cases
Total recordable injuries – non-employees	3	0	cases
Total recordable injuries – workers in the value chain	14	18	cases
Total recordable injury frequency[1] – employees	0.6	0.9	per million work hours
Total recordable injury frequency[1] – non-employees	1.8	0.0	per million work hours
Total recordable injury frequency[1] – own workforce	0.9	0.7	per million work hours
Total recordable injury frequency[1] – workers in the value chain	3.5	5.3	per million work hours
Total recordable injury frequency[1] – total workforce[2]	1.9	2.4	per million work hours
Serious incidents	4	3	cases
Serious incident frequency[3]	0.4	0.3	per million work hours
Work hours – employees	4.6	4.3	million hours
Work hours – non-employees	1.7	1.4	million hours
Work hours – own workforce	6.3	5.7	million hours
Work hours – workers in the value chain	4.0	3.4	million hours
Work hours – total workforce	10.3	9.1	million hours
Work related illness – employees	7	60	cases
Sick leave employees	3.9	3.9	percent
Number of tier 1 and tier 2 process safety events (PSE)[4]	2	1	cases

1) Total recordable injury frequency: The number of recordable injuries (lost time + medical treatment) per million work hours.

2) Total workforce: Workforce on Aker BP offshore facilities (including mobile drilling units) and Aker BP onshore facilities.

3) The number of incidents with actual and/or potential consequence classification A as defined by Aker BP (e.g. fatality, oil spill to sea greater than 1000 m^3) per million work hours.

4) As per the API Recommended Practice 754: Process Safety Performance Indicators for the Refining and Petrochemical Industries.

8 Workers in the value chain

7 audits

Supplier on-site human rights audits conducted

7 countries

Countries in which supplier on-site human rights audits have been undertaken

In 2024, we had approximately 1,600 tier 1 suppliers, some of whom operate in countries associated with a high risk[1] of human rights violations, such as child-labour, forced or compulsory labour, as well as poor working, health and safety conditions. As a result, through our suppliers, Aker BP has the potential to negatively impact workers within our value chain. If we fail to manage these adverse impacts, we may also face the risk of reputational damage.

Workers in the value chain:

Workers in the value chain includes all individuals working for our suppliers and those engaged in activities further along the value chain. Our primary focus related to actions and procedures is currently on tier 1 suppliers, as they represent the group on which we have the most significant impact potential. Examples include but are not limited to catering and housekeeping staff on offshore installations, vessel crew members and workers at construction yards related to Aker BP projects.

Table 35: **Material impacts, risks and opportunities: Workers in the value chain**

Material matters	Scope	Description of materiality
Material impacts[2]		
Potential impacts from poor working conditions related to construction, logistics and industrial manufacturing in high-risk countries (-)	Upstream value chain	Some of Aker BP's suppliers and sub-suppliers operate in industries that involve a significant amount of physical labour and may be located in high-risk countries. Consequently, there is a heightened risk of inadequate working conditions.
Potential health and safety impacts on workers in the value chain (-)	Upstream value chain	Physical labour in the value chain poses health and safety risks, which can result in accidents and injuries. Furthermore, as this includes many suppliers, the number of people potentially impacted is high.
Potential human rights violations in the value chain (child, forced or compulsory labour) (-)	Upstream value chain	Certain segments of Aker BP's value chain operate in countries where there is an elevated risk of human rights violations. This includes countries such as Malaysia, United Arab Emirates, India, Thailand, Indonesia and Brazil.
Potential incidents of violence and harassment in the value chain (-)	Upstream value chain	Certain segments of Aker BP's value chain operate in countries where there is an elevated risk of human rights violations, including harassment in the value chain.
Potential to use leverage to contribute to improving working conditions in high-risk countries (+)	Upstream value chain	Aker BP can influence suppliers and sub-suppliers due to its market position. This influence can be particularly noticeable in high-risk countries.
Material risks		
Risk of reputation damage due to poor working conditions, human rights violations and/or violence or harassment in the value chain	Upstream value chain	Several of Aker BP's suppliers and sub-suppliers operate in high-risk countries, increasing the likelihood of such occurrences. Human rights issues, in particular, can have significant financial impacts and legal consequences.

Relevant policies:

- Code of conduct
- Human rights policy

1) Aker BP has identified several countries as high-risk with respect to human rights, based on an assessment using several external and internal risk indicators and indexes.

2) (+) symbolises a positive impact whereas (-) symbolises a negative impact.

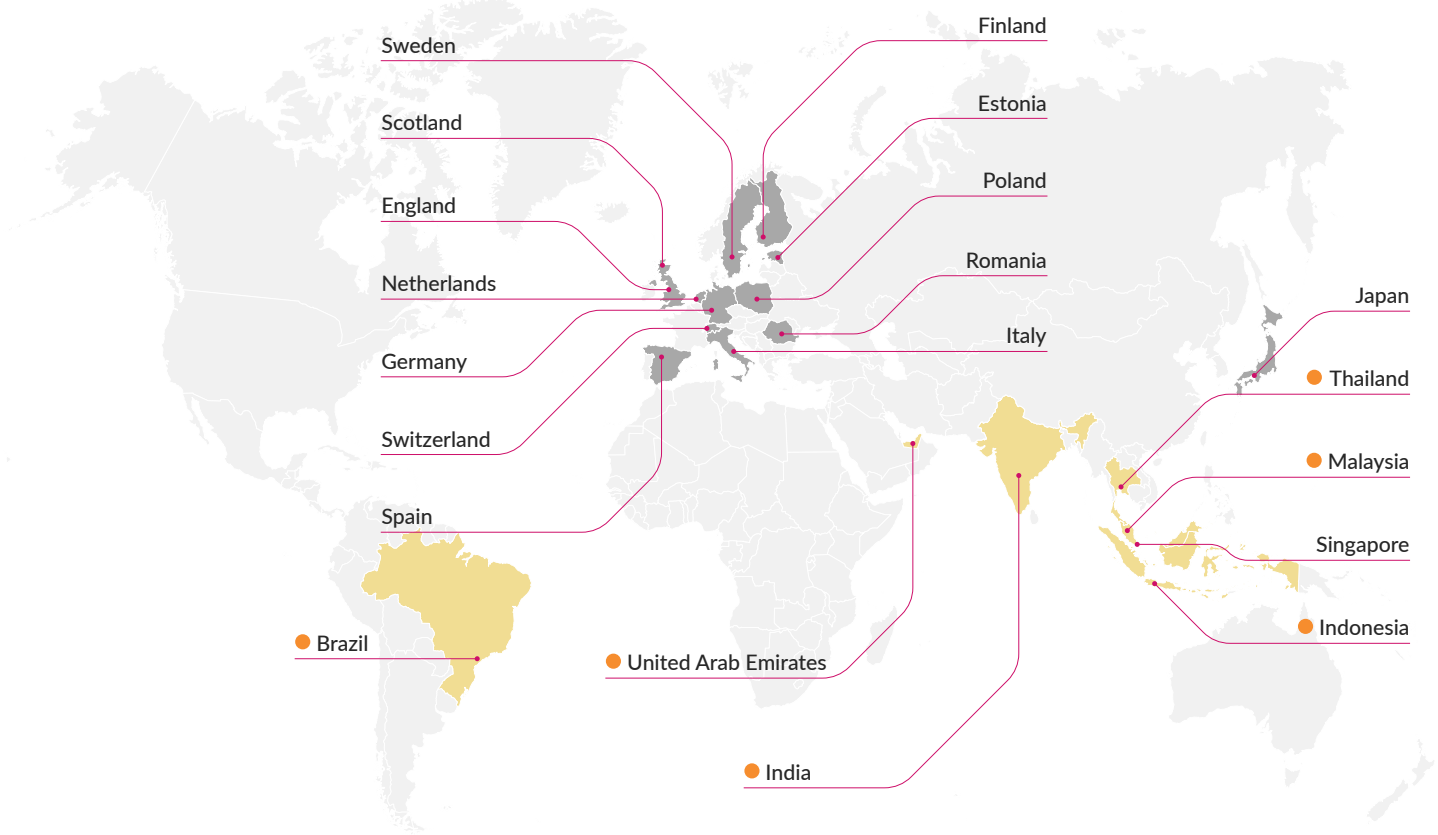
On the other hand, Aker BP has the opportunity to positively impact workers in the value chain by using leverage to improve working conditions in countries prone to human rights violations and poor labour standards. By actively engaging with our suppliers and promoting best practices, we can help ensure that workers' rights are respected, and that health and safety standards are upheld. This proactive approach does not only mitigate risks but can also contribute to the overall well-being of workers in our value chain.

8.1 POLICIES AND PROCEDURES

Our code of conduct and human rights policy addresses material topics such as working conditions, human rights (including child, forced and compulsory labour), violence and harassment, and health and safety. See section 10.1.1 and Commitment to respecting human rights of individuals, page 105, for more information about our code of conduct and human rights policy.

To reduce adverse impacts on workers in our value chain and reduce associated risks, it is essential to collaborate with others who adhere to the commitments outlined in our code of conduct and human rights policy which aim to secure this by committing Aker BP to the following principles:

Figure 45: **Selected examples of international suppliers we remain dependent on**



- Before establishing or amending any business relationship, we must follow Aker BP's business partner integrity procedure to assess legal and ethical risks and include contractual obligations on ethics and compliance where applicable. This process pays special attention to material topics for value chain workers
- To clearly communicate our expectations to our business partners and monitor their compliance where necessary. Requirements are specified in contracts and Aker BP's supplier declaration, which all new suppliers are required to sign prior to becoming an Aker BP supplier. Any deviation from this requirement will be managed according to established follow-up procedures
- Take appropriate measures if our business partners do not meet our expectations and report any misconduct

While Aker BP does not have a separate supplier code of conduct, these principles, together with the supplier declaration and contractual clauses, aim to ensure that our business partners are actively working to establish processes which mitigate any adverse impacts on their employees and workers in their value chain.

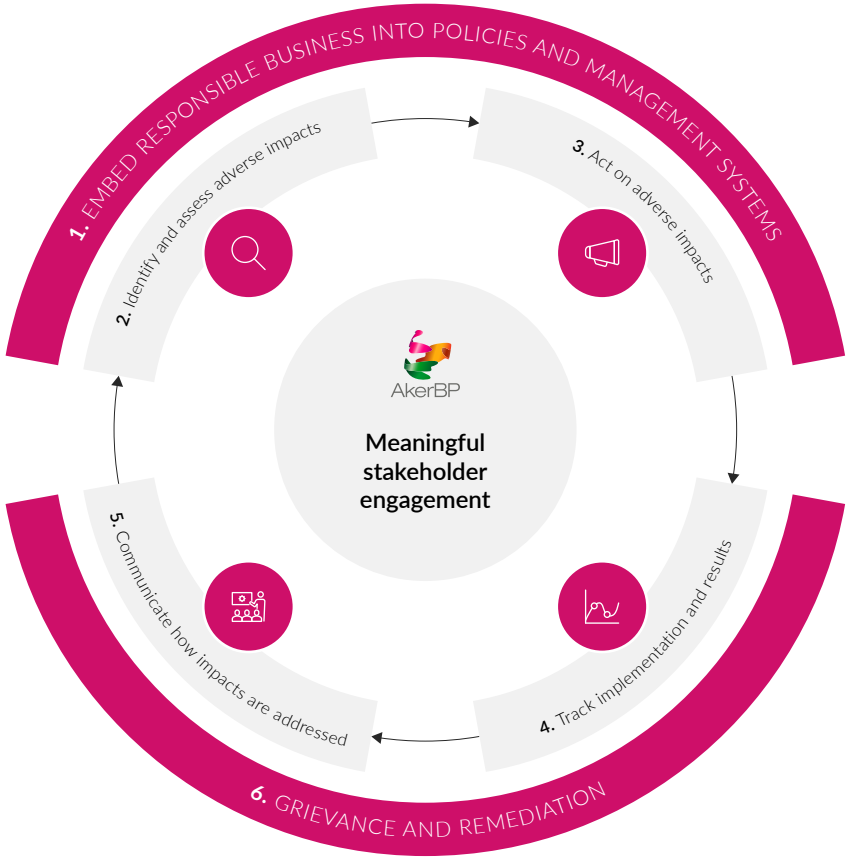
8.1.1 Engagement with value chain workers

In line with the principles of the Norwegian Transparency Act and the OECD Guidelines for Multinational Enterprises, as well as the United Nations Guiding Principle on Business and Human Rights, we apply a risk-based approach when evaluating potential adverse impacts on value chain workers. This includes evaluations of several factors, such as country and activities. As required by our human rights policy and as part of Aker BP's business partner integrity procedure, we perform human rights due diligence to identify, prevent, mitigate and account for our impacts and have processes in place to enable remediation for adverse impacts we may cause or contribute to. Meaningful stakeholder engagement is central in this process and we have implemented various channels aimed at securing appropriate engagement.

Safety representatives onshore and offshore, led by the coordinating safety officer, as well as site managers at project construction sites worldwide, shall regularly and continuously communicate with value chain workers directly, fostering trust and encouraging the reporting of any concerns. Their observations help identify and prevent actual and potential adverse impacts on value chain workers.

Oversight of contractors occurs through formalised processes, with the frequency of engagement depending on the type of contractual relationship. All contracts have a designated person from Aker BP who is responsible for managing the contract and ensuring engagement according to the plan. Key suppliers and alliance partners are frequently engaged through performance review meetings, addressing working conditions and other relevant issues. We believe that our alliance model, as further described in section 10.3, enables us to optimise our influence to positively impact workers in the value chain.

Figure 46: **Our human rights due diligence process**



Value chain workers can also raise concerns and report suspected violations of applicable laws and regulations through the Aker BP integrity channel. See section 10.2 for more information. Additionally, as part of our supplier declaration and contractual clauses, we aim to ensure that our suppliers meet our expectations by establishing channels for value chain workers to raise concerns. Further, as part of our human rights audits of our suppliers, we assess whether these channels are available and communicated to the employees.

Stakeholder engagement is also an essential part of our audits. We conduct audits of a selection of our suppliers and business partners to verify that they comply with applicable laws and regulations, Aker BP's code of conduct, contractual obligations and our supplier declarations, as well as the UN Guiding Principles on Business and Human Rights, ILO Declaration on Fundamental Principles and Rights at Work and OECD Guidelines for Multinational Enterprises. Worker interviews play a key role in our on-site audits, giving us a unique insight into their views and perspectives. We apply a risk-based approach when setting the audit programme and frequency for the following year, taking into account the rights and needs of vulnerable individuals and groups. The supply chain department is responsible for this programme.

As of 2024, outside the audit programme, we have not received any reports or identified instances of non-compliance with the UN Guiding Principles on Business and Human Rights, ILO Declaration on Fundamental Principles and Rights at Work or OECD Guidelines for Multinational Enterprises involving value chain workers. The findings from the on-site audits are summarised in figure 48 and figure 49.

8.2 ACTIONS

In 2024, we strengthened our efforts to address actual and potential impacts on workers in the value chain. Additionally, we used our leverage to enhance working conditions for these workers. Details of the actions we have taken are outlined below.

8.2.1 Strengthened internal processes

In 2024, we improved our internal processes to better identify areas of concern related to workers in the value chain, which is a crucial initial step towards implementing actions that mitigate potential and actual adverse impacts, reduce risks and capitalise on identified opportunities. The actions taken include:

- Reviewed and updated screening risk model
- Streamlined requirements to ensure internal capacity-building
- Updated due diligence process and risk classification

8.2.2 Human rights audits

Aker BP is currently undertaking a significant investment portfolio on the Norwegian continental shelf (NCS), engaging with a global network of suppliers. This elevated level of activity is mirrored in the human rights audit programme carried out throughout 2024. During this year, seven on-site audits were conducted at 10 production sites across seven countries in Europe and Asia. These audits were selected based on an assessment of risk and criticality, and involved document reviews and interviews with management, value chain workers and union representatives, encompassing more than 400 workers. The audits were conducted by independent auditors on behalf of Aker BP.

Figure 47: **Countries in which supplier on-site human rights audits have been undertaken**

Supplier on-site human rights audits conducted

Boundary: **Aker BP**	7 audits **2024**	1 audits **2023**

Countries in which supplier on-site human rights audits have been undertaken

Boundary: **Aker BP**	7 countries **2024**	2 countries **2023**

All audits, with one exception, were conducted on tier 1 suppliers, as they are deemed to be the main point of contact to assess impact to the workers in the value chain. The exception was an audit of a sub-supplier in China, which is deemed a high-risk country for human rights. The objective of these audits was to assess compliance with Aker BP's guidelines, the ETI base code and local laws and regulations, to identify material impacts on value chain workers. This includes verifying that suppliers have implemented systems and actions consistent with our supplier declaration and contractual obligations to mitigate adverse impacts on workers further down the value chain. Additionally, the audits highlighted best practices and identified areas for improvement.

The on-site audits had a dedicated focus towards the following topics:

- Human rights (child, forced or compulsory labour)
- Working conditions (freedom of association, wages and benefits, working hours, regular employment and responsible recruitment)
- Health and safety
- Violence and harassment

All audits have resulted in reports with findings and recommendations. Additionally, Aker BP and audited companies have created separate corrective action plans to address the findings. None of the findings required any further action to provide or enable remedy.

Aker BP expects the suppliers to address the findings and monitor their progress through follow-up meetings. Responsibility for audit follow-up lies with the designated roles within the audit team or supply chain department in Aker BP. This approach aims to mitigate both potential and actual adverse impacts on value chain workers and reduce Aker BP's risk of reputation damage associated with poor working conditions, human rights violations, and violence and harassment. Furthermore, we believe that by actively engaging in these audits and follow-up actions, we are showing our commitment to our human rights policy and promoting our expectations, thus leveraging our influence to contribute to the improvement of working conditions throughout our value chain.

8.2.3 Magnet JQS human right desktop assessment

In addition to the seven on-site audits, three human rights desktop assessments have been conducted on tier 1 suppliers through Magnet JQS, where audit findings are shared among the major operators on the NCS. These audits provide an overview of the governance systems in place to address potential human rights risks and ensure all labour standards are considered. However, they are not as detailed as the on-site audits and are usually conducted as an initial step in human rights due diligence. By utilising a network of operators across the NCS, the ability to contribute to improving working conditions in the value chain is enhanced. Audited suppliers are required to address findings, develop corrective action plans, record and close findings in Magnet JQS. Aker BP follows up findings from these desktop assessments with the suppliers through meetings as part of contract management.

8.2.4 Forward-looking plans

In 2025, we plan to follow up the findings from the audits conducted in 2024 to assess the effectiveness of measures intended to mitigate adverse impacts on value chain workers and reduce associated risks. New audits will be conducted with an increased focus on suppliers located in Norway. This focus aligns with the current state of development projects, which will primarily be ongoing in Norway from 2025. Engaging closely with workers in the value chain remains a priority to identify and mitigate any actual and potential adverse impacts that we may cause or contribute to. This approach aims to ensure that our commitment to human rights and sustainable practices is both steadfast and effective.

8.3 TARGETS AND METRICS

While we are focusing on improving our efforts towards workers in the value chain, we have not defined any measurable targets as we have not identified any targets that are likely to result in changes for workers in the value chain. However, several metrics are derived from the on-site audits conducted. figure 48 provides an overview of how the findings from 2024 are distributed across various categories. The categories were created by internal experts within this topic. Additionally, these findings have been classified into four different categories by an external audit provider, with none falling into the most critical category indicating severe human rights issues or incidents. None of our metrics are validated by an external body.

Figure 48: **Categorisation of findings from on-site audits**

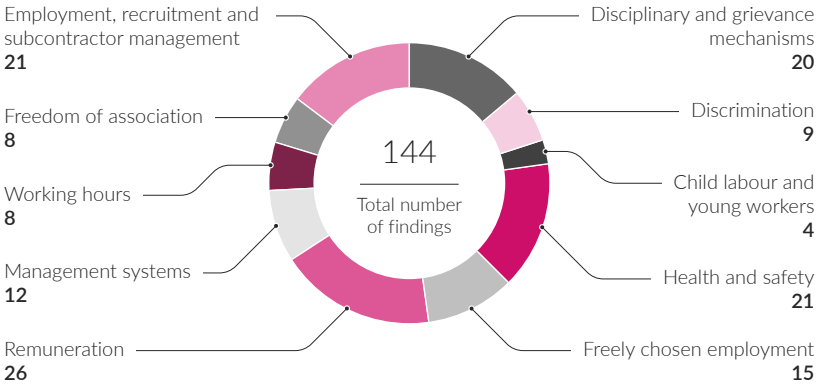
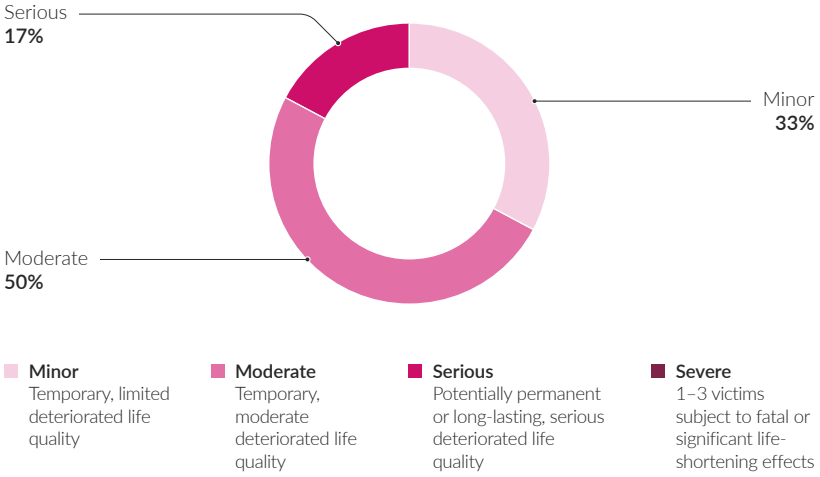


Figure 49: **Severity of the findings from on-site audits**



9 Affected communities

150,000 **full-time equivalents**

Projected at Norwegian suppliers across the country due to Aker BP operated development projects

Aker BP acknowledges the potential impact we may have on communities, both through our operations, but also through our upstream and downstream value chain. Our primary focus is on local communities as well as those affected by our tier 1 suppliers, as they represent the group where we have the most significant impact potential.

Local communities

Refers to communities affected by our operations, such as fisheries in the sense that we share the use of the ocean and the same areas where these communities are dependent on fisheries.

Affected communities

Refers to both Aker BP's local communities and the communities affected by our supply chain, such as communities in Norway and abroad where we have fabrication and commissioning work related to ongoing development projects.

Relevant policies:

- Code of conduct
- Human rights policy
- Anti-corruption policy
- Supply chain management policy
- Sponsorship policy

Table 36: **Material impacts, risks and opportunities: Affected communities**

Material matters	Scope	Description of materiality
Material impacts[1]		
Positive impact through investment and job creation in local communities (+)	Own operations	A positive impact on local communities in Norway due to investments and job creation through building industry.
Positive impact through donations and sponsorships (+)	Own operations	Aker BP provides donations and sponsorships for local communities, further enhancing the positive impact.
Material risks		
Risk of reputation damage due to negative media coverage in affected communities caused by poor stakeholder engagement and failure to demonstrate the positive impact on affected communities	Own operations	If its operations are not seen as positively impacting the economic, social and cultural rights of people living in affected communities, this may have negative reputational effects. This is because Aker BP may be the subject of negative media coverage and be negatively portrayed in the local communities where it operates if it is not viewed as having a positive impact on the people living in the affected communities, thus having a negative reputational effect.
Risk of sanctions, financial penalties and reputation damage due to negative impact on people living in affected communities	Own operations	In addition, there are legal risks as Aker BP faces the possibility of fines and sanctions if negatively impacting the economic, social and cultural rights of people living in affected communities, or if it is viewed as not heeding environmental guidelines.
Material opportunities		
Opportunity for enhanced collaboration with local communities, access to skilled local workforce and positive reputation through the support of local communities	Own operations	Further improving Aker BP's relations with local communities, which may have a positive reputational effect on Aker BP and constitute an opportunity as it may make it easier for Aker BP to expand its operations in local communities or in general make it easier for Aker BP to operate in affected communities.

1) (+) symbolises a positive impact whereas (-) symbolises a negative impact.

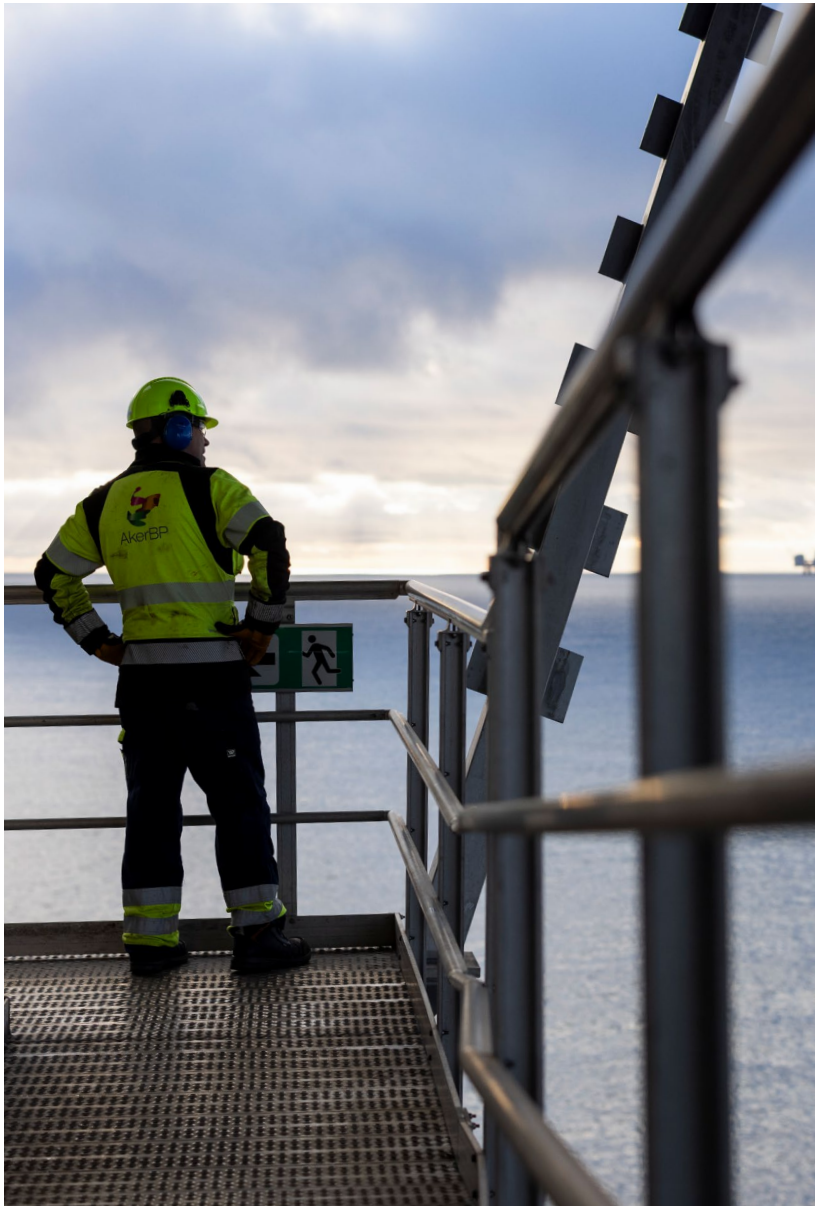
There are both risks and opportunities related to affected communities. If Aker BP fails to manage its relationship with these communities, for example through poor stakeholder management or by damaging their well-being, we may face both reputational and legal risks. On the other hand, our focus on local job creation, investments, donations and sponsorships may impact these communities positively. This can further result in community support, strengthening Aker BP's reputation, and enhancing access to skilled local workforce.

9.1 POLICIES AND PROCEDURES

Aker BP strives to ensure that our activities, as well as those within our value chain, do not cause any harm to affected communities. Our code of conduct and human rights policy thoroughly address this concern. For further details, please refer to section 10.1.1 and Commitment to respecting human rights of individuals, page 105.

We aim to create positive impacts on affected communities through investments and job creation. Aker BP makes substantial investments in new projects, generating employment opportunities not only within the company but also for our value chain. Over the next few years, we will complete several development projects with Yggdrasil as the largest. It is expected that these projects will contribute to more than 150,000 full-time equivalents at suppliers throughout the country. Our supply chain management policy, together with our alliance model, specifically outlines our ambition to source locally whenever feasible, ensuring that our operations benefit, build and strengthen the communities in which we are active, particularly along the Norwegian coast. Detailed information about our supply chain management policy can be found in section 10.3. Additionally, we expect our tier 1 suppliers to adopt similar practices. This expectation is formalised in our supplier declaration, where the supplier commits to sourcing locally whenever possible.

Additionally, we are leveraging our role to positively impact communities, particularly in areas where we conduct business activities, by supporting various causes we believe in. We also believe this presents opportunities to build a positive reputation in these areas, collaborate with affected communities and access a skilled local workforce. Some of the initiatives are 'one-offs', whereas others have a more strategically aligned approach and a multi-year perspective, such as our sponsorships within sports, culture and learning. Our sponsorship and donation strategy is grounded in our sponsorship policy which is further aligned with our code of conduct, anti-corruption policy, and applicable rules and laws. The sponsorship policy is overseen by the CFO and is available on our internal website. The policy outlines the framework for all Aker BP sponsorship activities. When evaluating potential sponsorship recipients, we seek partners who share our core values and where the relationship will yield mutual benefits. We prioritise organisations, institutions, teams or athletes that make a positive impact on society. To mitigate potential risks associated with sponsorship activities, we adhere strictly to the policy and internal procedures, ensuring transparency and that the funds are utilised for their intended purpose. All sponsorships and charitable donations shall be made in accordance with this policy and shall be approved by the VP communications.



9.1.1 Engagement with affected communities

Aker BP sets high expectations for our understanding of the society in which we operate. The oil and gas resources on the Norwegian continental shelf, where Aker BP operates, belong to the Norwegian society at large. Aker BP's role is to create value based on these resources. We are, amongst other things, guided by the OECD's due diligence guidance for responsible business. Engaging with affected communities, through formal consultation and day-to-day dialogue, is essential to identify our actual and potential impacts, risks and opportunities concerning those communities, as well as to monitor compliance with UN Guiding Principles in Business and Human Rights, ILO Declaration on Fundamental Principles and Rights at Work and OECD Guidelines for Multinational Enterprises. It also provides insight into how different groups may be at greater risk of harm.

9.1.1.1 Formal consultation

Aker BP has a systematic process for engaging with affected communities, which is directly linked to and regulated by Norwegian legislation and government expectations. This process is part of Aker BP's governance and business model.

During this process, we carefully adhere to the public consultation procedures to identify and consider impacts of significant activities. For instance, we are obliged to conduct public consultations of the environmental and societal impact assessments for any projects to be sanctioned. This approach provides affected communities, and others, an opportunity to discuss and address both positive and negative aspects of the company's plans, ensuring their perspectives are considered in our planning. A senior role within the project to be under development is responsible for this process.

9.1.1.2 Day to day dialogue

We use informal communication with affected communities daily to foster open dialogue and collaboration, addressing concerns and ensuring well-being. These efforts also help anticipate potential grievances. For example, we meet with local municipalities, politicians and other stakeholders in areas affected by high activity levels and ripple effects from our investments, focusing on Aker BP's project portfolio. The frequency of this type of engagement depends on the activities. The feedback we receive through continuous dialogue and follow-ups is used to achieve effective processes. A designated role within the company is responsible for ensuring that this engagement occurs.

Moreover, Aker BP's integrity channel, which is available to all on our external website, serves as a platform for affected communities and individuals to raise their concerns. Through our website, code of conduct and sustainability statement, we provide information needed to ensure trust in the processes for raising concerns. For further details on the integrity channel, refer to section 10.2. To facilitate that our suppliers engage with affected communities, we require them to maintain transparency in their interactions, as outlined in our integrity due diligence (IDD) process and supplier declaration.

9.2 ACTIONS

Aker BP's policies and procedures for investments, job creation, sponsorships and donations are designed to create positive impacts and opportunities, as well as mitigate actual and potential risks related to affected communities. The key practice each year is to adhere to these policies and principles and implement measures when necessary. The supply chain management department is responsible for securing local sourcing and job creation, whereas the VP communication is responsible for donations and sponsorships.

In addition, in 2024 we updated our IDD process as an effort to better mitigate the risk of adverse impacts and poor stakeholder engagement by our tier 1 suppliers, as well as Aker BP's risk of sanctions, financial penalties and reputational damage. In the updated IDD process, potential suppliers within certain thresholds are required to confirm that they have policies and procedures in place to avoid and manage adverse impacts on communities. Further, once contracted, they must sign our supplier declaration, committing to responsibly manage the effect of their operations, engage in dialogue and consider local needs. The effectiveness of this initiative is typically assessed in our supplier audits. Refer to section 8 Workers in the value chain for more information.

9.3 TARGETS AND METRICS

We believe that Aker BP is well-positioned to generate positive ripple effects while mitigating the risk of adversely impacting affected communities. We have not yet established defined and measurable targets in this area as we have not identified any targets that are likely to result in changes for the affected communities.

In 2024, we did not receive any reports of human rights issues or incidents affecting communities through our whistleblowing channel. Further, we are not aware of any cases of non-respect of the UN Guiding Principles in Business and Human Rights, ILO Declaration on Fundamental Principles and Rights at Work or OECD Guidelines for Multinational Enterprises that involve affected communities by our own operations or in our upstream or downstream value chain.



Governance

Business Conduct →

10 Business Conduct

93%

Completion of the code of conduct refresher training[1)]

0

Incidents of non-compliance with laws and regulations

Relevant policies:

- Code of conduct
- Human rights policy
- Anti-corruption policy
- Security policy
- Speaking up policy
- Supply chain management policy

10.1 CORPORATE CULTURE

Aker BP strives to conduct its business in an ethical and transparent manner and in compliance with applicable laws, rules and regulations, as well as internationally accepted guidelines. Any non-compliance by Aker BP or our value chain, such as corruption and bribery, may lead to adverse impacts on the markets, society and governmental bodies. Should Aker BP fail to manage these impacts properly, we may risk financial penalties, damaged relationships and reputation in our operations or supply chain, and loss of business partnerships and missed opportunities for favourable relationships.

10.1.1 Policies and procedures

Our code of conduct is our main governance tool and is intended to be a source to help Aker BP representatives act in accordance with Aker BP's core values. It provides guidance for conducting our business ethically and transparently, in compliance with applicable rules and regulations related to anti-corruption, money laundering, fraud, modern slavery, human rights and labour standards, environment and other applicable rules. It also includes a separate chapter on speaking up and protection of whistleblowers.

1) The figure includes participants completing the course during January 2025.



Table 37: **Material impacts, risks and opportunities: Business conduct**

Material matters	Scope	Description of materiality
Material impacts[1]		
Potential impacts from not sufficiently protecting whistleblowers and creating a culture where concerns are not raised (-)	Own operations, value chain	Mistreatment of whistleblowers might suppress important information about environmental or societal harm. A whistleblower, who reports non-ethical behaviour in accordance with applicable laws, may be negatively impacted by his/her actions if the company does not ensure whistleblower protection. These negative impacts may for the whistleblower be unfair dismissal, reputational loss, economic consequences etc.
Potential harm caused by unethical and non-transparent behaviour (-)	Own operations, value chain	Unethical business practices can lead to bypassing environmental regulations, acceptable social standards and bribery and corruption. Therefore, ensuring a transparent business practice is key. It may also have a negative effect on business partners.
Use leverage and dialogue to improve suppliers' social and environmental performance (+)	Own operations, upstream value chain	Aker BP uses leverage as a large customer and engages in constructive dialogue with its suppliers to help them improve their social and environmental performance throughout their value chain. Social and environmental screening of suppliers is one the tools that is applied.
Potential impacts from corruption in dealing with business partners (-)	Own operations	Corruption has a clear negative impact on both social and governance issues and may lead to a negative impact on the environment. Examples of negative impacts include, but are not limited to, poverty in transition economies, damage to the environment, abuse of human rights, abuse of democracy, misallocation of investments and undermining the rule of law.
Providing secure and reliable energy to Europe (+)	Own operations	Aker BP can negatively impact cyber security as our possession of critical information about Norwegian infrastructure, combined with the current geopolitical climate and heightened risks to such facilities, exposes vulnerabilities that could be exploited, undermining national security and public trust.
Material risks		
Risk of sanctions, damaged relationship with authorities and reputation damage due to poor handling and protection of whistleblowers in Aker BP and among alliance partners	Own operations	Legal and reputational risks if Aker BP does not protect whistleblowers in line with the Whistleblower Protection Directive, as this may lead to governmental actions and sanctions, in addition to having negative reputational effects if Aker BP is seen as not protecting whistleblowers.
Risk of loss of business partnerships and missed opportunities for favourable relationships due to poor business conduct in the value chain	Own operations	Without appropriate business conduct vis-a-vis business partners in the value chain, there is a risk that Aker BP will lose out on favourable business partnerships and lose business in general.
Risk of financial impact and reputation damage due to insufficient ESG screening of suppliers	Own operations, upstream value chain	Risks associated with not properly screening current and new suppliers for environmental and social aspects. This is because Aker BP risks having, or entering, business relationships with business partners where social and/or environmental misconducts takes place. This may represent a financial risk if it loses critical suppliers or needs to replace them over a short time horizon. Reputational risk is due to negative publicity because of lack of proper screening and thus doing business with companies where environmental and social misconduct occur.
Risk of financial penalties, damaged relationships and reputation due to corruption and bribery in own operations and/or supply chain	Own operations, value chain	There are legal and reputational risks if corruption and bribery is discovered, as it can lead to both fines from government, damaged business relationships in addition to a negative reputation. This risk is larger with business partners and suppliers in the value chain. In addition, corruption and bribery are associated with an increased cost of doing business as it may be costly to avoid some suppliers etc. in certain locations.
Risk of business disruption and reduced performance due to cyber attacks on critical IT structures caused by increased geopolitical instability	Own operations, value chain	Increased geopolitical instability and increased threats of cyber attacks is a risk for Aker BP, especially given their role in providing energy security for Europe. The risk associated with a cyber attack extends to the value chain, potentially leading to disruptions such as delayed deliveries.
Material opportunities		
Opportunity for influence and efficient preparation for regulatory developments through political engagement	Own operations	A financial opportunity by staying up to date on the latest regulatory developments and trying to have an effect on political and regulatory developments in Aker BP's favor. This is because Aker BP, by doing so, will be prepared for changes in its operating environment and influence its operating environment and the framework conditions it faces.
Opportunity for more resilient supply of products through long term relationships with suppliers	Own operations	Ensuring a good relationship with suppliers may secure a more stable supply of products Aker BP needs and will decrease costs of having to screen new ones.

1) (+) symbolises a positive impact whereas (-) symbolises a negative impact.

The underpinning anti-corruption policy establishes a framework for preventing all forms of corruption and guidance for our employees and business partners on how to apply these principles in their work. As stated in our anti-corruption policy, Aker BP prohibits all forms of corruption, including bribery. All allegations or incidents of corruption and bribery shall be handled in line with this policy, applicable laws and regulations. Parties within Aker BP's compliance department oversees the risk of corruption and bribery and reports on a quarterly basis to the executive management team and the audit and risk committee.

The code of conduct and anti-corruption policy, which are owned by the CEO, applies to all employees and those acting for or on behalf of Aker BP. Employees are required to report immediately any suspected violation of Aker BP's code of conduct, anti-corruption policy or applicable rules. Aker BP regularly communicates the content of its policies through internal channels and external websites, as well as meeting with suppliers and business partners. Our contractual provisions set expectations for our business partners to align their business conduct with Aker BP's standards.

10.1.2 Actions

Everyone working for or on behalf of Aker BP shall follow the policies and procedures outlined above to prevent unethical and non-transparent behaviour.

Each year, Aker BP conducts a compliance risk assessment. The compliance department is responsible for conducting the assessment and gathering input from company functions such as legal, finance, supply chain and projects. The compliance risk assessment aims to identify areas with the highest risk of non-compliance, including corruption and bribery. The result of the assessment is used to improve our compliance programme by enabling us to implement more targeted actions to mitigate the identified risks.

Based on the compliance risk assessment, we have developed a compliance training plan tailored for all levels within the organisation. The objective of this plan is to ensure that all employees understand the potential impact of unethical and non-transparent behaviour on markets, society and governmental bodies. Since certain positions are at higher risk, this customised plan ensures that all employees, including those in functions-at-risk, receive training to help them managing the risks they encounter.

The compliance training plan requires all new employees and non-employees to complete mandatory ethics and compliance onboarding training. Additionally, our own workforce, including the executive management team, and the board of directors must take an annual code of conduct refresher course. These courses aim to provide basic knowledge and guidance within topics such as business ethics and corporate culture, corruption and speaking up.

Figure 50: **Training requirements framework**



Other courses are specifically designed for functions at risk. For instance, all international site managers and employees are required to complete a compliance course focusing on risks associated with international projects. An additional example is a dilemma training programme on compliance topics for managers, focusing on issues such as anti-corruption, bribery and speaking up. This training, initiated in 2024, offers managers examples of potential ethical dilemmas encountered in their work, and aims to increase awareness of compliance topics and grey areas.

The compliance training plan will be updated annually based on a revised compliance risk assessment.

In 2024, Aker BP conducted several awareness campaigns related to the topics of conflict of interest, gifts and hospitality and speaking up. To address legal and reputational risks related to bribery and corruption, Aker BP's compliance department plans to conduct several compliance verification activities in 2025.

10.1.3 Targets and metrics

We have not set any time bound outcome-oriented targets for business ethics and corporate culture, including corruption and bribery. However, we have two ambitions: Firstly, we aim to maintain zero incidents of corruption, in compliance with Norwegian anti-corruption legislation. In 2024, there were no reported incidents of corruption, and no convictions or fines for violation of anti-corruption and anti-bribery laws. Secondly, we aim for all employees to complete the annual code of conduct refresher course. In 2024, 93 percent[1)] of Aker BP's own workforce and 100 percent of the board members, completed the course.

None of these numbers have been validated by an external body other than the assurance provider.

10.2 PROTECTION OF WHISTLEBLOWERS

At Aker BP, we strive to establish a culture that encourages reporting of potential misconducts, where people know how to raise concerns and where leaders know how to respond. If we fail to create this culture and protect whistleblowers, it may lead to adverse impacts on our own workforce, workers in the value chain and affected communities by preventing potential misconducts from being detected and addressed. Additionally, if we fail to protect whistleblowers, we may also risk sanctions, damaged relationships with authorities and reputation damage.

10.2.1 Policies and procedures

Our internal speaking up policy describes the main principles of speaking up and provides guidance on how concerns can be raised. Aker BP encourages its own workforce, workers in the value chain and affected communities to speak up about breaches or suspected breaches of law, Aker BP's code of conduct, internal regulations or ethical norms that are broadly endorsed by society. The policy, which is applicable to our own workforce, builds on a strict non-retaliation principle, ensuring that no retaliatory actions are taken against whistleblowers. The CEO is the owner of the policy and is responsible for implementing the principles therein.

The speaking up policy describes the multiple ways to report a concern at Aker BP. Our own workforce can report to their line manager, a representative of senior management, their trade union representative, safety delegates, offshore installation managers, the compliance or legal departments, other functional units, or report anonymously via the company's integrity channel. The integrity channel can also be used by value chain workers and affected communities and is accessible via our website. The integrity channel is managed by an independent third-party (KPMG), ensuring confidentiality and proper handling of reports in accordance with the applicable standards and the internal procedure for handling integrity reports, which address topics such as confidentiality and data privacy considerations.

Aker BP's compliance department reviews all integrity reports, ensuring that they are managed in accordance with our policies and internal procedures. They also implement appropriate measures to protect the whistleblower from any adverse impacts. The investigation team operate separately from the management involved in the matter. The compliance department reports regularly on the received whistleblowing reports and the actions taken to address concerns to the executive management team and the audit and risk committee.

10.2.2 Actions

In 2024, we implemented measures to encourage raising concerns and ensure proper handling of whistleblowers according to our policies and procedures. This included:

10.2.2.1 Internal awareness campaigns

In 2024, we addressed the topic of speaking up and protecting whistleblowers through several awareness initiatives in Aker BP to ensure that our own workforce feels safe to report censurable conditions.

As part of the 2024 awareness campaign on whistleblowing, several meetings with unions and safety delegates were held with the aim of aligning on the requirements related to handling of whistleblowing reports and the role they play in the whistleblowing process.

A separate awareness initiative was held for the offshore organisation to address whistleblowing routines and what is included in the notion of censurable conditions under the Norwegian Working Environment Act.

1) The figure includes participants completing the course during January 2025.

10.2.2.2 Training

We provide regular training related to handling of integrity reports for managers as potential receivers of integrity reports as part of our training programme for new leaders. The training on speaking up provides managers with knowledge of the main principles of the speaking up policy, how integrity reports shall be handled, and how to help maintain an open culture for speaking up. In 2024, similar training was provided to all functional and line managers as potential receivers of whistle-blowing reports. Additionally, our annual code of conduct training, which is mandatory for Aker BP's own workforce, includes a module on speaking up which provides details of the internal mechanisms to raise concerns.

10.2.2.3 Improvement of internal processes related to whistleblowing

We regularly conduct evaluations of the effectiveness of our integrity channel and endeavour to include lessons learned in our further work.

In 2025, we plan to continue the awareness training on the topic of whistleblowing, further strengthen the collaboration with other support functions and support the organisation and leaders in handling whistleblowing reports.

10.2.3 Targets and metrics

We have not set any timebound outcome-oriented targets for speaking up and protection of whistleblowers. However, the compliance department carefully evaluates the integrity reports that we receive. 21 whistleblowing cases were received via the integrity channel and via reports directly to the compliance department in 2024. figure 51 outlines the subjects of these reports.

10.3 MANAGEMENT OF RELATIONSHIPS WITH SUPPLIERS INCLUDING PAYMENT PRACTICES

Our business has a significant impact on society and the environment through our supply chain and value chain. We had approximately 1,600 tier 1 suppliers in 2024 and work closely with our key suppliers to mitigate any potential adverse impacts on people, communities and environment. We use leverage and dialogue to improve suppliers' social and environmental performance and believe that fostering long-term relationships and close collaboration with suppliers allow us to create a more resilient supply of products, ensuring stability and reliability in our operations. Moreover, these partnerships enable us to engage in meaningful dialogue, creating a safe atmosphere for sharing risks and potential problems as early as possible. By doing so, we can to a higher degree prevent negative outcomes such as the risk of loss of business partnerships and missed opportunities for favourable relationships due to poor business conduct in the value chain. It can also help us avoid the risk of financial impact and reputational damage due to insufficient ESG screening of suppliers.

10.3.1 Policies and procedures

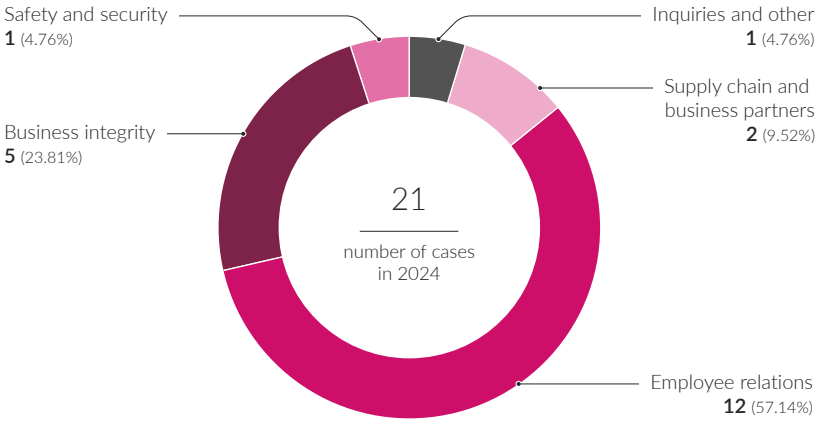
We expect our suppliers to comply with applicable laws and regulations, as well as Aker BP's business terms and key principles outlined on our website, and our supply chain management policy and its principles.

The general objectives of our supply chain management policy are to ensure that Aker BP's supply chain is efficient, ethical and capable of supporting the company's business goals through strategic partnerships, effective risk management and continuous improvement. It is designed to secure access to competence, services and products with the quality, innovation and competitive terms necessary to enable Aker BP to deliver its business and transformation objectives. It emphasises the importance of understanding Aker BP's present and future demand and having comprehensive knowledge of the supplier markets.

The supply chain management policy covers various activities across the supply chain, including strategic sourcing, procurement and supplier management. It is applicable to all geographical areas where Aker BP operates, ensuring that the supply chain processes are tailored to provide a fit-for-purpose end-to-end supply chain. The policy affects various stakeholder groups, including suppliers, alliance partners, strategic partners and internal stakeholders such as the supply chain management team and business units. It emphasises the importance of developing strong relationships with key suppliers to create value through market knowledge and supplier engagement.

The supply chain management policy is available for Aker BP's own workforce through the business management system, approved and owned by the VP supply chain management and logistics and is reviewed once a year. We monitor adherence to the principles of the policy through supplier engagement and audits, which are more thoroughly described later in this chapter.

Figure 51: **Integrity reports**



We work closely with our suppliers through formalised processes. These processes are part of Aker BP's business management system and are therefore mandatory for all workers as stated in our governance processes. We believe that supplier engagement and close collaboration through formalised processes allows us to leverage our influence and engage in dialogue to improve our suppliers' social and environmental performance.

10.3.1.1 Payment practices

We recognise the potential impact our actions may have on our suppliers and strive to always conduct ourselves in a fair manner. We have standard payment terms of 30 days for all suppliers. Our payment practice is consistent across all our suppliers, regardless of size, scope of deliveries or geographical location. The only exceptions to this rule are vendors where we have limited impact, such as governmental bodies or monopolists within infrastructure for oil and gas transportation. Including the mentioned exceptions, the average time from the receipt of correct invoice to payment was 29.9 days in 2024. The company does not have a separate policy to prevent late payments, as it complies in all material respects with the standard payment terms for all vendors. There are no legal proceedings currently outstanding in relation to late payments.

10.3.2 Actions

Aker BP has started to update its supply chain management practices to align with new regulatory requirements. These efforts aim to enhance sustainability and mitigate potential risks within the supply chain. In response to the new ESRS requirements, we have reviewed our supply chain management policy and implemented necessary actions to adjust where improvements were identified. For instance, in 2024, we launched a new training programme aimed at enhancing internal awareness and understanding of how ESG factors should be integrated into our evaluation of new suppliers. This initiative aims to mitigate the risk of financial impact and reputational damage resulting from inadequate ESG screening of suppliers.

At Aker BP, we form alliances and strategic partnerships with key suppliers to drive long-term collaboration and mutual growth. These partnerships enable us to leverage strengths and foster innovation across the supply chain. They are integral to our operations and encompass most of our procurement activities, ensuring effective risk management and the capitalisation of opportunities. This collaboration allows us to continuously improve our supply and value chains. Our supplier relationship management framework shall in this way foster strong, collaborative and resilient partnerships addressing industry challenges such as volatility, competition and sustainability. These partnerships shall have defined governance models compliant with our standards, including performance, risk and opportunity management, and high levels of integrity and anti-corruption, health, safety, security, environment and quality standards. These partnerships shall enable continuous improvement of our actions within the supply chain in close collaboration with our main suppliers, both for risks and opportunities. Long-term relationships allow us to create a more resilient supply of products, ensuring stability and reliability in our operations.

In addition to procurement through alliances and strategic partnerships, Aker BP employs a traditional supply chain management approach to ensure comprehensive and effective supplier relationships. This process begins with category management, where procurement activities are segmented into categories to optimise strategies and reduce costs. Following this, the sourcing phase identifies and evaluates potential suppliers based on various criteria, including cost, quality and sustainability. The integrity due diligence process (IDD) is a crucial part of sourcing, involving a thorough assessment of potential suppliers to identify and mitigate integrity risks by evaluating their financial stability, operational capabilities and adherence to legal and ethical standards. During the award of contract phase, terms and conditions are negotiated, and the contract is awarded to the chosen supplier, ensuring all necessary approvals and documentation are in place. All suppliers sign the supplier declaration to ensure compliance with ethical standards and regulatory requirements.

Contract management oversees the contract's lifecycle, ensuring compliance and managing any changes or disputes. Each phase is crucial for ensuring efficient and effective supply chain operations, optimising costs and building strong supplier relationships at Aker BP.

10.3.3 Targets and metrics

We have not set any time bound outcome-oriented targets for management of relationship with suppliers. However, we have an ambition of at least an 80 percent response rate from our requested environmental performance data requested from our most relevant suppliers with regards to environmental impact. In 2024, we received 26 responses, which corresponds to 88 percent. Further, through our supplier relationship management (SRM) which extends beyond the traditional supply chain, we have ambitions of fostering strong, collaborative and resilient partnerships with our suppliers. In 2024, we had around 40 SRM meetings with 43 of our key suppliers.

10.3.3.1 Assurance activities and findings

Supplier audits are part of Aker BP's assurance, and help us comply with regulations, standards and contractual requirements. They allow us to check the quality, sustainability and performance of our suppliers and sub-contractors. They also create opportunities for improvement and cooperation with our suppliers.

Aker BP follows the Three Lines Model for assurance. For 2024, the company performed approximately 190 verifications and audits. Most of the second line activities in the table were performed in Aker BP development projects. The third line activities were coordinated by the supply chain department in collaboration with all the business units.

Second line verifications covered a wide range of topics, based on the needs and risks in the projects.

Third line activities are typically audits coordinated and led by the supply chain organisation, with subject matter experts on the audit team.

These HSSEQ audits were selected based on evaluations of risk and criticality. They were proposed and selected in cooperation with identified needs and input from the organisation.

Overall, the findings were regarded as having only small to moderate risk and criticality. The most recurring findings were non-conformities and improvement areas in the following broad categories:

1. Management of non-conformities and changes
2. Management of risk
3. Management of competence (including lessons learned)
4. Management of HSSE activities
5. Management system deficiencies
6. Management of roles and responsibilities

Following each audit, the supplier is required to assess and outline their plan for addressing the audit findings. Should the audit team determine that the findings have not been satisfactorily addressed, the responsibility for further follow-up will be escalated. None of our metrics have been validated by an external body other than the assurance provider.

10.4 POLITICAL ENGAGEMENT

Due to the nature of the oil and gas industry, Aker BP is significantly impacted by policies and regulatory frameworks related to energy production. This presents an opportunity for Aker BP to ensure Aker BP's perspectives are taken into account in the process of policy development. Staying up-to-date on the latest regulatory developments and actively participating in discussions, can be beneficial to Aker BP.

10.4.1 Policies and procedures

Public engagement, including political engagement, is governed by our code of conduct and anti-corruption policy. While the policies prohibit Aker BP from providing financial contributions to political parties, they do allow the company to support political views that align with its interests. For more information about our code of conduct and anti-corruption policy, see section 10.1.1.

Table 38: **Assurance activities**

Activity classification	Activity type	Number
Second line	Verifications, and similar	160
Third line	Supplier audits	31

Table 39: **HSSEQ audits conducted in 2024**[1)]

Number of HSSEQ audits	31
Total number of non-conformities identified	41
Total number of improvement areas identified	105

1) Includes audits on cyber security, but not on human rights.

10.4.2 Actions

We advocate for our views on critical issues through direct interaction with public authorities and participation in various industry associations. Aker BP engages directly with public authorities such as the Ministry of Energy, the Norwegian Offshore Directorate, the Norwegian Ocean Industry Authority and the Norwegian Environment Agency. These engagements include separate annual contact meetings with senior officials from each agency, where we discuss main topics related to oil and gas policy and future development of the Norwegian continental shelf. Aker BP emphasises several key positions on these topics, including the importance of continued exploration, innovation and new technology, leveraging digital solutions, the need for predictable framework conditions, and the importance of exporting oil and gas to Europe. By engaging politically, Aker BP takes advantage of opportunities to influence policy development and efficiently prepare for regulatory changes. One designated person in the communications department is responsible for managing these engagements. Any presentation materials reviewed during these contact meetings are submitted to the respective government agencies and made publicly accessible in case registers.

Offshore Norge is Aker BP's primary network for reviewing and addressing relevant public issues related to regulatory frameworks, conditions or other significant matters. Aker BP is represented on the Offshore Norge board and participates in various committees within the organisation. Our active participation in Offshore Norge supports our efforts to influence policy development and efficiently prepare for regulatory changes. Offshore Norge's views on relevant policy issues are available at www.offshorenorge.no.

Data on public affairs and lobbying is gathered from Aker BP's communication department. This unit covers all consolidated activities. Approximately one full-time equivalent was dedicated to public affairs and public policy development in 2024. In the past two years, no members of the executive management team or the board of directors have held a comparable position in public administration.

10.4.3 Targets and metrics

We do not currently have specific metrics or targets related to political influence and lobbying activities. In accordance with our policies, we provided zero financial and in-kind contributions to political parties in 2024.

10.5 CYBER SECURITY

Given Aker BP's role as an energy supplier, there is a potential risk of business disruption and reduced performance due to cyber attacks on critical IT infrastructure. Unexpected imbalances in the energy supply may impact political and financial stability on a global scale, and the evolving situation further emphasises this topic. There may be those who will deliberately seek to cause such imbalances to reap financial, political or other benefits. Our security efforts are dedicated to mitigating this risk, thereby ensuring the provision of secure and reliable energy to Europe.

10.5.1 Policies and procedures

Preventing bad actors from succeeding is the overall objective of our security efforts. Our security policy and security management principles, coupled with the rest of our governance, set out how we integrate with the business to deliver on this objective. This involves a commitment to include requirements in contracts and agreements to mitigate cyber risks from third parties, ensuring they do not pose an unacceptable risk to Aker BP. Additionally, it entails implementing cyber security controls for digital systems to manage cyber risk effectively and adhere to architectural principles.

The security policy is owned by the SVP people and safety. Security encompasses the entire Aker BP organisation and our relationships with alliance partners, licence partners, owners, suppliers and other stakeholders. Our practices and methods are all derived from and inspired by international standards, such as ISO 27000-series, NIST CSF and best practices shared from organisations like The International Association of Oil & Gas Producers (IOGP).

10.5.2 Actions

In 2024, we strengthened Aker BP's security preparedness to reduce the risk and impact of a potential cyber attack. Internal learning has been a key area, with activities including:

- A mandatory cyber security course available to all employees. The course provides knowledge about digital threats and how to act if experiencing uncertainty or a cyber attack
- Leaders in Aker BP have attended a competency programme that includes mandatory lectures on raising awareness about cyber risk within their departments and projects
- The organisation has received fake phishing emails to raise awareness about identifying and handling such threats. These tests also help us understand how many people fail to recognise phishing attempts, enabling us to implement targeted measures

Furthermore, we have implemented measures to mitigate the physical vulnerabilities associated with potential cyber attacks:

- Aker BP's IT vulnerability management has improved by utilising data-driven metrics as a support mechanism for risk-based decision making
- Aker BP's offshore network connectivity is modernised
- Aker BP has operationalised governance that makes cyber security one of the barriers mitigating against major accidents in the offshore environment

In 2024, we conducted cyber security audits on four companies that are critical to Aker BP. These companies generally had well-established systems and routines for cyber security. However, we identified vulnerabilities related to the remote operations of operational technology (OT) systems, the use (or lack thereof) of service laptops and the interfaces with Aker BP's systems. For 2025, we plan to increase the number of cyber audits.

We have observed an increase in the percentage of individuals failing to recognise phishing attempts in 2024. We plan to conduct further analysis and evaluate appropriate mitigation actions in 2025.

10.5.3 Metrics and targets

In 2024, Aker BP experienced no critical incidents due to cyber attacks. The ambition is to maintain this record in the future. We have not set any time bound and outcome-oriented targets related to cyber security. However, one of our alliance partners was the victim of a cyber attack. Measures were implemented to ensure that Aker BP was not directly affected by this attack.

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